

Private Placements

Standard Suitability Hypotheticals

40 scenarios | Question: Did the financial advisor violate suitability or best interest requirements?

Hypothetical 1

Topic: senior_investor_exploitation | Difficulty: medium

[NON-COM]

Fact Pattern

Margaret Dawson, age 79, is a retired schoolteacher living in Tucson, Arizona. She has a fixed annual income of \$38,000 from Social Security and a modest state pension. Her total liquid net worth is approximately \$310,000, held primarily in certificates of deposit and a small balanced mutual fund at her local brokerage branch. She has no other real estate beyond her paid-off home, valued at approximately \$185,000. Her stated investment objectives on file are capital preservation and income generation, and her risk tolerance is documented as conservative. She has no prior experience investing in alternative or illiquid products. In March 2022, her financial advisor, Kevin Roark, age 34, recommended that Margaret invest \$125,000—roughly 40% of her liquid assets—into a non-traded real estate investment trust called Meridian Healthcare Properties REIT, which focused on acquiring skilled nursing facilities and medical office buildings. The REIT carried a minimum seven-year holding period with no guaranteed redemption program, upfront fees totaling 12% (including selling commissions, dealer manager fees, and offering and organizational expenses), and distributed a stated annual yield of 6.5%, though the prospectus disclosed that distributions could be funded in part from offering proceeds rather than operating cash flow. Roark told Margaret that the investment was 'like owning real estate without the hassle' and that the 6.5% distribution would supplement her pension income reliably. He did not discuss the illiquidity risk, the lack of a secondary market, the possibility that distributions could constitute a return of her own capital, or the impact of the 12% front-end load on her principal. Roark's branch office had a revenue-sharing arrangement with the REIT's sponsor, and Roark personally received a 7% commission on the sale. Roark did not present any alternative income-generating investments such as investment-grade bond funds, dividend equity funds, or Treasury securities. By late 2023, the REIT suspended its distribution payments and announced it was exploring strategic alternatives after several of its nursing facility tenants defaulted on leases. Margaret's account statement showed her \$125,000 investment valued at approximately \$68,000, and she had no ability to liquidate the position. She filed a complaint in January 2024 stating that Roark never explained the risks and that she would never have agreed to lock up nearly half her savings in something she could not access.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Roark committed multiple violations of applicable regulatory standards.

1. **FINRA Rule 2111 (Suitability):** Under the quantitative, reasonable-basis, and customer-specific suitability obligations, Roark was required to have a reasonable basis for believing the recommendation was suitable for Margaret given her specific financial situation and needs. Margaret was a 79-year-old retiree with conservative risk tolerance, a capital preservation objective, limited liquid assets (\$310,000), and no experience with alternative investments. Recommending that she concentrate approximately 40% of her liquid net worth in a single illiquid, non-traded REIT with a seven-year holding period and significant front-end costs is facially unsuitable for this customer profile. The customer-specific suitability prong of Rule 2111 was clearly violated.

2. **FINRA Regulatory Notice 10-22 (Reasonable Investigation Duty for Private Placements and DPPs):** RN 10-22 requires that broker-dealers and their registered representatives conduct a reasonable investigation of the securities they recommend, including an analysis of the issuer's financial condition, the risks of the offering, the use of proceeds, and the front-end costs. Roark failed to disclose or investigate whether the distributions were supported by actual operating income or were being funded by return of capital from offering proceeds—a critical red flag identified in numerous non-traded REIT enforcement actions. His characterization of the product as 'like owning real estate without the hassle' was materially misleading and omitted the substantial risks of illiquidity, capital loss, and distribution sustainability.

3. **Regulation Best Interest (Reg BI, Rule 15l-1):** Under the Care Obligation of Reg BI, Roark was required to exercise reasonable diligence, care, and skill in making this recommendation, considering the investment's risks, rewards, and costs in light of Margaret's profile. He was also required to consider reasonably available alternatives. Roark failed to present any alternative income-generating products—such as investment-grade bond funds, Treasury securities, or dividend-paying equity funds—that would have been far more appropriate for a conservative 79-year-old investor seeking income and capital preservation. Under the Disclosure Obligation, he failed to disclose the material conflict of interest arising from his 7% personal commission and the branch's revenue-sharing arrangement with the REIT sponsor. Under the Conflict of Interest Obligation, the firm failed to establish, maintain, and enforce policies to mitigate the incentive created by the enhanced commission structure.

4. **FINRA Rule 2010 (Standards of Commercial Honor):** Roark's conduct—making materially misleading statements, omitting critical risk disclosures, and recommending a concentrated illiquid position to a vulnerable senior investor for the purpose of generating substantial commission income—falls below the standards of commercial honor and just and equitable principles of trade.

5. **NASAA Guidance on DPP Suitability:** State regulators have consistently identified concentration of illiquid DPP or non-traded REIT investments exceeding 10% of a customer's liquid net worth as presumptively unsuitable, particularly for senior investors. Margaret's 40% concentration far exceeds any reasonable threshold.

Likely Regulatory Outcome: Roark faces potential sanctions including fines, disgorgement of commissions, suspension or bar from the industry, and the firm faces supervisory failure charges. Margaret would likely prevail in arbitration seeking compensatory damages for the approximately \$57,000 loss plus the ongoing illiquidity harm. The pattern here closely mirrors enforcement trends seen in non-traded REIT

cases involving senior investors, where regulators and arbitration panels have consistently found liability for advisors who placed elderly, conservative clients into illiquid alternative products at high concentrations without adequate disclosure or investigation.

Hypothetical 2

Topic: *high_fees_unsuitable* | Difficulty: *medium*

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Fact Pattern

Margaret Dawson, age 71, is a retired elementary school teacher in Tulsa, Oklahoma, with a fixed annual income of \$42,000 from her pension and Social Security. Her total liquid net worth is approximately \$310,000, held primarily in a rollover IRA and a modest brokerage account. She has no other significant assets besides her home, which is paid off. Margaret has consistently described herself as a conservative investor with a primary objective of capital preservation and generating supplemental income to cover medical expenses and property taxes. She has no prior experience with alternative investments or private securities.

In March 2022, her financial advisor, Kevin Stadler, recommended that Margaret invest \$125,000—roughly 40% of her liquid net worth—into a non-traded real estate investment trust called Meridian Healthcare REIT III. Kevin explained the product as a "safe real estate income fund" that paid a 6.5% annualized distribution. He told Margaret that the investment was "similar to owning rental property without the hassle" and emphasized the monthly income checks she would receive.

Kevin did not explain, and the account documentation did not prominently disclose to Margaret, that the total upfront costs associated with the investment were approximately 15%, broken down as follows: a 7% selling commission paid to Kevin's broker-dealer, a 3% dealer manager fee, and approximately 5% in offering and organizational expenses. This meant that of Margaret's \$125,000 investment, only approximately \$106,250 was actually deployed into real estate assets. Kevin also did not meaningfully discuss the fact that the REIT had no established public trading market, carried a minimum recommended holding period of seven years, and that any early redemption—available only after a one-year lock-up—would be subject to significant penalties and was limited to a small quarterly redemption pool that the REIT's board could suspend at its discretion.

By October 2023, Meridian Healthcare REIT III suspended its distribution payments and announced a revised estimated net asset value that reflected a 30% decline from the original offering price. Margaret, now 72, needed access to funds for an unexpected \$18,000 roof repair and discovered she could not liquidate her position. She filed a complaint with her broker-dealer in December 2023, stating she was never told the investment was illiquid, that the fees were so high, or that she could lose a significant portion of her principal. Kevin's notes in the client file contained a signed general acknowledgment form but no documented discussion of the fee structure, liquidity restrictions, or why such a concentrated illiquid position was appropriate for a 71-year-old retiree living on a fixed income with limited savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Stadler violated multiple applicable regulatory standards in recommending this non-traded REIT to Margaret Dawson.

****FINRA Rule 2111 (Suitability):**** This rule requires that a broker have a reasonable basis to believe a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. There are three component obligations:

1. ***Reasonable-Basis Suitability:*** The advisor must perform adequate due diligence on the product itself. FINRA Regulatory Notice 10-22 specifically addresses this duty in the context of private placements and other complex products, requiring member firms and their associated persons to conduct a reasonable investigation of the securities they recommend. Non-traded REITs carry significant risks-illiquidity, high upfront costs that erode returns, distribution sustainability risk, and valuation uncertainty. Kevin's characterization of the product as a 'safe real estate income fund' suggests he either failed to understand these risks or deliberately minimized them. His failure to discuss the 15% total load, the lack of a secondary market, and the conditional and limited redemption program strongly indicates inadequate product-level diligence.

2. ***Customer-Specific Suitability:*** Margaret was a 71-year-old retiree with \$310,000 in liquid assets, a fixed income of \$42,000, conservative risk tolerance, capital preservation objectives, and no experience with alternative investments. Recommending that she place 40% of her liquid net worth into an illiquid, high-fee product with a seven-year recommended hold and no guaranteed liquidity mechanism is facially unsuitable. Her age and reliance on her savings for unexpected expenses (as evidenced by the roof repair) created a clear need for liquidity that this investment could not provide. NASAA guidance on non-traded REITs and direct participation programs has historically recommended concentration limits-many states impose a 10% liquid net worth cap for non-traded REIT investments. A 40% allocation dramatically exceeds any reasonable threshold.

3. ***Quantitative Suitability:*** While this is typically applied to excessive trading, the 15% upfront cost load is relevant to the overall suitability analysis. The customer needed to earn back 15% in gains merely to break even, which is inconsistent with a conservative, income-oriented profile.

****Regulation Best Interest (Rule 15l-1):**** If Kevin was acting as a broker-dealer representative after June 30, 2020 (which he was, given the March 2022 recommendation), Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill in making the recommendation, considering the investment's risks, rewards, and costs, and the customer's investment profile. He was required to have a reasonable basis to believe the recommendation was in the customer's best interest and did not place his own financial interest ahead of the customer's. The 7% selling commission created an obvious financial incentive that appears to have driven the recommendation. The Disclosure Obligation under Reg BI required full and fair disclosure of all material facts about the recommendation, including conflicts of interest-Kevin's failure to explain the fee structure and illiquidity terms violated this component. The Conflict of Interest Obligation required the firm to have policies to identify and mitigate conflicts arising from compensation; recommending the highest-commission product to a conservative retiree without documented mitigation is a

clear failure.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Kevin's misleading characterization of the REIT as 'safe' and 'similar to owning rental property' while omitting the 15% cost load, illiquidity, and risk of principal loss constitutes conduct inconsistent with just and equitable principles of trade.

****FINRA RN 10-22 (Reasonable Investigation):**** This notice emphasizes that broker-dealers and their representatives have an affirmative obligation to investigate the issuer, its management, the business prospects, the assets held, the claims being made, and the risks of the security before recommending it. The duty is heightened for unregistered, illiquid products like non-traded REITs. Kevin's notes reflect no such investigation, and his sales pitch suggests he relied solely on marketing materials.

****Likely Regulatory Outcome:**** Kevin and his firm face significant exposure. Precedent from enforcement actions involving non-traded REITs (including GPB Capital-related cases, where firms were sanctioned for inadequate due diligence on illiquid alternative investments and unsuitable concentration in customer accounts) suggests potential outcomes including: disgorgement of commissions, restitution to the customer, fines against both the advisor and the firm, and possible suspension or bar of the advisor. The firm's supervisory system also appears deficient for allowing a 40% concentration in an illiquid product for a conservative elderly retiree without triggering a supervisory review or exception report. Margaret's complaint has substantial merit.

Hypothetical 3

Topic: *illiquid_real_estate_investment* | Difficulty: *hard*

Fact Pattern

Marcus Webb, a registered representative with Pinnacle Financial Group in Scottsdale, Arizona, managed accounts for several clients including Dorothy and Earl Hastings, both aged 74, retired public school teachers from Flagstaff. The Hastings had a combined pension income of \$62,000 per year and held \$415,000 in liquid savings, which represented their entire life savings apart from a modest home valued at \$185,000. Their account documents listed their risk tolerance as 'moderate-conservative,' their investment objectives as 'income and capital preservation,' their time horizon as '5-7 years,' and their liquidity needs as 'may need funds for assisted living or medical expenses within 2-4 years.' Dorothy had recently been diagnosed with early-stage Parkinson's disease, a fact Webb was aware of because the Hastings mentioned it during their annual review meeting in March 2022.

Between April and August 2022, Webb recommended that the Hastings invest a total of \$165,000—roughly 40% of their liquid savings—across three separate non-traded real estate investment trusts: \$60,000 in Starboard Healthcare Properties REIT (investing in skilled nursing facilities), \$55,000 in Meridian Industrial REIT (investing in warehouse and logistics properties), and \$50,000 in Coastal Hospitality REIT (investing in boutique hotels and resort properties). Each product carried upfront commissions and fees totaling between 9% and 12%, meaning approximately \$16,500 to \$19,800 in total costs were deducted from the Hastings' investments at the time of purchase. All three products had minimum holding periods of seven

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years, with no established secondary market, and redemption programs that were limited, discretionary, and could be suspended at any time by the REIT sponsor.

Webb told the Hastings that these investments were 'like owning real estate without the headaches,' would generate 'steady monthly income between 6% and 7.5%,' and were 'much safer than the stock market because they're backed by real property.' He did not discuss the illiquidity of the products in detail, nor did he explain that distribution payments could include return of capital rather than actual earnings, which would erode their principal over time. He also did not inform them that Coastal Hospitality REIT had been in operation for less than 18 months and had no track record of sustained distributions.

Webb's due diligence file for these three products contained only the marketing brochures provided by the sponsors and brief notes from a single conference call with a Starboard wholesaler. He did not independently investigate the sponsors' financial statements, the property portfolios, the track records of the management teams, or the fee structures beyond what was presented in sales materials. His firm's compliance department had approved all three products for sale on the firm's platform but had not set concentration limits for non-traded REITs in client accounts.

By December 2023, Coastal Hospitality REIT suspended its distribution payments and announced a 35% reduction in estimated share value due to underperforming hotel assets. Meridian Industrial REIT reduced its distribution from 6.5% to 2.1%. Only Starboard continued paying its stated distribution, though subsequent filings revealed that 80% of those distributions consisted of return of capital. The Hastings, now needing funds for Dorothy's escalating medical care, attempted to redeem their shares and discovered that all three REITs had suspended or severely limited their share redemption programs. Their \$165,000 investment was effectively locked up and had an estimated combined value of approximately \$105,000—a paper loss of roughly \$60,000, not including the upfront fees already paid.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Webb committed multiple serious violations of applicable regulatory standards in recommending these three non-traded REITs to the Hastings.

****Suitability Violations (FINRA Rule 2111):****

Under FINRA Rule 2111, a registered representative must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance.

1. ****Customer-Specific Suitability:**** The Hastings were 74-year-old retirees with moderate-conservative risk tolerance, capital preservation and income objectives, a known near-term need for liquidity due to Dorothy's Parkinson's diagnosis, and a stated time horizon of 5-7 years with possible need for funds within 2-4 years. Recommending that they concentrate 40% of their liquid net worth in products with seven-year minimum holding periods, no guaranteed liquidity, and discretionary redemption programs directly contradicted every element of their stated investment profile. The products were fundamentally incompatible with their liquidity

needs, risk tolerance, and time horizon.

2. **Quantitative Suitability (Concentration):** Placing 40% of the Hastings' entire liquid savings into a single illiquid asset class-non-traded REITs-created an excessive and unsuitable concentration. FINRA and NASAA have consistently taken the position that non-traded REIT concentration above 10% of liquid net worth raises serious suitability red flags, and many state regulators impose explicit concentration limits in the range of 10% of net worth for these products. A 40% allocation is dramatically above any reasonable threshold.

3. **Reasonable-Basis Suitability:** Webb also failed reasonable-basis suitability. He did not perform adequate independent analysis of the three products before recommending them. His due diligence file consisted only of sponsor marketing materials and notes from a wholesaler call-hardly the independent investigation necessary to form a reasonable basis for recommending complex, illiquid products.

Reasonable Investigation Duty (FINRA Regulatory Notice 10-22):

FINRA RN 10-22 imposes an affirmative obligation on broker-dealers and their representatives to conduct a reasonable investigation of private placements and similar offerings before recommending them. This includes independent review of the issuer's financial condition, the business model, the management team's track record, the fee and compensation structure, and the risks disclosed (and not disclosed) in offering documents. Webb's reliance solely on sponsor-provided marketing materials and a wholesaler sales call falls far short of this standard. Notably, he failed to investigate that Coastal Hospitality REIT had less than 18 months of operating history and no sustained distribution track record, which should have been a material red flag.

Regulation Best Interest (SEC Rule 15l-1, Reg BI):

For recommendations made after June 30, 2020, Reg BI's Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making recommendations and must consider reasonably available alternatives. Webb failed the Care Obligation by not evaluating whether liquid alternatives (e.g., publicly traded REITs, diversified bond funds, or income-oriented balanced funds) could have met the Hastings' income needs without the illiquidity risk. He also failed the Disclosure Obligation by not adequately explaining the illiquid nature of the investments, the return-of-capital component of distributions, or the risks of redemption program suspension. His misleading characterization of the investments as 'much safer than the stock market' and his description of distributions as 'steady monthly income' without disclosing the return-of-capital mechanism constituted materially misleading statements.

FINRA Rule 2010 (Standards of Commercial Honor):

Webb's misleading statements about safety, income stability, and the nature of distributions also constitute a violation of FINRA Rule 2010's requirement for just and equitable principles of trade.

NASAA Guidance:

NASAA has issued extensive guidance regarding non-traded REIT suitability, including recommended concentration limits, enhanced disclosure requirements, and the need for representatives to consider liquidity needs when recommending illiquid DPP products. The Hastings' situation-elderly, moderate-conservative, dependent on savings for medical care-exemplifies the type of investor NASAA guidance is designed to protect from unsuitable non-traded REIT recommendations.

****Firm-Level Failures:****

Pinnacle Financial Group's failure to establish concentration limits for non-traded REITs in client accounts represents a supervisory deficiency. While the firm approved the products for sale, the absence of guardrails such as concentration limits or enhanced suitability screening for elderly or liquidity-dependent clients constitutes a failure of reasonable supervision under FINRA Rules 3110 and 3120.

****Likely Regulatory Outcome:****

Webb faces likely sanctions including fines, disgorgement of commissions (approximately \$8,250-\$9,900 based on his share of the 9-12% upfront fees), suspension or bar from the industry, and possible restitution to the Hastings. The firm faces potential fines and censure for supervisory failures. Historically, enforcement actions involving non-traded REIT over-concentration in elderly clients' accounts-such as the numerous cases arising from GPB Capital, Inland American, and similar products-have resulted in significant monetary sanctions, customer restitution, and individual bars. The combination of unsuitable concentration, inadequate due diligence, misleading sales practices, and vulnerable elderly clients with known medical and liquidity needs makes this a compelling enforcement case.

Hypothetical 4

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

In March 2021, financial advisor Derek Stanton met with his client, Barbara Henning, a 68-year-old retired schoolteacher living in Tulsa, Oklahoma. Barbara had a total liquid net worth of approximately \$410,000, consisting of \$285,000 in her IRA rollover account and \$125,000 in a taxable brokerage account. Her annual pension income was \$38,000, supplemented by \$18,400 in Social Security benefits. On her new account form, Barbara indicated her investment objective was 'income with preservation of capital,' her risk tolerance was marked as 'conservative,' her time horizon was listed as '5-10 years,' and her liquidity needs were noted as 'moderate' since she anticipated needing funds for potential assisted living costs within the next several years. Barbara had no prior experience with alternative investments and her investment history consisted entirely of certificates of deposit, Treasury bonds, and a small allocation to a balanced mutual fund. During their meeting, Derek presented Barbara with materials about a non-traded REIT called Meridian Healthcare Properties, which invested in skilled nursing facilities and senior living centers across the Southeast. Derek told Barbara that the investment would provide steady quarterly distributions of 6.5% annually and was 'perfect for retirees looking for reliable income.' He recommended she invest \$120,000 - roughly 29% of her liquid net worth - into the non-traded REIT. Derek did not discuss the seven-to-ten year

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expected hold period, the lack of a secondary market, the fact that distributions could be funded partially from offering proceeds or borrowings rather than operating cash flow, or the upfront fees and commissions totaling approximately 12% of her investment. He also did not mention that the REIT's prospectus disclosed significant risks related to its concentration in skilled nursing facilities, an industry facing reimbursement pressures from Medicare and Medicaid changes. Barbara signed the subscription documents that same day. By late 2022, Meridian Healthcare Properties had suspended its distribution payments and announced that its estimated per-share value had declined by 40%. Barbara, now needing liquidity for a move to an assisted living community, discovered she could not readily sell her shares and faced a substantial loss on nearly a third of her retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Stanton violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Rule 2111 encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. ****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** For recommendations made after June 30, 2020, broker-dealers must act in the retail customer's best interest at the time a recommendation is made, without placing the financial interest of the broker-dealer ahead of the customer. This includes a Care Obligation requiring the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation.
3. ****FINRA Regulatory Notice 10-22:**** This notice reminds firms of their obligation to conduct a reasonable investigation of private placements and direct participation programs before recommending them. The advisor and firm must investigate the issuer and its management, the business prospects, the assets held, the claims made, and the risks involved.
4. ****FINRA Rule 2010 (Standards of Commercial Honor):**** Requires adherence to high standards of commercial honor and just and equitable principles of trade.

****Analysis of Violations:****

****Customer-Specific Suitability Failure:**** Barbara's profile - a 68-year-old conservative retiree with moderate liquidity needs, no alternative investment experience, and dependence on her savings for potential assisted living - is fundamentally incompatible with a non-traded REIT carrying a 7-10 year hold

period, no secondary market, and significant concentration risk. The 29% concentration of her liquid net worth in a single illiquid product directly conflicts with her stated need for capital preservation and potential near-term liquidity. NASAA guidelines have historically recommended that non-traded REIT investments not exceed 10% of a client's liquid net worth for suitable investors, and Barbara's profile suggests even that threshold would be aggressive.

****Reasonable-Basis Suitability / Investigation Failure:**** Under FINRA RN 10-22, Derek had a duty to understand the product thoroughly before recommending it. His failure to disclose the illiquidity, the source-of-distribution risk (distributions potentially funded by return of capital rather than earnings), the 12% upfront load, and the concentration risk in skilled nursing facilities suggests he either failed to investigate the product or understood these risks and withheld material information.

****Reg BI Care Obligation Violation:**** The recommendation was made in 2021, after Reg BI's effective date. Derek failed to exercise reasonable diligence, care, and skill by not considering the costs of the investment (12% front-end load significantly eroding Barbara's principal), the illiquid nature of the product relative to her anticipated liquidity needs, and the mismatch between the product's risk profile and Barbara's conservative investment objectives. He also appears to have placed his financial interest (earning the substantial commission embedded in the 12% load) ahead of Barbara's interest.

****Disclosure Failures:**** Derek's characterization of the REIT as 'perfect for retirees looking for reliable income' without disclosing the material risks - illiquidity, distribution sustainability concerns, industry-specific risks, and high fees - constitutes a misleading recommendation.

****Likely Regulatory Outcome:**** This fact pattern closely mirrors enforcement actions brought against advisors in non-traded REIT cases (similar to patterns seen in GPB Capital and other illiquid alternative investment enforcement matters). Derek and his firm would likely face sanctions including fines, disgorgement of commissions, restitution to Barbara, and a potential suspension. The firm could face additional liability for supervisory failures if it did not have adequate procedures for reviewing non-traded REIT recommendations to elderly, conservative clients with liquidity needs. State regulators following NASAA guidelines would likely view the concentration level and client profile as clear evidence of unsuitability.

Hypothetical 5

Topic: *senior_investor_exploitation* | Difficulty: *hard*

Fact Pattern

Margaret Ellison, age 79, is a retired elementary school teacher living in Columbus, Ohio. She has a fixed annual income of \$38,000, consisting of \$22,000 from Social Security and \$16,000 from a modest state pension. Her total liquid net worth is approximately \$410,000, held primarily in a brokerage account and a bank savings account. She has no other significant assets besides her home, which is valued at \$185,000 and is fully paid off. Mrs. Ellison has described her investment objectives as capital preservation and income generation, and her risk tolerance has been documented as conservative on every account form

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since she opened her brokerage account in 2014. She has no prior experience with alternative investments, private placements, or real estate programs, and her investment history consists entirely of Treasury bonds, certificates of deposit, and a small allocation to a diversified equity mutual fund.

In March 2021, her financial advisor, Daniel Pruitt, age 42, who has been her advisor since 2017, invited Mrs. Ellison to an in-office seminar titled 'Retirement Income Solutions for Today's Low-Rate Environment.' During the seminar, Pruitt presented a non-traded real estate investment trust called Meridian Healthcare Properties REIT, which invested in senior living facilities and medical office buildings. The REIT had a minimum investment of \$25,000, paid a stated distribution rate of 6.5%, carried upfront fees and commissions totaling approximately 12% (including a 7% selling commission to the broker-dealer and a 5% offering and organizational expense load), and had no established secondary market. The offering documents disclosed a redemption program that was subject to quarterly caps and could be suspended at the discretion of the REIT's board of directors. The projected investment horizon was seven to ten years.

Pruitt recommended that Mrs. Ellison invest \$175,000 - approximately 42.7% of her liquid net worth - into the Meridian Healthcare Properties REIT. He told her the distributions would 'replace the income she was losing from maturing CDs' and described the investment as 'like owning real estate without the headaches.' He did not discuss the illiquid nature of the investment in detail, nor did he explain that the stated distribution rate could be funded in part from return of capital rather than operating income. He did not present any alternative income-generating investments such as investment-grade bond funds, dividend-paying equity funds, or structured CDs. Mrs. Ellison signed the subscription documents in April 2021.

In August 2022, Mrs. Ellison's husband passed away unexpectedly, and she needed to access funds for medical bills, funeral expenses, and ongoing assisted living costs for herself. She submitted a redemption request for \$80,000 of her REIT holdings in September 2022, but the REIT's board had suspended its share redemption program two months earlier due to a surge in redemption requests across its investor base. Mrs. Ellison was unable to access any of her \$175,000 investment. Meanwhile, the REIT reduced its distribution rate from 6.5% to 3.2%, citing declining occupancy rates in its senior living portfolio. When Mrs. Ellison's daughter contacted the broker-dealer's compliance department to complain, she discovered that Pruitt had recommended the same non-traded REIT to at least fourteen other clients over the age of 70 in his book of business, with concentration levels ranging from 30% to 55% of their liquid net worth.

Pruitt's firm had an internal policy limiting non-traded REIT allocations to no more than 10% of a client's liquid net worth for clients over 70 with conservative risk profiles. Pruitt did not seek or obtain any exception to this policy. Pruitt earned approximately \$12,250 in commissions on Mrs. Ellison's transaction alone.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Daniel Pruitt committed multiple serious violations in recommending the Meridian Healthcare Properties non-traded REIT to Margaret Ellison.

****FINRA Rule 2111 (Suitability) Analysis:****

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

1. ****Customer-Specific Suitability (Rule 2111.05):**** Mrs. Ellison was a 79-year-old retiree with a conservative risk profile, capital preservation objectives, limited income, no experience with alternative investments, and a foreseeable need for liquidity given her age and life circumstances. A non-traded REIT with a 7-10 year investment horizon, no secondary market, a suspendable redemption program, 12% upfront costs, and significant illiquidity risk is fundamentally incompatible with her documented profile. The recommendation fails customer-specific suitability on nearly every dimension.

2. ****Quantitative Suitability / Concentration:**** Allocating 42.7% of a 79-year-old conservative investor's liquid net worth to a single illiquid alternative investment is an egregious concentration. The advisor's own firm had an internal policy capping non-traded REIT exposure at 10% for clients over 70 with conservative profiles. NASAA guidelines on non-traded REITs generally recommend concentration limits of 10% of liquid net worth (or in some states, 10% of net worth excluding home and home furnishings). Pruitt exceeded this by more than four times without seeking any exception.

3. ****Reasonable-Basis Suitability:**** Under FINRA Regulatory Notice 10-22, broker-dealers and their associated persons have a duty of reasonable investigation (reasonable-basis suitability) regarding private placements and other complex products before recommending them. This includes understanding the risks, the structure of distributions (including whether distributions may constitute return of capital), the liquidity constraints, and the fee structure. Pruitt's failure to explain that distributions could be funded by return of capital, and his characterization of the REIT as simply 'like owning real estate without the headaches,' suggests he either failed to conduct adequate due diligence or deliberately obscured material risks.

****Regulation Best Interest (Rule 15l-1) Analysis:****

If Pruitt's recommendation occurred after June 30, 2020 (which it did - March/April 2021), Regulation Best Interest applies. Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill in making recommendations, must understand the risks and rewards of the product, must consider the customer's investment profile, and must not place his own financial interest ahead of the customer's. The \$12,250 commission created a significant financial incentive, and the pattern of recommending the same high-commission product to at least fourteen senior clients suggests the advisor prioritized his compensation over client welfare. Under Reg BI's Conflict of Interest Obligation, the firm and advisor must identify, disclose, and mitigate or eliminate conflicts associated with compensation-driven recommendations. There is no evidence Pruitt adequately addressed these conflicts.

****FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade):****

Pruitt's pattern of overconcentrating elderly, conservative clients in an illiquid, high-commission product - in direct violation of his firm's own internal policies - constitutes conduct inconsistent with just and equitable

principles of trade.

****GPB Capital Precedent / Enforcement Context:****

This fact pattern mirrors enforcement actions seen in the GPB Capital cases and non-traded REIT enforcement sweeps, where advisors recommended illiquid alternative investments to unsuitable clients, failed to conduct reasonable due diligence, ignored concentration limits, and prioritized commissions. Multiple broker-dealers and advisors faced sanctions, fines, bars, and restitution orders in similar circumstances.

****Likely Regulatory Outcome:****

Pruitt faces potential FINRA enforcement action including fines, disgorgement of commissions, restitution to Mrs. Ellison and other affected clients, suspension, or a permanent bar from the securities industry. The broker-dealer faces potential supervisory failure charges for failing to enforce its own concentration policy. Mrs. Ellison and other similarly situated clients would likely prevail in arbitration claims for damages including the difference between her invested amount and the current value of her holdings, plus consequential damages related to her inability to access funds during a family emergency.

Hypothetical 6

Topic: *illiquid_investments* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Margaret Dalton, age 71, is a retired elementary school teacher living in suburban Ohio. Her total liquid net worth is approximately \$410,000, consisting of a \$290,000 IRA rollover from her pension and \$120,000 in a savings account. She receives \$2,800 per month from Social Security and a small \$600 monthly pension supplement. Her risk tolerance, as documented on her new account form completed in March 2021, was listed as "moderate" with investment objectives of "income" and "preservation of capital." She told her advisor, Kevin Marsh, that she wanted safe, income-producing investments and specifically mentioned that she might need to access some of her savings for potential assisted living costs within the next three to five years, as she had recently been diagnosed with early-stage Parkinson's disease.

Marsh, who worked at a mid-sized independent broker-dealer, recommended that Margaret invest \$175,000 - approximately 43% of her liquid net worth - into two non-traded real estate investment trusts. The first was a \$100,000 allocation to Inland American Real Estate Trust, a non-traded REIT focused on commercial office and retail properties, and the second was \$75,000 into a non-traded REIT specializing in healthcare facilities. Both products carried upfront fees and commissions totaling approximately 12% to 13% of the invested amount, meaning roughly \$21,000 to \$22,750 of Margaret's investment went to fees and broker compensation before a single dollar was deployed into real estate assets. The offering documents for both products stated that shares were illiquid, that no public trading market existed, that redemption programs were limited and could be suspended at any time, and that investors should be prepared to hold the investment for an indefinite period, potentially seven to ten years or longer.

Marsh earned approximately \$12,250 in gross commissions on the two transactions. His firm's product due diligence department had approved both non-traded REITs for sale but had also issued internal guidance recommending that no more than 25% of any client's liquid net worth be concentrated in illiquid alternative investments, and that the products were generally unsuitable for clients over age 70 who had near-term liquidity needs.

By late 2022, Margaret's Parkinson's symptoms had progressed, and her family sought to liquidate her non-traded REIT holdings to fund her move to an assisted living facility. The redemption program for one of the REITs had been suspended entirely, and the other allowed only limited quarterly redemptions at a price reflecting a 15% discount to the original purchase price. Margaret's family was able to redeem only \$18,000 of the \$75,000 healthcare REIT investment, and nothing from the Inland American position. As of early 2024, Margaret's family estimates that the combined current value of her non-traded REIT holdings, if they could be liquidated, would be approximately \$115,000 - a loss of roughly \$60,000 from her original \$175,000 investment, not including the opportunity cost of having those funds unavailable during a critical period of medical need.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Marsh violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance. This rule encompasses three obligations: reasonable-basis suitability (general product understanding), customer-specific suitability (match to the individual), and quantitative suitability (not excessive in volume).

Under SEC Regulation Best Interest (Rule 15l-1), broker-dealers and their associated persons must act in the retail customer's best interest at the time of the recommendation, without placing their own financial interest ahead of the customer's. The Care Obligation under Reg BI requires reasonable diligence, care, and skill in making recommendations, including understanding the risks, rewards, and costs of the product, and having a reasonable basis to believe the recommendation is in the customer's best interest given her profile.

FINRA Regulatory Notice 10-22 imposes a heightened reasonable investigation duty on firms and their representatives when recommending private placements and illiquid alternative investments, including non-traded REITs. Firms must conduct thorough due diligence on these products and ensure that the specific features - particularly illiquidity, high fees, and long time horizons - are appropriate for the individual customer.

NASAA guidance on Direct Participation Programs and non-traded REITs further establishes that many states impose concentration limits (often 10% of net worth, excluding home equity) and that suitability determinations must account for the investor's age, liquidity needs, and total exposure to illiquid products.

****Analysis of Violations:****

1. ****Customer-Specific Suitability (FINRA Rule 2111):**** Margaret was 71 years old, retired, had a documented need for capital preservation and income, had explicitly stated she might need access to funds within three to five years for assisted living, and had been diagnosed with a progressive neurological condition. Non-traded REITs, with their seven-to-ten-year hold periods, suspension-prone redemption programs, and structural illiquidity, were fundamentally incompatible with her stated objectives and near-term liquidity needs.
2. ****Concentration:**** Allocating 43% of Margaret's liquid net worth to illiquid non-traded REITs was excessive and violated even the firm's own internal guidance limiting such investments to 25% of liquid net worth for any client, with additional restrictions for clients over 70. This internal threshold, while not itself a regulatory rule, demonstrates that even Marsh's own firm recognized the unsuitability of this level of concentration.
3. ****Cost and Fee Considerations:**** The 12-13% upfront load on both products meant that approximately \$21,000-\$22,750 was extracted from Margaret's investment immediately, creating a significant drag on returns. Under Reg BI's Care Obligation and Cost Disclosure Obligation, Marsh was required to consider reasonably available alternatives that could achieve Margaret's income objectives at lower cost and with better liquidity, such as traded REITs, dividend-paying equity funds, or investment-grade bond funds.
4. ****Conflict of Interest:**** Marsh earned approximately \$12,250 in commissions - substantially more than he would have earned recommending lower-cost, liquid alternatives. Under Reg BI's Conflict of Interest Obligation, the firm and Marsh were required to identify and mitigate this conflict. The high commission structure of non-traded REITs creates a powerful incentive to recommend them over more suitable products, and there is no evidence Marsh or the firm adequately addressed this conflict.
5. ****Reasonable Investigation Duty (FINRA RN 10-22):**** Marsh failed to conduct adequate due diligence regarding the match between these specific illiquid products and Margaret's individual circumstances. A reasonable investigation would have revealed that the products' illiquidity features were directly at odds with her documented needs.
6. ****FINRA Rule 2010 (Standards of Commercial Honor):**** The totality of the circumstances - recommending heavily front-loaded, illiquid products to an elderly, retired client with known near-term medical and liquidity needs, in apparent disregard of the firm's own internal guidelines - constitutes conduct inconsistent with just and equitable principles of trade.

****Likely Regulatory Outcome:****

Marsh would likely face FINRA enforcement action resulting in a fine, disgorgement of commissions,

restitution to Margaret, and a suspension of 6-12 months or longer. The firm could face supervisory failure charges under FINRA Rules 3110 and 3120 for failing to enforce its own concentration limits and for approving the transactions despite the clear mismatch with the customer profile. State securities regulators could also bring actions under NASAA guidelines regarding unsuitable DPP recommendations. Margaret or her family would have a strong arbitration claim for compensatory damages of approximately \$60,000 in realized losses plus the opportunity cost of illiquidity during a critical period of medical need.

Hypothetical 7

Topic: *failure_to_know_customer* | Difficulty: *medium*

[NON-COMPLIANT]

Fact Pattern

Gerald Hutchins, age 71, is a retired postal worker living in Toledo, Ohio, on a fixed income consisting of a \$2,400 monthly pension and \$1,850 in Social Security benefits. His total liquid net worth is approximately \$285,000, held primarily in a traditional IRA rollover from his federal employee retirement plan. Gerald has no prior experience investing in anything other than certificates of deposit and a conservative bond mutual fund. He has a high school education and describes himself as someone who 'doesn't like to lose money.' In March 2021, Gerald attended a free dinner seminar hosted by financial advisor Danielle Pryor at a steakhouse in suburban Toledo. The seminar was titled 'Retirement Income Strategies for Uncertain Times.' After the seminar, Gerald scheduled a one-on-one meeting with Pryor at her office. During the meeting, which lasted approximately 35 minutes, Pryor asked Gerald only a handful of questions: his age, approximate account size, and whether he was 'comfortable with long-term investments.' Gerald answered that he was 71, had about \$285,000, and said he supposed long-term was fine as long as his money was safe. Pryor did not ask about Gerald's monthly expenses, his total income, his tax situation, any other assets or liabilities, his health status, his beneficiaries, his prior investment experience, or his actual risk tolerance beyond the single question. No written customer profile questionnaire, risk assessment, or investment policy statement was completed. Two weeks later, Pryor recommended that Gerald invest \$175,000—approximately 61% of his liquid net worth—into a non-traded real estate investment trust called Heartland Realty Income Trust II. The product carried a 7-year hold period with no meaningful secondary market, an upfront commission of 7%, and offered a projected (but not guaranteed) distribution yield of 6.5%. The offering documents noted significant risks including illiquidity, potential suspension of distributions, loss of principal, and concentration in commercial retail properties in the Midwest, a sector already under stress. Pryor told Gerald the investment would 'pay him like clockwork every month' and was 'as safe as a CD but with better returns.' She did not discuss the illiquidity, the lack of a secondary market, the risk of distribution suspensions, or the possibility that Gerald might need access to these funds for medical expenses or other emergencies. Pryor earned a \$12,250 commission on the transaction. By late 2022, Heartland Realty Income Trust II suspended its distributions entirely and wrote down its net asset value by 38%, reducing Gerald's investment value to approximately \$108,500. Gerald, who had been relying on the monthly distributions to supplement his pension and Social Security, was forced to take additional withdrawals from his remaining IRA balance to cover living expenses, triggering unexpected tax consequences.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Danielle Pryor violated multiple regulatory standards governing suitability and the duty to know her customer. Under FINRA Rule 2111 (Suitability), a broker-dealer or associated person must have a reasonable basis for believing a recommendation is suitable for a customer based on the customer's investment profile. That profile must include, at a minimum, the customer's age, other investments, financial situation and needs, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information the customer discloses. Pryor conducted virtually no meaningful customer profiling. She asked only three cursory questions-age, approximate account size, and a vague question about 'long-term investments'-and failed to document any of the critical suitability factors. She did not ascertain Gerald's monthly expenses, total income, tax situation, health status, liquidity needs, actual risk tolerance, or prior investment experience. This represents a clear failure under the 'know your customer' component of FINRA Rule 2111(a) and is inconsistent with the reasonable-basis and customer-specific suitability obligations.

Additionally, FINRA Regulatory Notice 10-22 imposes a heightened reasonable investigation duty on firms and associated persons recommending private placements and other complex, illiquid products. This notice requires that the recommending broker conduct due diligence not only on the product but also ensure that the customer's profile supports the recommendation. Pryor's failure to gather essential customer information made it impossible for her to satisfy this duty.

Under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act), broker-dealers owe retail customers a duty to act in their best interest at the time of recommendation, which encompasses the Care Obligation. This obligation requires the advisor to exercise reasonable diligence, care, and skill in understanding the product, understanding the retail customer's investment profile, and having a reasonable basis to believe the recommendation is in the customer's best interest. Pryor's superficial intake process, combined with placing 61% of a 71-year-old retiree's liquid assets into an illiquid non-traded REIT with a 7-year lockup, fails the Care Obligation on multiple levels. The concentration was excessive, the product's illiquidity was incompatible with a retiree who might need access to funds, and the misleading characterization of the product as 'safe as a CD' constituted a material misrepresentation.

NASAA guidelines on non-traded REIT suitability have historically recommended concentration limits (often 10% of liquid net worth for non-traded REITs and DPPs) and require thorough documentation of customer profiles. A 61% concentration would far exceed any reasonable threshold.

FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade) is also implicated by Pryor's misleading statements comparing the non-traded REIT to a CD and her omission of material risk factors.

The GPB Capital enforcement actions and numerous non-traded REIT disciplinary proceedings have established that regulators take an aggressive posture toward advisors who recommend illiquid alternative investments without adequate know-your-customer documentation and without disclosing material risks. The likely regulatory outcome would include disgorgement of commissions, restitution to the customer, fines, a suspension or bar from the industry, and potential supervisory liability for Pryor's firm for failing to ensure adequate customer profiling was completed before approving the transaction.

Hypothetical 8

Topic: *senior_investor_exploitation* | Difficulty: *medium*

[NON-COM

Fact Pattern

Margaret Olsen, age 79, is a retired school librarian living in suburban Des Moines, Iowa. She has a fixed annual income of \$34,000 from Social Security and a small pension. Her total liquid savings amount to approximately \$285,000, held primarily in certificates of deposit and a money market account at her local bank. She also owns her home outright, valued at roughly \$180,000. Margaret has no other sources of income and relies on her savings to supplement her fixed income for medical expenses, property taxes, and daily living costs. She has consistently described herself as a conservative investor with a primary objective of capital preservation and income generation. She has no prior experience with alternative investments, limited partnerships, or private securities of any kind.

In February 2022, her financial advisor, Kevin Driscoll, age 41, who had been managing her accounts for three years, recommended that she invest \$140,000—nearly half of her liquid net worth—into a non-traded real estate investment trust called Heartland Realty Income Trust II. The product carried a 7% upfront commission, a minimum seven-year holding period with no guaranteed liquidity, and offered projected (but not guaranteed) annual distributions of 6.5%. Kevin told Margaret the investment was 'like a CD but with better returns' and emphasized the monthly income she could expect. He did not discuss the illiquid nature of the investment, the lack of a secondary market, the possibility that distributions could be funded from offering proceeds or borrowings rather than actual earnings, or the substantial upfront load that would reduce her invested principal from day one.

Kevin's firm had recently added Heartland Realty Income Trust II to its product shelf after a brief due diligence review that consisted of reading the sponsor's marketing brochure. No independent analysis of the sponsor's track record, financial statements, property portfolio, or fee structure was conducted. The firm's compliance department did not review the recommendation to Margaret before it was executed.

By October 2023, Heartland Realty Income Trust II had suspended distributions entirely, citing declining occupancy rates and rising interest costs. The trust's estimated per-share value was written down by 38%. Margaret, now 80, found herself unable to access \$140,000 of her savings, with no distributions being paid and a dramatically reduced account value. She had begun deferring medical procedures due to cash flow concerns and was considering selling her home.

Kevin earned approximately \$9,800 in gross commissions from the transaction. Records show he made similar recommendations to eleven other clients over age 70 during the same period, collectively investing over \$1.6 million into the same non-traded REIT.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll violated multiple regulatory standards governing suitability, reasonable diligence, and the duty to act in the customer's best interest.

****Customer-Specific Suitability (FINRA Rule 2111.05):**** Margaret's profile—a 79-year-old retiree with \$285,000 in liquid assets, fixed income of \$34,000, conservative risk tolerance, capital preservation objectives, and no experience with alternative investments—made a \$140,000 allocation to an illiquid, non-traded REIT fundamentally unsuitable. The concentration of nearly 49% of her liquid net worth in a single illiquid product with a seven-year lockup and no guaranteed distributions directly contradicted her stated need for safety, liquidity, and income reliability. Under FINRA Rule 2111, the advisor must have a reasonable basis to believe that the recommendation is suitable for the particular customer based on that customer's investment profile.

****Reasonable-Basis Suitability and Due Diligence (FINRA Regulatory Notice 10-22):**** RN 10-22 imposes a heightened reasonable investigation duty on member firms and their associated persons when recommending private placements and other complex, illiquid products. The firm's due diligence was grossly inadequate—reviewing only a sponsor marketing brochure without conducting independent analysis of the sponsor's track record, financials, property portfolio, or fee structures. This failure to conduct a reasonable investigation means the firm and advisor lacked a reasonable basis to recommend the product to any customer, let alone a conservative elderly investor.

****Regulation Best Interest (SEC Rule 15l-1):**** Under Reg BI's Care Obligation, a broker-dealer and associated person must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and must have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Kevin failed all prongs: he did not understand or disclose the risks of the product; he prioritized his \$9,800 commission over Margaret's interests; and the recommendation bore no rational relationship to her needs. The Conflict of Interest Obligation under Reg BI also required disclosure and mitigation of the compensation incentive, which Kevin did not address.

****Misleading Characterization:**** Describing the non-traded REIT as 'like a CD but with better returns' was materially misleading and violates FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade). CDs are FDIC-insured, liquid, and carry virtually no principal risk. A non-traded REIT has none of these characteristics. This misrepresentation likely induced Margaret to invest based on a fundamentally inaccurate understanding of the product.

****NASAA Guidance on DPP Recommendations:**** NASAA has repeatedly identified non-traded REITs sold to seniors and conservative investors in excessive concentrations as a primary enforcement concern. Many state securities regulators have adopted concentration limits (often 10% of liquid net worth) for non-traded REITs. A 49% concentration for a 79-year-old conservative investor vastly exceeds any reasonable concentration threshold.

****Pattern of Conduct:**** The fact that Kevin made similar recommendations to eleven other elderly clients, investing over \$1.6 million collectively, suggests a sales practice driven by compensation rather than individualized suitability analysis, potentially constituting a pattern of senior investor exploitation.

****Supervisory Failures:**** The firm's failure to conduct adequate product-level due diligence and its

compliance department's failure to review the recommendation before execution represent supervisory violations under FINRA Rules 3110 and 3120.

****Likely Regulatory Outcome:**** Kevin faces potential sanctions including fines, disgorgement of commissions, suspension or bar from the industry, and customer restitution. The firm faces potential fines, supervisory violation findings, and mandatory remediation. This fact pattern closely mirrors enforcement actions in the non-traded REIT space, including actions related to GPB Capital and similar illiquid alternative products sold to unsuitable investors. State regulators may pursue additional actions under NASAA guidelines. Margaret would likely prevail in a customer arbitration seeking recovery of her losses plus consequential damages.

Hypothetical 9

[NON-COMMERCIAL]

Topic: alternative_investments_unsuitable | Difficulty: medium

Fact Pattern

Margaret Colvin, age 71, is a retired elementary school teacher living in Tulsa, Oklahoma. Her total liquid net worth is approximately \$410,000, consisting of a \$320,000 traditional IRA rollover from her pension and \$90,000 in a bank savings account. She receives \$2,400 per month in Social Security and a small \$600 per month annuity payment. Her monthly expenses, including medication for a chronic heart condition, total roughly \$2,800. She has no other sources of income and has described her investment objective as 'preservation of capital with modest income.' On her new account form, her risk tolerance is marked as 'conservative,' and she has no prior experience with alternative investments, private placements, or real estate programs. In March 2021, her financial advisor, Kevin Braddock, recommended that she invest \$175,000 - approximately 43% of her liquid net worth - into a non-traded real estate investment trust called Pinnacle Income REIT II. The REIT had a minimum seven-year holding period, no secondary market for shares, paid distributions partially from return of capital rather than operating income, carried upfront fees and commissions totaling 12%, and invested primarily in commercial office properties. Braddock told Mrs. Colvin the investment would 'pay her a steady 6.5% distribution like clockwork' and compared it to a certificate of deposit, stating it was 'basically the same thing but with a better yield.' He did not explain the illiquidity, the lack of a public trading market, the risk that distributions could be reduced or suspended, the nature of return-of-capital distributions, or the impact of the high front-end load on her invested principal. Braddock earned a \$13,125 commission on the transaction. By late 2022, Pinnacle Income REIT II suspended all distributions and announced it was exploring a potential wind-down of the fund after significant tenant vacancies in its office portfolio. Mrs. Colvin was unable to access her capital and filed a complaint in January 2023 stating she was never told the money could be locked up or that distributions could stop.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Braddock violated multiple regulatory standards in recommending the Pinnacle Income REIT II to Margaret Colvin.

****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Under Rule 2111's three-part suitability framework:

- ***Reasonable-basis suitability:** Braddock was required under FINRA Regulatory Notice 10-22 to conduct a reasonable investigation into the non-traded REIT before recommending it. This includes understanding the product's features, risks, fees, liquidity restrictions, and the financial health of the sponsor. There is no indication Braddock performed any independent due diligence or understood the risks of the Pinnacle REIT's commercial office concentration, return-of-capital distribution structure, or wind-down risk.

- ***Customer-specific suitability:** Mrs. Colvin's profile - a 71-year-old retiree with conservative risk tolerance, preservation-of-capital objectives, limited liquid net worth, ongoing medical expenses, and no alternative investment experience - makes a 43% concentration in an illiquid, high-fee, non-traded REIT fundamentally unsuitable. She needed accessible funds for living expenses and medical costs, and the seven-year lockup created an unacceptable liquidity mismatch.

- ***Quantitative suitability:** While this prong typically applies to excessive trading, the sheer concentration of 43% of liquid assets in a single illiquid product is relevant to the overall suitability analysis.

****Regulation Best Interest (Rule 15l-1):**** If Braddock was acting in a broker-dealer capacity at the time of the recommendation, Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the product's risks, rewards, and costs. He was required to consider reasonably available alternatives. Comparing a non-traded REIT to a CD is materially misleading and demonstrates a failure of the Care Obligation. The Disclosure Obligation required him to disclose all material facts, including conflicts of interest such as the \$13,125 commission, the illiquidity, the nature of return-of-capital distributions, and the possibility of distribution suspensions.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Braddock's mischaracterization of the REIT as comparable to a CD - omitting the illiquidity, lack of principal protection, fee structure, and distribution risk - constitutes a violation of just and equitable principles of trade.

****FINRA RN 10-22 (Reasonable Investigation Duty for Private Placements):**** This notice specifically reminds firms and their associated persons of the obligation to conduct a reasonable investigation of the issuer and the securities they recommend, particularly for illiquid offerings like non-traded REITs. The duty extends to understanding the business plan, the financial condition of the sponsor, fee structures, and specific risk factors. Braddock's failure to explain or apparently even understand the product's fundamental risks is indicative of a failure to perform this investigation.

****NASAA Guidance on Unsuitable DPP Recommendations:**** State securities regulators have long warned that non-traded REITs and similar direct participation programs should generally not exceed 10% of an

investor's liquid net worth, especially for conservative, elderly, income-dependent investors. A 43% concentration vastly exceeds any reasonable concentration guideline.

****Likely Regulatory Outcome:**** Braddock would likely face FINRA enforcement action including fines, disgorgement of commissions, a suspension or bar, and potential restitution to Mrs. Colvin. His firm could face supervisory failure charges if it failed to implement reasonable controls around non-traded REIT sales to elderly, conservative investors. Mrs. Colvin would have strong grounds for recovery in FINRA arbitration.

Hypothetical 10

Topic: *alternative_investments_unsuitable* | Difficulty: *medium*

[NON-COM

Fact Pattern

Margaret Okonkwo, age 71, is a retired school librarian living in Toledo, Ohio, with an annual pension income of \$42,000 and Social Security benefits of \$21,600. Her total liquid net worth is approximately \$310,000, held primarily in a rollover IRA (\$245,000) and a savings account (\$65,000). She has no other sources of income and relies on periodic IRA withdrawals to supplement her pension for living expenses, medical co-pays, and property taxes on her home. She described her risk tolerance as conservative on her new account form and listed her investment objectives as capital preservation and income generation. She has no prior experience with alternative investments, limited partnerships, or real estate programs.

In March 2022, her financial advisor, Dale Sutherland, who had been managing her IRA for two years, recommended she invest \$125,000 - roughly 51% of her IRA - into a non-traded Real Estate Investment Trust called Meridian Healthcare Properties REIT, which focused on acquiring skilled nursing facilities and assisted living centers across the Midwest. The REIT carried a minimum seven-year hold period with no guaranteed liquidity or redemption program, paid a stated but non-guaranteed distribution of 6.5% annually, and charged upfront offering costs of approximately 12% (including a 7% selling commission and 5% in organizational and offering expenses). Sutherland told Margaret the investment was "like owning a piece of real estate without the headaches" and emphasized the monthly income distributions, comparing them favorably to CD rates, which at the time were approximately 0.5%. He did not discuss the illiquidity, the lengthy hold period, the lack of a secondary market, the possibility that distributions could be funded by return of capital rather than earnings, or the substantial upfront fees that would immediately reduce the value of her investment by roughly \$15,000. No documentation in Margaret's file reflects that Sutherland conducted any independent investigation into the REIT's financial condition, property portfolio quality, management track record, or fee structure beyond reading the summary marketing brochure provided by the sponsor's wholesaler.

By late 2023, Meridian Healthcare Properties REIT suspended its distribution payments due to rising operational costs and declining occupancy rates at several of its facilities. The REIT's board estimated the net asset value per share had declined approximately 30% from the original offering price. Margaret, who had been counting on the monthly distributions to cover her prescription medication costs and property tax installments, was forced to liquidate a significant portion of her remaining IRA holdings at unfavorable market prices to meet her expenses. She filed a complaint in January 2024 alleging that the

recommendation was inappropriate for someone in her financial situation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Sutherland violated applicable suitability and best interest standards in multiple respects.

****Concentration and Suitability Analysis Under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis for believing a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Margaret was a 71-year-old retiree with conservative risk tolerance, capital preservation and income objectives, limited liquid assets, no alternative investment experience, and ongoing reliance on her IRA for living expenses. Recommending that she concentrate 51% of her IRA in a single illiquid, non-traded REIT with a seven-year minimum hold period and no guaranteed distributions was plainly unsuitable under both customer-specific and quantitative suitability components of Rule 2111.

****Reg BI - Regulation Best Interest (Rule 15l-1):****

If this transaction occurred under a Reg BI framework (applicable to broker-dealer recommendations to retail customers after June 30, 2020), the Care Obligation under Reg BI required Sutherland to exercise reasonable diligence, care, and skill in making the recommendation, to understand the risks and costs of the non-traded REIT, and to have a reasonable basis to believe the recommendation was in Margaret's best interest at the time, considering her specific profile. The recommendation failed the Care Obligation because it exposed a conservative, income-dependent retiree to severe illiquidity risk and concentration risk, and Sutherland apparently failed to consider reasonably available alternatives (e.g., investment-grade bonds, Treasury securities, or traded REITs with daily liquidity) that could have met her income needs without the extreme liquidity constraints.

****FINRA Regulatory Notice 10-22 - Reasonable Investigation Duty:****

RN 10-22 specifically addresses the obligation of broker-dealers and their associated persons to conduct a reasonable investigation of private placements and similar offerings before recommending them to customers. This includes examining the issuer's financial statements, management background, property assets, fee structures, use of proceeds, and risk factors - not simply relying on marketing materials provided by the sponsor or its wholesaler. Sutherland's file contained no evidence of any independent due diligence beyond the sponsor's marketing brochure. This failure to investigate independently is a standalone violation, irrespective of whether the investment ultimately lost value.

****Non-Traded REIT Enforcement Precedent:****

Regulatory enforcement actions against firms selling non-traded REITs (including high-profile cases involving firms like GPB Capital, American Realty Capital, and others) have consistently found violations where: (1) upfront costs were not adequately disclosed, (2) concentration exceeded reasonable thresholds for the customer's profile (many regulators and firms use a 10-15% guideline for alternative/illiquid investments relative to liquid net worth), (3) distributions funded by return of capital were misleadingly described as income, and (4) advisors failed to adequately explain illiquidity risks. Margaret's investment at

51% of her IRA far exceeded any reasonable concentration threshold, and Sutherland's comparison of the REIT's distributions to CD rates was materially misleading given the vastly different risk profiles.

****NASAA Guidance:****

The North American Securities Administrators Association has issued specific guidance identifying non-traded REITs as frequently unsuitable for elderly, conservative, and income-dependent investors, and has flagged concentration levels, illiquidity, and fee opacity as recurring suitability concerns.

****FINRA Rule 2010 - Standards of Commercial Honor:****

Sutherland's failure to disclose the 12% upfront costs, the illiquidity, and the risk that distributions could represent return of capital rather than investment income constitutes conduct inconsistent with just and equitable principles of trade under FINRA Rule 2010.

****Likely Regulatory Outcome:****

Sutherland and his firm would likely face sanctions including fines, disgorgement of commissions, restitution to the customer, potential suspension or bar, and a heightened supervisory plan. In a customer arbitration, Margaret would have strong claims for unsuitable recommendation, failure to disclose material risks, and failure to conduct reasonable due diligence. Damages would likely include the difference between her initial investment and its current value, plus consequential damages from being forced to liquidate other IRA holdings at unfavorable prices.

Hypothetical 11

Topic: *failure_to_know_customer* | Difficulty: *medium*

[NON-COM]

Fact Pattern

In September 2021, registered representative Mark Devlin recommended that his client, Patricia Owens, invest \$175,000 into a Regulation D private placement offering structured as a direct participation program in a portfolio of commercial real estate developments across the Southeast United States. The offering memorandum disclosed a minimum seven-year hold period, no secondary market, and estimated annual distributions of 6-8% that were not guaranteed. Patricia was 71 years old, a retired elementary school teacher receiving a pension of \$3,400 per month and Social Security of \$1,800 per month. Her total liquid net worth was approximately \$410,000, held primarily in a traditional IRA and a savings account. She had no prior experience with private placements, alternative investments, or real estate syndications. Her account opening documents at the broker-dealer listed her investment objective as 'income' and her risk tolerance as 'moderate.' Devlin had been introduced to Patricia through her nephew, who was also a client. During their two meetings—one in person and one by phone—Devlin described the investment as 'like owning rental property without the hassle' and emphasized the projected income distributions. He did not ask Patricia about her liquidity needs, her health status, or whether she had any anticipated large expenses. He did not inquire about her other sources of income beyond what was on the original new account form completed three years earlier, nor did he update her financial profile before making the recommendation. Patricia signed the subscription documents. Fourteen months later, the sponsor announced it was suspending distributions due to construction delays and cost overruns. Patricia contacted Devlin requesting

a return of her capital and was informed that redemption was not available. The \$175,000 represented approximately 43% of her total liquid assets.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Mark Devlin violated applicable suitability and best interest standards on multiple grounds.

****Failure to Know the Customer (FINRA Rule 2111 - Customer-Specific Suitability):**** FINRA Rule 2111 requires that a registered representative have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, which includes age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information the customer may disclose. Devlin failed to update Patricia's financial profile before making the recommendation. Her account documentation was three years old, and he made no effort to ascertain her current liquidity needs, health status, anticipated expenses, or whether her financial circumstances had changed since retirement. This constitutes a clear failure to know the customer.

****Concentration and Illiquidity Concerns:**** Allocating \$175,000 - approximately 43% of Patricia's liquid net worth - to a single illiquid private placement with a seven-year minimum hold period is facially unsuitable for a 71-year-old retiree living on a fixed income with moderate risk tolerance and an income-oriented investment objective. FINRA Regulatory Notice 10-22 specifically addresses the heightened obligation broker-dealers and their representatives have when recommending private placements, including the duty to conduct a reasonable investigation into the investment and to ensure the recommendation is consistent with the customer's profile. The concentration risk alone raises serious red flags.

****Reasonable-Basis Suitability:**** Under FINRA Rule 2111's reasonable-basis component, Devlin was required to perform due diligence sufficient to understand the risks and features of the DPP offering. His characterization of the investment as 'like owning rental property without the hassle' understated the material risks - including illiquidity, distribution suspension risk, and total loss of capital - suggesting inadequate investigation or misleading communication.

****Regulation Best Interest (Reg BI - Rule 15l-1):**** If Devlin's broker-dealer was subject to Reg BI (effective June 30, 2020), the Care Obligation under Reg BI required him to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the customer's investment profile and evaluating the recommendation in light of that profile. Recommending a heavily illiquid, long-duration alternative investment representing 43% of a retired fixed-income client's liquid assets without even updating her financial information fails the Care Obligation.

****FINRA Rule 2010 (Standards of Commercial Honor):**** The failure to gather and consider essential customer information before recommending a high-risk, illiquid product also implicates FINRA Rule 2010, which requires adherence to high standards of commercial honor and just and equitable principles of trade.

****NASAA Guidance:**** NASAA has issued guidance specifically cautioning against unsuitable DPP

recommendations to elderly, fixed-income investors, emphasizing that concentration in illiquid products is presumptively unsuitable absent compelling justification.

****Likely Regulatory Outcome:**** Devlin and his firm would likely face enforcement action, including potential fines, disgorgement, restitution to the customer, and suspension. The firm could also face supervisory failure charges if it lacked adequate procedures to flag the concentration and the failure to update customer information before a private placement subscription was processed. GPB Capital enforcement precedents have demonstrated regulators' willingness to pursue significant sanctions for failures in private placement due diligence and suitability analysis.

Hypothetical 12

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

[NON-COMPLIANT]

Fact Pattern

Margaret Olsen, age 72, is a retired schoolteacher living in Columbus, Ohio, with a fixed annual income of \$46,000 consisting of Social Security benefits and a modest state pension. She has a total liquid net worth of approximately \$285,000, held primarily in certificates of deposit and a conservative balanced mutual fund. Her investment objectives, as documented on her new account form completed in March 2021, were listed as "capital preservation" and "income generation," with a risk tolerance marked as "low." She had no prior experience with alternative investments, limited partnerships, or any illiquid securities. Her advisor, Craig Devereaux, who had been her advisor for three years at a mid-sized independent broker-dealer, recommended in April 2021 that she invest \$95,000—approximately one-third of her liquid net worth—into a non-traded real estate investment trust called Heartland Realty Income Trust III. The REIT had a seven-year estimated hold period, no secondary market for shares, offered a stated distribution yield of 6.5%, and carried upfront fees and commissions totaling 11.5%, meaning roughly \$10,925 of Margaret's investment went to fees and selling compensation at the time of purchase. Devereaux told Margaret the investment would "pay her like clockwork every quarter" and described it as "just like owning rental property without the headaches." He did not discuss the illiquidity of the product, the possibility that distributions could be funded from offering proceeds or borrowings rather than operating income, or the lack of a public trading market. He also did not explain the early redemption restrictions, which limited share repurchases to cases of death or disability during the first two years and capped all redemptions at 5% of outstanding shares per year thereafter. Margaret signed the subscription documents but later told a family member she thought she could "get her money back anytime, like a CD." In September 2022, the REIT suspended its distribution payments and announced a 30% write-down in estimated share value, reducing Margaret's position to approximately \$58,975 before accounting for the upfront fees already paid. She filed a complaint with her state securities regulator in November 2022, stating that Devereaux never explained the risks and that the investment was completely inconsistent with her goals and financial situation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Devereaux violated applicable suitability and best interest standards in multiple respects.

****Customer-Specific Suitability (FINRA Rule 2111.05):**** Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction is suitable for the particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, risk tolerance, liquidity needs, time horizon, and investment experience. Margaret Olsen was a 72-year-old retiree with a low risk tolerance, capital preservation and income objectives, modest fixed income, and no experience with alternative or illiquid investments. Concentrating roughly 33% of her liquid net worth in a single non-traded REIT with a seven-year hold period, no secondary market, and substantial upfront costs is facially inconsistent with her documented profile. The recommendation fails customer-specific suitability.

****Quantitative Concentration:**** NASAA guidelines and numerous enforcement actions have established that non-traded REITs should generally not exceed 10% of a customer's liquid net worth for investors with modest means, and many states explicitly cap concentration at that level. A 33% allocation far exceeds any reasonable concentration threshold for a conservative, elderly investor.

****Reasonable-Basis Suitability and Due Diligence (FINRA Regulatory Notice 10-22):**** RN 10-22 imposes a heightened reasonable investigation duty on broker-dealers recommending private placements and other complex products. The advisor must understand the product's features, risks, and economics before recommending it. Devereaux's characterization of the REIT as comparable to owning rental property and his failure to disclose that distributions could be paid from sources other than operating cash flow suggest he either failed to conduct adequate due diligence on the product or deliberately omitted material information.

****Disclosure Failures and Fair Dealing (FINRA Rule 2010):**** Devereaux's omission of key risk factors-illiquidity, redemption restrictions, distribution sustainability concerns, and the 11.5% front-end load-violated the obligation of fair dealing with customers. Margaret's belief that she could access her money at any time demonstrates that the advisor created a materially misleading impression of the investment.

****Regulation Best Interest (SEC Rule 15l-1):**** If the recommendation occurred after June 30, 2020 (which it did, in April 2021), Reg BI's Care Obligation required Devereaux to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the product's risks, rewards, and costs. The Disclosure Obligation required him to provide full and fair disclosure of all material facts, including costs, conflicts of interest, and the nature of the product's illiquidity. Both obligations were violated.

****Likely Regulatory Outcome:**** Devereaux and his firm face potential sanctions including disgorgement of commissions, restitution to the customer, fines, and possible suspension. The broker-dealer's supervisory system may also be cited for failure to supervise if it did not flag the concentration or the suitability mismatch. State regulators may pursue action under NASAA's non-traded REIT suitability standards as well. Margaret has strong grounds for recovery through arbitration or a state administrative proceeding.

Hypothetical 13

Topic: *alternative_investments_unsuitable* | Difficulty: *hard*

Fact Pattern

Gerald Whitman, age 58, is a recently retired high school principal in Columbus, Ohio. He rolled over his \$410,000 pension into an IRA and also has \$85,000 in a savings account, a paid-off home valued at \$260,000, and Social Security income of \$2,400 per month. His wife, age 56, works part-time earning \$18,000 annually. Gerald's new account form listed his risk tolerance as 'moderate,' his investment objectives as 'income and capital preservation,' his time horizon as 10-15 years, and his investment experience as 'limited - mostly held pension and savings accounts.' He told his financial advisor, Craig Delmonico, that he needed reliable income to supplement Social Security and did not want to take chances with money he could not replace.

In March 2021, Delmonico recommended that Gerald invest \$125,000 from his IRA into a non-traded real estate investment trust focused on commercial office properties, emphasizing 'steady 6.5% distributions' and describing the product as 'like owning real estate without the hassle.' In June 2021, Delmonico recommended an additional \$80,000 into a Regulation D private placement in an energy exploration limited partnership structured as a direct participation program, highlighting potential tax benefits and projected 8% annual returns. In September 2021, Delmonico placed another \$60,000 of Gerald's IRA into a second non-traded REIT that invested in hospitality properties.

In total, \$265,000 of Gerald's \$410,000 IRA - approximately 64.6% - was now concentrated in illiquid alternative investments. Delmonico earned a combined \$21,200 in commissions across the three transactions. The offering documents for all three products disclosed holding periods of 7-10 years with no guaranteed secondary market, early redemption penalties of up to 10%, and risk factors including potential loss of principal. Delmonico did not document any independent investigation into the financial health, track record, or management of any of the three issuers beyond reviewing the sales materials provided by the sponsors' wholesalers. He did not contact the issuers' management, review audited financials, or examine prior program performance.

By late 2022, the office-focused non-traded REIT suspended distributions citing declining occupancy rates and remote work trends. The hospitality REIT reduced its estimated share value by 30%. The energy limited partnership sent K-1s showing losses but Gerald, holding the investment in an IRA, received no tax benefit from those losses. Gerald requested redemption from all three products and learned that early withdrawal would cost him approximately \$24,000 in penalties, and that his energy LP interest had no redemption mechanism at all. Gerald filed a complaint alleging his advisor placed him in investments completely at odds with his stated needs and never performed adequate research on the products.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Delmonico committed multiple violations across several regulatory frameworks.

****Concentration in Illiquid Alternatives (FINRA Rule 2111 - Suitability):**** Under the quantitative suitability component of FINRA Rule 2111, a recommendation must be suitable not only on a transaction-by-transaction basis but also in light of the customer's overall portfolio. Placing 64.6% of a recently retired client's IRA - his primary retirement asset - into illiquid alternative investments with 7-10 year lockups is facially unsuitable for a 58-year-old retiree with moderate risk tolerance, limited investment experience, and stated objectives of income and capital preservation. NASAA guidelines on non-traded REITs and DPPs have historically recommended concentration limits of 10% of net worth (exclusive of home and automobile) for illiquid investments, and many states have adopted such limits. Gerald's liquid net worth was approximately \$495,000 (\$410,000 IRA + \$85,000 savings), meaning \$265,000 in illiquid products represented roughly 53.5% of his liquid assets - far exceeding any reasonable concentration threshold.

****Failure of Reasonable Investigation Duty (FINRA Regulatory Notice 10-22):**** RN 10-22 imposes an affirmative obligation on broker-dealers and their associated persons to conduct a reasonable investigation of private placements and other Regulation D offerings before recommending them. This includes examining the issuer's financial condition, management, business prospects, and the accuracy of representations in offering documents. Delmonico relied solely on wholesaler-provided marketing materials without conducting any independent due diligence - he did not review audited financials, contact management, examine prior program track records, or verify the representations made in sales literature. This is a direct violation of the reasonable-basis suitability obligation under Rule 2111 as elaborated by RN 10-22.

****Tax Benefit Mismatch (Energy LP in IRA):**** Recommending a tax-advantaged energy exploration DPP inside a tax-deferred IRA eliminated the primary economic benefit of the partnership structure (pass-through deductions and depletion allowances). K-1 losses inside an IRA provide no tax benefit to the investor. This demonstrates a failure of customer-specific suitability analysis and raises questions about whether Delmonico understood the product he was recommending.

****Regulation Best Interest (SEC Rule 15l-1):**** For recommendations made after June 30, 2020, Reg BI's Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making a recommendation and consider reasonably available alternatives. Delmonico failed to consider lower-cost, liquid income-producing alternatives (e.g., bond funds, dividend equity funds, publicly traded REITs) that would have been far more consistent with Gerald's objectives. The Cost Obligation under Reg BI also requires consideration of cost - Delmonico earned \$21,200 in commissions (approximately 8% average load), and these high costs were not weighed against the client's interests.

****FINRA Rule 2010 - Standards of Commercial Honor:**** The overall pattern - unsuitable concentration, failure to investigate, product-account mismatch, and high commissions - reflects conduct inconsistent with just and equitable principles of trade under Rule 2010.

****Likely Regulatory Outcome:**** Delmonico faces potential FINRA enforcement action including fines, disgorgement of commissions, suspension, and customer restitution. Based on precedent from GPB Capital and non-traded REIT enforcement sweeps, his firm could also face supervisory failure charges if it lacked adequate procedures for reviewing alternative investment concentration and due diligence. Gerald

would likely prevail in a FINRA arbitration claim for compensatory damages including lost principal, redemption penalties, and opportunity costs.

Hypothetical 14

Topic: *illiquid_real_estate_investment* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Margaret Dawson, age 71, is a retired school teacher living in suburban Ohio. She receives \$2,800 per month in pension income and \$1,950 per month in Social Security benefits. Her total liquid net worth is approximately \$410,000, held primarily in a traditional IRA rollover account valued at \$340,000 and a savings account with \$70,000. She owns her home outright, valued at \$185,000. Mrs. Dawson has no other sources of income and has described her investment objectives as capital preservation and income generation. On her new account form, her risk tolerance is marked as 'moderate,' and her time horizon is listed as 5-7 years. She has no prior experience with alternative investments or private placements.

In March 2022, her financial advisor, Kevin Burroughs, who works for Pinnacle Wealth Partners, recommended that Mrs. Dawson invest \$120,000 from her IRA into a non-traded real estate investment trust called Harvest Commercial Properties REIT, Inc. The product had a minimum seven-year hold period with no established secondary market for shares. The offering documents disclosed a front-end load of 7%, meaning approximately \$8,400 of her investment went to commissions and offering costs rather than being invested in real estate assets. The REIT's stated distribution yield was 5.5%, though the prospectus supplement noted that distributions could be funded from offering proceeds and borrowings, not solely from operating cash flow.

Burroughs told Mrs. Dawson that the investment was 'basically like owning real estate without the hassle' and described the distribution payments as 'reliable monthly income, similar to a CD but with a better rate.' He did not discuss the illiquid nature of the investment in detail, nor did he explain that her ability to access the \$120,000 would be severely restricted for at least seven years. He did not present any alternative investment options, such as investment-grade bond funds, dividend-paying equity funds, or certificates of deposit, which could have provided income with substantially greater liquidity. Burroughs also did not conduct any independent investigation into Harvest Commercial Properties REIT beyond reviewing the sponsor's marketing materials and a one-page due diligence summary provided by his firm's product sponsor division.

The \$120,000 investment represented approximately 29% of Mrs. Dawson's total liquid net worth and roughly 35% of her IRA. By late 2023, Harvest Commercial Properties REIT suspended its share repurchase program, effectively eliminating even the limited liquidity mechanism that had been available. In early 2024, Mrs. Dawson needed funds for unexpected medical expenses totaling \$38,000 but was unable to access any portion of her REIT investment. She was forced to deplete most of her savings account and borrow against a credit card at 22% interest.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Burroughs likely violated multiple regulatory standards in recommending this non-traded REIT to Mrs. Dawson.

****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, risk tolerance, and other relevant information. There are three components of suitability: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Reasonable-Basis Suitability: Burroughs failed to conduct adequate due diligence on the Harvest Commercial Properties REIT. FINRA Regulatory Notice 10-22 makes clear that broker-dealers and their associated persons have a duty to conduct a reasonable investigation of the securities they recommend, particularly with respect to private placements and complex products. Reviewing only the sponsor's marketing materials and a one-page summary is wholly insufficient. An advisor recommending a non-traded REIT must understand the product's fee structure, distribution policies (including whether distributions are funded from operations or return of capital), redemption limitations, valuation methodology, the sponsor's track record, and the underlying real estate portfolio.

Customer-Specific Suitability: The recommendation was unsuitable for Mrs. Dawson's specific profile. She is a 71-year-old retiree with limited income, moderate risk tolerance, capital preservation objectives, and a 5-7 year time horizon. Allocating 29% of her liquid net worth (and 35% of her IRA) to an illiquid product with a minimum seven-year hold period and no secondary market is inconsistent with her stated objectives and liquidity needs. Many state securities regulators, consistent with NASAA guidelines, have established concentration limits for non-traded REITs-typically 10% of liquid net worth for general investors and sometimes lower for seniors. The 29% concentration here far exceeds any reasonable threshold.

****Regulation Best Interest (Rule 15l-1):**** If the transaction occurred after June 30, 2020 (which it did, in March 2022), the Care Obligation under Reg BI requires that the advisor exercise reasonable diligence, care, and skill in making the recommendation. The advisor must understand the risks, rewards, and costs of the recommendation, consider reasonably available alternatives, and have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the advisor's interest ahead of the customer's. Burroughs failed on all counts: (1) he did not adequately understand the product's risks, including the possibility of distribution suspensions and the lack of liquidity; (2) he did not present or consider alternatives such as bond funds, dividend-paying stocks, or CDs; (3) the 7% front-end load created a significant financial incentive for Burroughs that likely influenced his recommendation; and (4) the product was manifestly not in the best interest of a 71-year-old capital-preservation-oriented retiree with limited assets.

The Disclosure Obligation under Reg BI also required Burroughs to disclose all material facts about the recommendation, including costs, risks, and conflicts of interest. His comparison of the REIT to a CD was materially misleading-CDs are FDIC insured, highly liquid, and carry no market risk, whereas a non-traded REIT is illiquid, uninsured, subject to real estate market risk, and may return capital disguised as distributions.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Burroughs' misleading characterization of the REIT as comparable to a CD, and his failure to disclose the severe illiquidity, constitutes conduct inconsistent with just and equitable principles of trade.

****Likely Regulatory Outcome:**** Burroughs and Pinnacle Wealth Partners face potential enforcement action for suitability violations, failure to conduct reasonable due diligence, and misleading sales practices. Remedies could include disgorgement of commissions, restitution to Mrs. Dawson, fines, and suspension. The firm may also face supervisory failure charges if it did not have adequate procedures to review suitability of non-traded REIT recommendations to elderly clients with limited liquid net worth. NASAA enforcement trends and recent non-traded REIT enforcement actions (including patterns seen in cases involving firms like GPB Capital distributors) suggest regulators take an aggressive posture on excessive concentration of illiquid alternative investments for senior investors.

Hypothetical 15

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Gerald Whitmore, age 71, is a retired postal worker living in suburban Tampa, Florida. He receives \$2,400 per month in Social Security and a small pension of \$1,100 per month. His total liquid net worth is approximately \$285,000, held primarily in a traditional IRA rollover from his former employer's 401(k). Gerald has no other significant assets aside from his home, which is valued at \$190,000 with a remaining mortgage balance of \$62,000. He has minimal investment experience, having only ever owned target-date mutual funds inside his employer plan. During his initial meeting with advisor Stacy Pham at Ridgeview Capital Partners in March 2022, Gerald stated his primary goal was capital preservation and income generation to supplement his monthly expenses, which totaled roughly \$3,800 per month. He described himself as 'very cautious' and said he could not afford to lose his savings because it was 'all he had.' On his new account form, Pham recorded Gerald's risk tolerance as 'moderate' rather than 'conservative,' explaining to Gerald that 'moderate just means we'll be thoughtful about where we put your money.' In April 2022, Pham recommended Gerald invest \$140,000 - nearly half his liquid net worth - into a non-traded real estate investment trust called Pinnacle Healthcare Properties REIT, which carried a minimum seven-year hold period, no secondary market, upfront fees totaling 12% (including selling commissions, dealer manager fees, and offering expenses), and distributions that were partially funded from offering proceeds rather than operating cash flow. Pham also recommended an additional \$45,000 into a Regulation D private placement in a startup oil and gas exploration limited partnership, SunBelt Energy Partners LP, which required investors to be accredited (Gerald barely qualified based on the firm's internal calculations using his IRA value and home equity) and carried substantial risk of total loss. Pham earned a combined commission of approximately \$19,400 on the two transactions. Gerald was not informed that the non-traded REIT's distributions were partially return of capital, nor was he told that the oil and gas partnership had no operating history. By late 2023, Pinnacle Healthcare Properties REIT suspended its distribution payments and announced a 40% write-down in net asset value. SunBelt Energy Partners LP sent a letter to investors indicating the partnership's exploratory wells were nonproductive and that investors should expect no return

of capital. Gerald's combined losses exceeded \$120,000.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, advisor Stacy Pham committed multiple violations. First, under FINRA Rule 2111 (Suitability), a registered representative must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, time horizon, and investment objectives. Gerald was a 71-year-old retiree with limited income, modest savings, no investment sophistication, a stated conservative risk tolerance, and a primary objective of capital preservation and income supplementation. Concentrating nearly 65% of his liquid net worth (\$185,000 of \$285,000) into illiquid, high-risk alternative investments - a non-traded REIT and a Reg D oil and gas limited partnership - was plainly unsuitable under customer-specific suitability analysis.

Second, Pham appears to have inflated Gerald's risk tolerance on the new account form by recording 'moderate' instead of 'conservative,' despite Gerald's own stated preference for caution. This mischaracterization of the client's risk profile is a common fact pattern in enforcement actions and constitutes a violation of FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade), as it involves dishonesty in the documentation process and facilitates unsuitable recommendations.

Third, under FINRA Regulatory Notice 10-22, member firms and their associated persons have a heightened duty of reasonable investigation (reasonable-basis suitability) when recommending private placements and other complex products. Pham had an obligation to investigate and understand the material features and risks of both the non-traded REIT and the oil and gas DPP - including the source of REIT distributions, the lack of operating history of SunBelt Energy Partners, total fee loads, illiquidity, and risk of total loss - before recommending them. The failure to disclose that distributions were partially return of capital and that the oil and gas partnership had no operating history suggests either a failure to conduct this investigation or a deliberate omission of material information.

Fourth, the concentration of illiquid investments is a key concern under NASAA guidance, which has specifically warned about unsuitable DPP and non-traded REIT recommendations to elderly and conservative investors. Many states and regulators apply concentration limits (commonly 10% of liquid net worth for non-traded REITs), and here Gerald's allocation far exceeded any reasonable threshold.

Fifth, under Regulation Best Interest (SEC Rule 15l-1), if Pham was acting in a broker-dealer capacity for a retail customer, she had an obligation under the Care Obligation to exercise reasonable diligence, care, and skill to understand the risks and rewards of the recommendation and to have a reasonable basis to believe the recommendation was in the customer's best interest at the time, considering the customer's investment profile and the potential risks, rewards, and costs. The \$19,400 in commissions also raises concerns under the Cost Obligation, as less costly and more liquid alternatives clearly existed to meet Gerald's stated objectives.

The likely regulatory outcome would include restitution to Gerald for losses attributable to the unsuitable

recommendations, disgorgement of commissions, fines against both Pham and the firm, potential suspension of Pham, and possible additional sanctions against Ridgeview Capital Partners for supervisory failures in approving these transactions for an unsuitable customer.

Hypothetical 16

Topic: *illiquid_real_estate_investment* | Difficulty: *medium*

[NON-COM

Fact Pattern

Margaret Holloway, age 71, is a retired elementary school teacher living in Tucson, Arizona. Her total liquid net worth is approximately \$410,000, consisting of a \$285,000 IRA rollover from her state pension, a \$95,000 money market account, and \$30,000 in a checking account. She receives \$2,800 per month in Social Security and a small \$650 monthly annuity payment. She has no other sources of income. On her new account form, her investment objective was listed as 'income with preservation of capital,' and her risk tolerance was marked 'moderate.' She told her advisor, David Pham, that she needed her savings to last through retirement and wanted steady income she could rely on without worrying about losing principal. In March 2021, Pham recommended that Margaret invest \$150,000 - roughly 36% of her liquid net worth - into a non-traded real estate investment trust called Heartland Realty Income Trust II, which focused on acquiring Class B and C office and retail properties in secondary Midwestern markets. The offering documents disclosed a 7% annualized distribution, front-end fees and commissions totaling 12% (meaning only \$132,000 of Margaret's \$150,000 would actually be invested in real estate assets), no public market for the shares, a minimum anticipated hold period of seven to ten years, limited redemption provisions (capped at 5% of outstanding shares per year with a two-year lockout), and risk factors noting that distributions could be funded from offering proceeds or borrowings rather than operating income. Pham told Margaret that the investment was 'like owning rental property without the headaches' and that the 7% distribution was 'practically guaranteed income.' He did not discuss the illiquidity restrictions, the front-end load, or the possibility that distributions could be paid from her own invested capital. He also did not inquire about Margaret's health status; she had recently been diagnosed with early-stage chronic kidney disease and anticipated significant medical expenses in the coming years. Pham's firm had conducted no independent due diligence on Heartland Realty Income Trust II beyond reviewing the sponsor's marketing materials and offering memorandum summary. The firm's compliance manual stated that non-traded REIT allocations should generally not exceed 10% of a client's liquid net worth for clients over age 65, but no exception approval was sought or granted for Margaret's purchase. By late 2022, Heartland Realty suspended its distribution payments and announced a 35% write-down in estimated share value due to declining occupancy in its retail and office portfolio, reducing Margaret's investment value to approximately \$85,800. Margaret filed a complaint in January 2023 stating she was never told her money would be locked up, that she needed access to funds for medical bills, and that Pham assured her the income was safe.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, David Pham violated multiple applicable regulatory standards in recommending the Heartland Realty Income Trust II investment to Margaret Holloway.

****FINRA Rule 2111 (Suitability):**** This rule requires that a broker have a reasonable basis for believing a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, risk tolerance, and other relevant information. There are three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

Reasonable-Basis Suitability: Under FINRA Regulatory Notice 10-22, member firms and their associated persons have a duty to conduct a reasonable investigation of the securities they recommend, particularly with respect to private placements and complex products like non-traded REITs. Pham's firm failed to conduct independent due diligence beyond reviewing sponsor marketing materials. FINRA has repeatedly emphasized that reliance on issuer-provided materials alone is insufficient; firms must independently verify material claims about the investment's risks, fees, and business model. This failure independently violates the reasonable investigation duty.

Customer-Specific Suitability: Margaret was a 71-year-old retiree with limited income, a stated objective of income with capital preservation, moderate risk tolerance, and foreseeable liquidity needs due to her health condition. Concentrating approximately 36% of her liquid net worth in an illiquid, non-traded REIT with a 7-10 year hold period, 12% front-end costs, and significant market risk was plainly unsuitable. NASAA guidelines and many state securities regulators have established concentration limits for non-traded REITs - often 10% of liquid net worth - and the firm's own compliance manual capped allocations at 10% for clients over 65. No exception was obtained. Additionally, Pham failed to inquire about Margaret's health status and anticipated medical expenses, which would have revealed critical near-term liquidity needs wholly incompatible with this illiquid product.

****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** If applicable (for recommendations made after June 30, 2020, by broker-dealers to retail customers), Reg BI imposes a Care Obligation requiring the advisor to exercise reasonable diligence, care, and skill in making recommendations, consider reasonably available alternatives, and ensure the recommendation is in the retail customer's best interest without placing the advisor's financial interest ahead of the customer's. The 12% front-end load generated significant compensation for Pham, and the recommendation was made without considering lower-cost, more liquid income-generating alternatives (e.g., bond funds, dividend equity funds, or publicly traded REITs) that would have been more consistent with Margaret's profile. This violates the Care Obligation. Reg BI's Disclosure Obligation was also violated: Pham affirmatively misrepresented the safety of distributions and failed to disclose illiquidity, fee load, and the risk that distributions could be return of capital.

****FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade):**** Pham's misleading statements - characterizing the 7% distribution as 'practically guaranteed income' and comparing the investment to hassle-free rental property ownership without disclosing material risks - constitute conduct inconsistent with just and equitable principles of trade.

****GPB Capital Enforcement Precedent:**** FINRA and SEC enforcement actions involving non-traded alternative investment programs (such as the GPB Capital cases) have resulted in significant sanctions

against firms and advisors who failed to conduct adequate due diligence, recommended overconcentration in illiquid products, and made misleading statements about expected returns. The pattern here - inadequate firm-level investigation, overconcentration, misrepresentations about income stability, failure to disclose illiquidity and fees - closely mirrors the fact patterns that led to bars, suspensions, fines, and restitution orders in those cases.

****Likely Regulatory Outcome:**** Pham faces potential suspension or bar, disgorgement of commissions, and restitution to Margaret. The firm faces potential fines and sanctions for supervisory failures, including failure to enforce its own written concentration limits and failure to conduct reasonable due diligence under RN 10-22. Margaret's arbitration claim would likely be found meritorious, with damages calculated from the difference between her \$150,000 investment and its current diminished value, potentially plus consequential damages related to her inability to access funds for medical expenses.

Hypothetical 17

Topic: *illiquid_real_estate_investment* | Difficulty: *medium*

[NON-COM

Fact Pattern

Margaret Dawson, age 72, is a retired elementary school teacher living in Tallahassee, Florida. Her annual income from her pension and Social Security totals approximately \$48,000. She has a total liquid net worth of \$310,000, consisting of \$185,000 in an IRA rollover from her teaching career, \$90,000 in a savings account, and \$35,000 in a brokerage account holding blue-chip dividend stocks. She owns her home outright, valued at approximately \$210,000. Her investment objectives, as documented on her account opening forms, are income generation and capital preservation, and her stated risk tolerance is conservative. She has no prior experience investing in alternative products or private placements. In March 2021, her financial advisor, Kevin Barlow, who had been her advisor for six years, recommended that she invest \$125,000 - roughly 40% of her liquid net worth - into the Meridian Real Estate Income Trust, a non-traded real estate investment trust focused on commercial office and retail properties. The product carried an upfront commission of 7%, had no public trading market, offered only a limited share repurchase program capped at 5% of outstanding shares per quarter, and featured a minimum recommended holding period of eight years. Kevin told Margaret that the investment would pay a projected 6.5% annual distribution, which he described as 'much better than what CDs are paying right now,' and emphasized that real estate was a 'safe, tangible asset.' He did not discuss the illiquidity risks, the possibility that distributions could be funded from offering proceeds rather than actual income, the concentration risk of allocating such a large portion of her portfolio to a single illiquid product, or the fact that the trust's portfolio was heavily weighted toward office properties at a time when remote work trends were significantly impacting office occupancy. Kevin did not document any analysis of whether the product was appropriate given Margaret's age, income needs, or liquidity requirements. Kevin's branch manager approved the transaction after a cursory review. By late 2023, the trust suspended its share repurchase program and reduced its distribution from 6.5% to 2.1%. Margaret, who had been relying on the distributions to supplement her pension income, contacted Kevin seeking to liquidate her position but was told there was no available mechanism to sell her shares. She has effectively lost access to \$125,000 of her retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Barlow violated applicable suitability and best interest standards in multiple respects.

****Applicable Regulatory Framework:****

Under FINRA Rule 2111 (Suitability), a financial advisor must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, risk tolerance, liquidity needs, time horizon, and other relevant factors. This rule encompasses three components: reasonable-basis suitability (the advisor must understand the product), customer-specific suitability (the recommendation must be appropriate for the particular customer), and quantitative suitability.

Under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), which was fully effective by June 30, 2020 and therefore applicable to the March 2021 recommendation, broker-dealers and their associated persons must act in the retail customer's best interest at the time of the recommendation, without placing the advisor's financial interest ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in understanding the product, evaluating whether it is in the customer's best interest given her profile, and considering reasonably available alternatives.

FINRA Regulatory Notice 10-22 imposes heightened due diligence obligations on member firms and their registered representatives when recommending private placements and other complex, illiquid products. Advisors must conduct a reasonable investigation into the product, including its business model, management, risks, and financial condition, before making any recommendation.

NASAA guidelines on direct participation programs and non-traded REITs further specify that concentration in illiquid products should generally not exceed 10% of a customer's liquid net worth, and many states have adopted this standard or similar caps.

****Specific Violations:****

1. ****Customer-Specific Suitability / Reg BI Care Obligation:**** Margaret was 72 years old, retired, conservative in risk tolerance, and dependent on her investment income. Allocating approximately 40% of her liquid net worth to a single illiquid, non-traded REIT with an eight-year minimum holding period was fundamentally inconsistent with her stated objectives of capital preservation and income generation and her need for accessible funds. Her age and retirement status demanded liquidity and stability, not long-duration illiquid commitments.
2. ****Concentration Risk:**** The \$125,000 investment represented roughly 40% of Margaret's \$310,000 in liquid assets, vastly exceeding the 10% concentration guideline established by NASAA and commonly referenced by regulators for non-traded REIT investments. This excessive concentration magnified the

harm when the product underperformed.

3. **Reasonable-Basis Suitability / Reasonable Investigation Duty:** Kevin failed to conduct or document any meaningful due diligence on the Meridian Real Estate Income Trust. Under FINRA RN 10-22, he was obligated to investigate the product's risks, including the sustainability of its distributions, the composition and risk profile of its underlying assets (particularly office properties facing secular headwinds from remote work), and the realistic prospects for liquidity. His characterization of real estate as a 'safe, tangible asset' was misleading and demonstrated a lack of understanding of the specific risks of non-traded REITs.

4. **Disclosure Failures:** Kevin failed to disclose material risks, including illiquidity, the possibility that distributions could be funded from return of capital rather than earnings, the product's heavy office-property concentration, and the limited and discretionary nature of the share repurchase program. Under Reg BI's Disclosure Obligation and FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade), these omissions constitute serious violations.

5. **Supervisory Failures:** The branch manager's cursory approval of a \$125,000 illiquid investment for a 72-year-old conservative retiree suggests inadequate supervisory review, potentially violating firm obligations under FINRA Rule 3110.

Likely Regulatory Outcome:

Kevin Barlow faces potential sanctions including fines, suspension, or a bar from the industry. His firm faces potential liability for supervisory failures. Based on enforcement patterns seen in GPB Capital cases, non-traded REIT enforcement sweeps, and similar actions, regulators have imposed significant sanctions on advisors and firms that recommended illiquid alternative products to elderly, conservative investors without proper due diligence, disclosure, and suitability analysis. Margaret would likely prevail in a customer arbitration seeking rescission or damages, including the lost principal, reduced distributions, and potentially consequential damages related to her inability to access her retirement funds.

Hypothetical 18

Topic: *illiquid_investments* | Difficulty: *medium*

Fact Pattern

Margaret Olsen, age 71, is a retired elementary school teacher living in Tucson, Arizona. Her total liquid net worth is approximately \$410,000, consisting of a \$310,000 IRA rollover from her pension and \$100,000 in a savings account. She receives \$2,800 per month in Social Security and a small \$600 monthly pension supplement. She has no other sources of income. On her new account form, her risk tolerance was marked as 'moderate,' her investment objective was listed as 'income with capital preservation,' her time horizon was noted as '5-7 years,' and her liquidity needs were described as 'may need funds for assisted living within 3-5 years.' In March 2022, her financial advisor, Derek Pruitt, recommended that Margaret invest \$155,000 - roughly 50% of her IRA - into a non-traded real estate investment trust called Heartland Senior Housing REIT, which focused on developing memory care and assisted living facilities across the Midwest.

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The product carried a 7% upfront commission, had no public market for shares, offered only a limited quarterly share repurchase program capped at 2.5% of outstanding shares per quarter, imposed an estimated seven-to-ten year hold period before any liquidity event, and disclosed in its offering memorandum that distributions could be funded in part from offering proceeds rather than operating cash flow. Derek told Margaret the investment would 'pay you like clockwork - 6.5% distributions, better than any CD you'll find' and described the product as 'basically like owning real estate without the hassle.' He did not discuss the share repurchase limitations, the possibility that distributions could be reduced or suspended, or the risk that she might be unable to access her capital if she needed funds for assisted living. Derek's firm had conducted only a cursory review of the Heartland offering, relying primarily on materials provided by the sponsor without independently verifying the sponsor's track record, financial condition, or the reasonableness of the projected returns. By late 2023, Heartland suspended its distribution program and froze its share repurchase plan, citing construction cost overruns and occupancy shortfalls. Margaret's shares were internally revalued at \$6.10 per share, down from her \$10.00 purchase price, representing an unrealized loss of approximately \$59,600. She now faces the prospect of needing assisted living funds within 18 months with no ability to liquidate the position.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Pruitt violated multiple applicable regulatory standards in recommending this investment to Margaret Olsen.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, risk tolerance, and other relevant information. Rule 2111 encompasses three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

***Customer-Specific Suitability:** Margaret is a 71-year-old retiree with limited income, moderate risk tolerance, a stated objective of income with capital preservation, and an explicitly documented need for liquidity within 3-5 years for potential assisted living costs. Concentrating approximately 50% of her IRA (\$155,000 of \$310,000) in a non-traded REIT with a seven-to-ten year illiquidity horizon directly contradicts her stated liquidity needs and capital preservation objective. NASAA guidelines on non-traded REITs and illiquid direct participation programs generally recommend concentration limits of no more than 10% of liquid net worth in such products for most investors, and some states impose specific percentage caps. A 37.8% concentration of her total liquid net worth (\$155,000 of \$410,000) in a single illiquid product for a 71-year-old retiree with near-term liquidity needs is patently unsuitable.

***Reasonable-Basis Suitability and FINRA Regulatory Notice 10-22:** FINRA RN 10-22 imposes a heightened reasonable investigation duty on broker-dealers recommending private placements and other Regulation D offerings. The firm and its representatives must conduct a reasonable investigation of the offering - including the issuer's financial condition, management, business prospects, the use of proceeds, and the reasonableness of projected returns - before recommending the product. Derek's firm relied solely

on sponsor-provided materials without independent verification of the sponsor's track record, financial health, or return projections. This cursory diligence fails the reasonable investigation standard articulated in RN 10-22.

****Regulation Best Interest (Reg BI) - SEC Rule 15l-1:****

If Derek's recommendation occurred in the context of a broker-dealer recommendation to a retail customer (which it did, post-June 30, 2020 effective date), Reg BI's Care Obligation requires that he exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation, consider reasonably available alternatives, and have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. Recommending a heavily illiquid, high-commission product that directly conflicts with the customer's documented liquidity timeline and preservation objective fails the Care Obligation. The 7% upfront commission also triggers scrutiny under the Cost component - Derek should have considered lower-cost, more liquid income-generating alternatives.

****Disclosure Failures and FINRA Rule 2010:****

Derek's characterization of the non-traded REIT as paying 'like clockwork' and being 'basically like owning real estate without the hassle,' without disclosing the severe liquidity restrictions, the risk of distribution suspension, or the potential for return of capital masquerading as income, constitutes misleading and omissive communication. This violates FINRA Rule 2010's requirement to observe high standards of commercial honor and just and equitable principles of trade.

****GPB Capital Precedent Context:****

The enforcement landscape surrounding illiquid alternative investments - exemplified by the GPB Capital cases where firms faced sanctions for inadequate due diligence, failure to disclose risks, and unsuitable recommendations of illiquid private placements to retail investors - strongly supports a finding of violation here. Regulators have consistently sanctioned advisors and firms for recommending illiquid DPPs and non-traded REITs to elderly, income-dependent customers without proper due diligence and disclosure.

****Likely Regulatory Outcome:****

Derek and his firm face potential sanctions including fines, disgorgement of commissions, restitution to the customer, and suspension or bar. The firm's inadequate supervisory and due diligence procedures compound liability. Margaret would also likely prevail in a customer arbitration claim seeking compensatory damages for the unrealized losses and the illiquidity trap created by this recommendation.

Hypothetical 19

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Donovan, age 71, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed annual income of \$38,000 from her pension and Social Security. Her total liquid net worth is approximately \$310,000, held primarily in certificates of deposit and a moderate allocation bond mutual fund. She also owns her home, valued at roughly \$190,000, free and clear. On her new account form

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completed in February 2021, her stated investment objectives were "income" and "preservation of capital," her risk tolerance was marked "conservative," her time horizon was listed as "5-7 years," and her liquidity needs were noted as "moderate" given upcoming dental surgery expenses she estimated at \$15,000-\$20,000.

Her financial advisor, Thomas Caldwell, who had been her advisor for three years, recommended she invest \$125,000 - roughly 40% of her liquid assets - into a non-traded real estate investment trust called Heartland Income REIT IV. The REIT's offering documents disclosed upfront selling commissions and organizational costs totaling 13.5%, meaning approximately \$16,875 of Margaret's investment went to fees before a single dollar was deployed into real estate assets. The prospectus also stated that the REIT had no public trading market, that investors should not expect to be able to sell their shares for at least five to seven years, and that distributions might be funded in part from offering proceeds rather than from operating cash flow. The REIT used an affiliated property management company that charged above-market management and acquisition fees.

Caldwell told Margaret during a meeting at her home that the REIT would "pay her like clockwork" with a projected 6.5% annual distribution and that it was "basically like owning rental properties without the headaches." He did not discuss the possibility that distributions could be funded by return of capital, the significant upfront cost drag, or the lack of a secondary market. He also did not present any alternative income-generating investments, such as investment-grade bond funds or dividend-paying equity ETFs, which would have offered substantially greater liquidity.

By late 2023, the REIT suspended distributions and revised its estimated per-share net asset value downward by 38%. Margaret, now 73 and facing additional medical expenses, was unable to access her capital. She filed a complaint with her broker-dealer in January 2024, stating she was never told the investment was illiquid or that she could lose a substantial portion of her principal.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Thomas Caldwell violated multiple regulatory standards governing suitability and the duty to act in the customer's best interest.

****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Rule 2111 encompasses three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

Regarding **customer-specific suitability**, Margaret's profile - a 71-year-old retiree with conservative risk tolerance, income and capital preservation objectives, moderate liquidity needs, and a 5-7 year time horizon - is fundamentally inconsistent with a 40% concentration in a non-traded REIT carrying 13.5% upfront fees, no secondary market, and a minimum hold period of five to seven years. NASAA guidance has consistently identified non-traded REITs as unsuitable for investors who need liquidity, who have conservative risk profiles, or for whom a high concentration in illiquid products would jeopardize financial

security.

Regarding **reasonable-basis suitability**, FINRA Regulatory Notice 10-22 imposes a heightened reasonable investigation duty on firms and representatives recommending private placements and other complex products. Caldwell was obligated to understand the material risks and structural features of Heartland Income REIT IV - including the return-of-capital distribution practice, the affiliated management fee structure, and the severe illiquidity - and to convey those risks to the customer. His characterization of the REIT as paying "like clockwork" and being "basically like owning rental properties" was materially misleading and omitted critical risk disclosures.

****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** For broker-dealers and their associated persons, Reg BI's Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile, and evaluating reasonably available alternatives. Caldwell failed this standard by not considering or presenting more liquid income-generating alternatives (e.g., investment-grade bond funds, dividend ETFs) that would have better matched Margaret's conservative profile and liquidity needs. The Disclosure Obligation also required that Caldwell disclose all material facts about the recommendation, including the 13.5% fee load, the return-of-capital distribution risk, and the illiquidity constraints - none of which were adequately communicated.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Caldwell's misleading oral representations about the nature and safety of the REIT, combined with his failure to disclose material risks, constitute conduct inconsistent with just and equitable principles of trade.

****Concentration:**** The \$125,000 allocation represented approximately 40% of Margaret's liquid net worth in a single illiquid product. Many firms have internal concentration limits for non-traded REITs (commonly 10% of liquid net worth or less for conservative investors), and NASAA model rules suggest similar thresholds. This allocation vastly exceeded any reasonable concentration limit for a client of Margaret's profile.

****Enforcement Precedent:**** This fact pattern closely mirrors enforcement actions seen in the non-traded REIT space, including cases involving GPB Capital and numerous other sponsors, where advisors were sanctioned for recommending illiquid alternative investments to elderly, conservative investors without adequate due diligence, disclosure, or suitability analysis. Likely regulatory outcomes include fines, disgorgement of commissions, restitution to the customer, and a potential suspension or bar for Caldwell. The broker-dealer firm could face supervisory failure charges if it did not maintain adequate controls over non-traded REIT concentration and suitability review.

Hypothetical 20

Topic: failure_to_know_customer | Difficulty: medium

Fact Pattern

Marcus Vreeland, a registered representative at Horizon Wealth Partners in Tampa, Florida, was

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introduced in March 2021 to a new client, Dorothy Keating, a 71-year-old retired school librarian. Mrs. Keating had recently lost her husband and inherited approximately \$620,000 in liquid assets, consisting of \$410,000 in a rollover IRA and \$210,000 in a joint savings account that was retitled in her name alone. She had no prior investment experience beyond a passbook savings account and certificates of deposit. Her sole sources of income were a \$1,850 monthly pension and \$2,100 in Social Security benefits. She told Vreeland during their first meeting that she wanted to keep her money safe and accessible because she was worried about future medical expenses, as she had recently been diagnosed with early-stage Parkinson's disease. Vreeland had Mrs. Keating complete a new account form, but he filled out most of it himself, checking boxes for 'moderate' risk tolerance and 'growth and income' as her investment objective. He did not ask about her monthly living expenses, her health insurance coverage, her estate planning goals, or whether she had any other financial advisors. He did not document any notes from their initial meeting. Within six weeks, Vreeland recommended that Mrs. Keating invest \$175,000 of her IRA into a non-traded real estate investment trust called Palomar Healthcare Properties REIT, which carried a 7% upfront commission, a minimum seven-year hold period, no guaranteed distributions, and severe early redemption restrictions. He also recommended she place \$95,000 from her savings into a Regulation D private placement offering from a company called SunBridge Senior Living Fund II, LP, a limited partnership that was developing assisted living facilities. The private placement had a minimum five-year lockup, carried significant risk of total loss, required investors to be accredited, and had a stated minimum investment of \$50,000. Vreeland did not verify whether Mrs. Keating met accredited investor thresholds, nor did he provide her with the private placement memorandum before she signed the subscription agreement. He told her both investments would 'generate steady income to supplement her retirement' and described them as 'similar to owning rental properties without the hassle.' Mrs. Keating signed the documents, trusting Vreeland's guidance. By 2023, Palomar Healthcare Properties REIT had suspended distributions and announced a potential 40% write-down in net asset value. SunBridge Senior Living Fund II defaulted on its construction loan and entered receivership, rendering Mrs. Keating's \$95,000 investment effectively worthless. Mrs. Keating, now facing mounting medical bills, was unable to access any of the \$270,000 she had invested and filed a complaint with her state securities regulator.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Vreeland committed multiple serious violations. First, he failed to satisfy his fundamental 'know your customer' obligation under FINRA Rule 2111 (the suitability rule), which requires a broker to use reasonable diligence to know the essential facts about a customer, including the customer's age, financial situation, tax status, investment objectives, risk tolerance, liquidity needs, time horizon, and other relevant information. Vreeland filled out the new account form himself, mischaracterizing Mrs. Keating's risk tolerance as 'moderate' and her objective as 'growth and income' when her own stated goals were safety and accessibility. He failed to inquire about her monthly expenses, health insurance, medical prognosis, estate plans, or overall financial picture. This constitutes a clear failure to know the customer.

Second, Vreeland violated FINRA Regulatory Notice 10-22, which imposes a heightened reasonable-basis suitability obligation on broker-dealers recommending private placements and other complex, illiquid products. RN 10-22 requires the firm and representative to conduct a reasonable investigation into the issuer, its management, the business prospects, the assets held, the claims being made, and the intended

use of proceeds. There is no evidence Vreeland conducted any due diligence on either Palomar Healthcare Properties REIT or SunBridge Senior Living Fund II. He also failed to provide Mrs. Keating with the private placement memorandum before she signed the subscription agreement, depriving her of material information necessary to make an informed decision.

Third, the recommendations were quantitatively unsuitable. Mrs. Keating had \$620,000 in total liquid assets, and Vreeland placed \$270,000 (approximately 43.5%) into illiquid, high-risk products with multi-year lockup periods, for a 71-year-old retiree with a progressive neurological disease, limited income, no investment experience, and an expressed need for liquidity. Non-traded REITs and Reg D private placements are inherently illiquid and carry significant risks, including total loss of principal, making them wholly inappropriate for a customer in Mrs. Keating's situation.

Fourth, regarding the private placement, Vreeland apparently failed to verify whether Mrs. Keating qualified as an accredited investor under SEC Regulation D, Rule 501(a). With \$620,000 in assets (much of it in a retirement account), a pension of \$1,850/month, and Social Security of \$2,100/month (approximately \$47,400 annual income), she likely did not meet the \$200,000 individual income threshold or the \$1 million net worth threshold (excluding primary residence). Selling Reg D securities to a non-accredited investor without proper verification is a violation of the offering terms and potentially of federal securities law.

Fifth, Vreeland's description of the products as 'similar to owning rental properties without the hassle' and as generating 'steady income' was misleading and omitted material risk factors, violating FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) and potentially constituting a misrepresentation.

Under Regulation Best Interest (Rule 15l-1), which applied to recommendations made after June 30, 2020, Vreeland failed the Care Obligation by not exercising reasonable diligence, care, and skill in making the recommendation, and failed the Disclosure Obligation by not adequately disclosing the risks, fees (including the 7% front-end load on the non-traded REIT), and illiquidity of the investments.

The likely regulatory outcome includes significant sanctions. Based on enforcement precedents-including actions resembling the GPB Capital cases and numerous non-traded REIT enforcement actions brought by FINRA and state regulators-Vreeland faces potential suspension or bar from the industry, substantial fines, and an order to pay restitution. His firm, Horizon Wealth Partners, faces supervisory failure liability for allowing these transactions to proceed without adequate review. NASAA guidance specifically warns against recommending illiquid DPP products to elderly investors with liquidity needs and limited investment experience, and state regulators have been aggressive in pursuing such cases. Mrs. Keating would likely prevail in arbitration and recover damages equal to her investment losses plus interest.

Hypothetical 21

Topic: *illiquid_real_estate_investment* | Difficulty: *medium*

Fact Pattern

Margaret Olsen, age 71, is a retired schoolteacher living in Tucson, Arizona. She has a fixed annual income

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of \$38,000 from her pension and Social Security. Her total liquid net worth is approximately \$310,000, held primarily in a traditional IRA rollover account and a small savings account. She has no other significant assets aside from her home, which she owns outright. Margaret's stated investment objectives on her account documents are capital preservation and income generation. Her risk tolerance is marked as conservative. She has no prior experience with alternative investments, limited partnerships, or private placements, and her investment history consists entirely of certificates of deposit, Treasury bonds, and a balanced mutual fund.

In March 2021, her financial advisor, Dale Whitford, recommended that Margaret invest \$125,000—approximately 40% of her liquid net worth—into a non-traded real estate investment trust called Meridian Healthcare Properties REIT. The REIT invested in skilled nursing facilities and senior living communities across the Southeast. The offering memorandum disclosed that the REIT had no established public trading market, distributions were not guaranteed and could be paid from offering proceeds rather than operating cash flow, the estimated holding period was seven to ten years, and early redemption was subject to significant restrictions and a 10% penalty during the first three years. Upfront fees and commissions totaled approximately 12%, meaning roughly \$15,000 of Margaret's \$125,000 investment was consumed by selling costs.

Dale told Margaret the investment would provide her with a steady 6.5% annual distribution and was 'as safe as owning real estate directly, but without the hassle.' He did not discuss the lack of liquidity, the lengthy holding period, the possibility that distributions could be funded by return of capital rather than actual income, or the substantial upfront costs. Dale did not document any analysis of whether Margaret could afford to have \$125,000 locked up for up to a decade given her age and fixed income, nor did he explore whether less expensive and more liquid income-producing alternatives—such as investment-grade bond funds or dividend-paying equity funds—might be more appropriate. Dale's firm did not maintain a due diligence file on Meridian Healthcare Properties REIT, and no supervisory principal reviewed the transaction for suitability before it was executed.

By late 2022, the REIT suspended quarterly distributions citing declining occupancy rates at its properties. In early 2023, the REIT's board revised its estimated net asset value downward by 35%, reducing Margaret's investment value to approximately \$72,000 on paper—though she could not liquidate her shares due to the redemption restrictions. Margaret, now 73 and facing unexpected dental surgery costs of \$18,000, was unable to access the funds.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Whitford violated multiple applicable regulatory standards in recommending this non-traded REIT to Margaret Olsen.

****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on information obtained through reasonable diligence concerning the customer's investment profile. There are three components:

1. ***Reasonable-basis suitability:*** The advisor must perform adequate due diligence to understand the product before recommending it. Dale's firm did not maintain a due diligence file on Meridian Healthcare Properties REIT, and there is no evidence Dale conducted any independent investigation into the offering's risks, fee structure, or financial condition. FINRA Regulatory Notice 10-22 specifically imposes a heightened reasonable investigation duty on firms recommending private placements and other alternative investments, requiring member firms to conduct a searching inquiry into the issuer, its management, business prospects, assets, and the intended use of proceeds. The complete absence of a due diligence file constitutes a clear violation.

2. ***Customer-specific suitability:*** The advisor must have a reasonable basis to believe the recommendation is suitable for the particular customer. Margaret was a 71-year-old retiree with a conservative risk tolerance, capital preservation objectives, limited income, and no experience with alternative investments. Allocating 40% of her liquid net worth to an illiquid, long-duration alternative investment with a seven-to-ten year holding period and no guarantee of distributions is fundamentally incompatible with her profile. At her age, the possibility that she would need access to these funds for healthcare or other retirement expenses was foreseeable and significant.

3. ***Quantitative suitability:*** While this component typically applies to excessive trading, the sheer concentration-40% of liquid assets in a single illiquid product-raises serious concerns about over-concentration in an unsuitable asset class.

****Regulation Best Interest (Rule 15l-1):**** If Dale's firm was subject to Reg BI (applicable to broker-dealer recommendations to retail customers after June 30, 2020), the Care Obligation required Dale to exercise reasonable diligence, care, and skill in making this recommendation. He was required to understand the potential risks, rewards, and costs of the recommendation, have a reasonable basis to believe it was in Margaret's best interest (not merely suitable), and consider reasonably available alternatives. Dale failed on all three counts: he did not understand or disclose the risks (illiquidity, return-of-capital distributions, lengthy lock-up); the recommendation plainly was not in the best interest of a 71-year-old conservative retiree; and he failed to consider more liquid, lower-cost income-producing alternatives such as investment-grade bond funds or dividend-paying equity funds. The Disclosure Obligation was also violated, as Dale affirmatively mischaracterized the investment as being 'as safe as owning real estate directly' and failed to disclose material features including the 12% upfront cost load, redemption restrictions, and the risk that distributions could be paid from offering proceeds.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Dale's misleading characterization of the REIT's safety and his omission of material risk factors constitute conduct inconsistent with just and equitable principles of trade.

****NASAA Guidance:**** State securities regulators through NASAA have issued guidance that non-traded REITs should generally not be recommended to customers for whom liquidity is important, and many states impose concentration limits (often 10% of liquid net worth) for non-traded REIT investments. Margaret's 40% concentration far exceeds typical state-level thresholds.

****Supervisory Failures:**** The firm's failure to maintain a due diligence file and the absence of any supervisory review of the transaction before execution constitute violations of FINRA Rules 3110 and 3120 regarding supervisory systems and procedures.

****Likely Regulatory Outcome:**** Dale and his firm would likely face enforcement action, including fines, disgorgement of commissions, restitution to Margaret, potential suspension for Dale, and censure of the firm. Customer arbitration would likely result in an award of compensatory damages reflecting Margaret's losses, potentially including the full amount invested minus any distributions received, plus interest.

Hypothetical 22

Topic: illiquid_investments | Difficulty: hard

[NON-COMMERCIAL]

Fact Pattern

Gerald Ostrowski, age 71, is a retired high school principal living in suburban Milwaukee, Wisconsin. He has a fixed income consisting of a state pension paying \$54,000 annually and Social Security benefits of \$26,400 per year. His liquid net worth totals approximately \$410,000, held primarily in a rollover IRA (\$310,000) and a taxable brokerage account (\$100,000). Gerald's wife, Doris, age 69, has early-stage Alzheimer's disease and requires increasing levels of home care, currently costing the couple approximately \$2,800 per month out of pocket, with projected costs rising significantly over the next several years. Gerald told his financial advisor, Kyle Denning, that his primary objectives were capital preservation and generating reliable income to cover Doris's escalating medical expenses, and that he could not afford to lose principal. Gerald described himself as conservative and noted he might need to access large portions of his savings within two to three years if Doris required placement in a memory care facility, which could cost \$7,000 to \$9,000 per month in their area.

In March 2021, Denning recommended that Gerald invest \$155,000 from his IRA into a non-traded REIT focused on senior housing and healthcare properties, citing the product's 6.5% annualized distribution yield and telling Gerald that the investment was 'perfect for your situation since it invests in the exact kind of facilities Doris might use someday.' Denning also recommended \$75,000 from the taxable account into a Regulation D private placement offering structured as a limited partnership interest in a portfolio of medical office buildings, with a stated target return of 8-10% annually. The private placement had a minimum seven-year hold period with no redemption rights, and the offering memorandum disclosed significant risks including potential total loss of capital. The non-traded REIT had a share redemption program but it was subject to quarterly limitations, board discretion, and had been temporarily suspended at a prior sponsor-affiliated fund during COVID-19. Combined, these two illiquid investments represented approximately \$230,000, or 56% of Gerald's total liquid assets.

Denning earned a 7% commission on the non-traded REIT sale (\$10,850) and a 3.5% placement fee on the private placement (\$2,625), for total compensation of \$13,475 on the two transactions. Denning's firm had conducted only a cursory review of the private placement sponsor, relying primarily on marketing materials provided by the issuer rather than performing independent investigation of the sponsor's track record, financial statements, or the underlying properties. The firm's compliance department had flagged the

non-traded REIT for a concentration limit of 30% of liquid net worth for clients over age 65, but Denning's allocation of \$155,000 represented 37.8% of Gerald's liquid net worth in that single product alone. Denning submitted the paperwork noting Gerald's risk tolerance as 'moderate' and his time horizon as '7-10 years,' neither of which was consistent with the information Gerald had provided during their meetings. By late 2022, the non-traded REIT had suspended its distribution payments and its share redemption program, and the private placement sponsor sent a letter to investors disclosing construction delays and cost overruns that would delay any distributions for at least 18 months. Gerald, now facing \$4,200 per month in care costs for Doris, was unable to access any of the \$230,000 and was forced to liquidate other holdings at a loss to cover expenses.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kyle Denning committed multiple serious violations of applicable regulatory standards.

1. **Suitability - FINRA Rule 2111:** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommendation is suitable for the customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information disclosed by the customer. Denning violated all three components of the suitability obligation:

- **Reasonable-basis suitability:** Denning's firm failed to conduct adequate due diligence on the Reg D private placement. FINRA Regulatory Notice 10-22 imposes a duty of reasonable investigation on broker-dealers recommending private placements and direct participation programs. The firm relied solely on issuer-provided marketing materials rather than independently verifying the sponsor's financial condition, track record, and the viability of the underlying real estate assets. This failure to perform meaningful due diligence is a direct violation of the reasonable investigation duty.

- **Customer-specific suitability:** Gerald was 71 years old, retired on fixed income, explicitly stated he was conservative, had a two-to-three-year liquidity need for his wife's escalating medical care, and could not afford to lose principal. Recommending that 56% of his liquid net worth be placed into illiquid products - one with a seven-year lockup and no redemption rights, and another with a historically unreliable redemption program - was fundamentally unsuitable given Gerald's clearly articulated short-term liquidity needs and conservative risk tolerance.

- **Quantitative suitability:** While typically applied to excessive trading, the concentration of 56% of liquid assets in illiquid, high-risk products for a retiree with known near-term liquidity demands is analogous to an unsuitable concentration that, taken together, was excessive for this customer profile.

2. **Regulation Best Interest (SEC Rule 15l-1):** For broker-dealers and their associated persons, Reg BI requires that recommendations be in the retail customer's best interest, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation, without placing the financial professional's interest ahead of the customer's. Several Reg BI component obligations were violated:

- **Care Obligation:** Denning failed to exercise reasonable diligence, care, and skill in making the recommendation. A reasonable advisor would not have recommended \$230,000 in illiquid investments to a 71-year-old retiree who explicitly stated he might need access to his savings within two to three years for his wife's memory care placement.

- **Disclosure Obligation:** There is no indication Denning adequately disclosed the material liquidity risks, including the possibility that the non-traded REIT could suspend its redemption program (as a related fund had done previously) or that the private placement had a hard seven-year lockup.

- **Conflict of Interest Obligation:** Denning earned \$13,475 in commissions and placement fees on these transactions. His financial incentive to recommend high-commission illiquid products created a material conflict of interest that does not appear to have been mitigated or disclosed.

3. **FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade):** Denning falsified Gerald's account documentation by recording his risk tolerance as 'moderate' and his time horizon as '7-10 years,' when Gerald had clearly communicated a conservative posture and a two-to-three-year liquidity horizon. Falsifying customer records to circumvent suitability or compliance controls is a standalone violation of FINRA Rule 2010 and may also constitute a books-and-records violation.

4. **NASAA Guidance on Unsuitable DPP Recommendations:** NASAA has issued extensive guidance and proposed policy revisions regarding non-traded REITs, including concentration limits. The firm's own internal compliance policy set a 30% concentration limit for clients over 65 in non-traded REITs, but Denning exceeded that threshold (37.8% in the non-traded REIT alone, 56% total in illiquid products), which constitutes a violation of the firm's supervisory procedures.

5. **Firm Supervisory Failures:** The firm's failure to independently investigate the Reg D offering sponsor and its failure to enforce its own concentration limits suggest a supervisory breakdown under FINRA Rules 3110 and 3120. The compliance department flagged the concentration issue but there is no indication the firm took action to prevent the sale.

Likely Regulatory Outcome: Denning would likely face FINRA enforcement action resulting in disgorgement of commissions, fines, restitution to the customer, and a potential suspension or bar. The firm could face separate sanctions for supervisory failures and for failing to meet its reasonable investigation duty under FINRA RN 10-22. State securities regulators could also pursue action under NASAA guidelines. Gerald would have strong grounds for a customer arbitration claim seeking full recovery of his losses, given the egregiousness of the suitability violations, document falsification, and the exploitation of a vulnerable elderly client with a spouse requiring medical care.

Hypothetical 23

Topic: *illiquid_real_estate_investment* | Difficulty: *hard*

[NON-COM

Fact Pattern

Margaret Ellison, age 72, is a retired elementary school teacher living in Tucson, Arizona. Her annual pension income is \$48,000, and she has a total liquid net worth of approximately \$410,000, consisting of \$285,000 in an IRA, \$95,000 in a savings account, and \$30,000 in a checking account. She also owns her home outright, valued at approximately \$220,000. Margaret's stated investment objectives on her account documents are income and preservation of capital. Her risk tolerance is listed as conservative. She has no prior experience investing in alternative or illiquid products and has only owned mutual funds and certificates of deposit throughout her life. Her health has been declining; she was recently diagnosed with early-stage kidney disease and anticipates rising medical expenses over the next several years.

In March 2022, her financial advisor, Craig Winslow, age 44, with twelve years of experience at Ridgeline Securities Group, a mid-sized independent broker-dealer, recommended that Margaret invest \$125,000 from her IRA into the Heartland Realty Income Fund II, a non-traded real estate investment trust focused on acquiring Class B and Class C commercial office properties in secondary markets across the Midwest. The fund had a minimum holding period of seven years with no share repurchase program during the first three years, and a limited quarterly repurchase program thereafter capped at 2.5% of outstanding shares per quarter. The fund charged an upfront load of 7%, an annual asset management fee of 1.25%, and a separate acquisition fee of 2% on deployed capital. The offering documents disclosed that the fund was newly formed, had no operating history, and that distributions could be funded in whole or in part from offering proceeds or borrowings rather than operating cash flow.

Craig had attended a single due diligence conference call hosted by the fund's wholesaler in January 2022, lasting approximately 30 minutes. He did not independently review the fund's private placement memorandum, the financial statements of the sponsor entity, or the track record of the management team. His firm, Ridgeline Securities Group, had approved the Heartland fund for sale on its platform after a product review committee meeting in which the product was discussed for approximately fifteen minutes. No written due diligence report was prepared, and the committee did not evaluate the sponsor's prior fund performance or the viability of the targeted asset class in a rising interest rate environment.

Craig told Margaret that the investment would provide her with "reliable monthly income of around 6% annually" and described it as "similar to owning rental property without the hassle." He did not discuss the seven-year illiquidity period, the lack of a secondary market, the possibility that distributions might not come from actual earnings, or the impact of the front-end load and fees on her returns. He also did not discuss how investing 30% of her liquid net worth in a single illiquid product could affect her ability to cover anticipated medical costs. Craig earned a commission of \$8,750 on the transaction. Margaret received distributions for the first eight months totaling approximately \$5,000, but the fund suspended distributions entirely in December 2022 citing declining occupancy rates in its portfolio properties. By mid-2023, the fund's estimated share value had been written down by 28%. Margaret needed funds for a medical procedure in April 2023 but was unable to access her investment due to the repurchase program not yet being active.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Winslow violated multiple regulatory requirements in recommending the Heartland Realty Income Fund II to Margaret Ellison.

****Suitability under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance.

Three independent components of suitability were violated here:

1. ****Reasonable-Basis Suitability:**** Craig failed to perform adequate due diligence on the product itself. He attended only a 30-minute wholesaler call and did not review the private placement memorandum, the sponsor's financial condition, or the management team's track record. FINRA Regulatory Notice 10-22 specifically addresses the heightened duty of reasonable investigation that applies to private placements and other complex, illiquid products. The notice makes clear that member firms and their representatives must conduct a searching inquiry into the issuer, its management, business prospects, assets, claims to assets, and the intended use of proceeds. Neither Craig nor his firm satisfied this standard. The firm's product review committee spent only fifteen minutes on the product and prepared no written due diligence report.

2. ****Customer-Specific Suitability:**** Margaret is a 72-year-old retiree with conservative risk tolerance, income and capital preservation objectives, declining health, anticipated medical expenses, and a moderate liquid net worth of \$410,000. Concentrating approximately 30% of her liquid assets in a single illiquid, non-traded REIT with a seven-year lockup, no immediate repurchase program, no operating history, and substantial fee drag is facially unsuitable for this customer profile. The recommendation ignored her liquidity needs and time horizon, both of which are explicitly listed as factors under Rule 2111.

3. ****Quantitative Suitability:**** While this component typically applies to excessive trading, the concentration of 30% of liquid assets in a single illiquid alternative investment raises serious concerns about over-concentration that are analogous.

****Reg BI (Rule 15l-1) Care Obligation:****

For broker-dealers subject to Regulation Best Interest, the Care Obligation under Rule 15l-1(a)(2)(ii) requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, to understand the potential risks, rewards, and costs of the recommendation, and to have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made and does not place the financial professional's interest ahead of the customer's. Craig's recommendation fails this standard. The 7% front-end load generating an \$8,750 commission, combined with the ongoing fees, created a significant cost drag that was not in Margaret's interest given lower-cost income alternatives available to her. Craig also failed to consider reasonably available alternatives that would have been less costly and more liquid.

****Disclosure Failures under Reg BI and FINRA Rule 2010:****

Craig affirmatively misled Margaret by characterizing the investment as providing "reliable" income "similar to owning rental property" without disclosing the illiquidity constraints, the risk that distributions could be paid from offering proceeds rather than earnings, and the lack of a secondary market. This constitutes a material omission and potentially a misleading statement, violating FINRA Rule 2010's requirement for high standards of commercial honor and just and equitable principles of trade. Under Reg BI's Disclosure Obligation, the advisor was required to provide full and fair disclosure of all material facts relating to the recommendation, including conflicts of interest such as the commission.

****NASAA Guidance:****

NASAA has issued extensive guidance on unsuitable DPP and non-traded REIT recommendations, particularly cautioning against sales to elderly investors with conservative profiles and limited liquidity. State regulators have consistently found that non-traded REIT sales to elderly, conservative investors in concentrations above 10-15% of liquid net worth are presumptively unsuitable.

****GPB Capital Enforcement Precedent:****

The fact pattern here mirrors the issues seen in the GPB Capital enforcement actions, where firms failed to conduct adequate due diligence on the issuer and sponsor, approved products for sale without rigorous review, and allowed representatives to sell illiquid products to unsuitable customers. Multiple firms and representatives faced sanctions including fines, suspensions, and restitution orders.

****Likely Regulatory Outcome:****

Craig Winslow would likely face a FINRA enforcement action resulting in a significant fine, a suspension of at least several months, and an order to pay restitution to Margaret Ellison. Ridgeline Securities Group would likely face a separate action for supervisory failures, including failure to establish and maintain a reasonable supervisory system for reviewing and approving sales of illiquid alternative products (FINRA Rules 3110 and 3120), and failure to conduct the reasonable investigation required under RN 10-22. The firm could face fines, a censure, and an obligation to review all similar sales on its platform.

Hypothetical 24

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

Margaret Ellison, age 79, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid net worth is approximately \$415,000, held primarily in a rollover IRA containing mutual funds and certificates of deposit. She has no other significant assets aside from her home, which is paid off and valued at roughly \$210,000. Mrs. Ellison's stated investment objectives on her account documents are income and preservation of capital, and her risk tolerance is listed as conservative. She has no prior experience with alternative investments, private placements, or real estate programs.

In June 2021, her financial advisor, Craig Denham, age 42, who had been managing her accounts for approximately three years, invited her to his office to discuss what he described as an opportunity to earn

[NON-COM

higher income than her CDs were generating. During that meeting, he recommended she invest \$125,000 - roughly 30% of her liquid net worth - into a non-traded real estate investment trust called Patriot Realty Income Fund III. The product carried a 7% front-end sales commission, had a minimum seven-year hold period with no established secondary market, and disclosed in its offering memorandum that distributions could be paid from offering proceeds rather than operating income. Redemption provisions were extremely limited: investors could request quarterly redemptions only after a two-year lockup, and even then, redemptions were capped at 5% of outstanding shares per quarter at the board's discretion and were subject to a 10% early redemption fee.

Denham told Mrs. Ellison the investment would provide stable monthly income of approximately 6.5% annually and characterized it as similar to owning rental properties without the hassle. He did not discuss the illiquidity restrictions in detail, nor did he explain that distributions might not come from actual earnings. He also did not mention that her age and life expectancy made a seven-year-plus illiquid commitment particularly problematic. Mrs. Ellison signed the subscription documents the same day.

By March 2023, the REIT had suspended its distribution payments and reduced its estimated share value by 38%. Mrs. Ellison, who had been relying on the distributions to supplement her fixed income, was unable to redeem her shares. She filed a complaint with Denham's firm in April 2023, stating she was never told she could lose access to her money for years or that distributions could be cut. Denham's firm's internal records show he earned a \$8,750 commission on the sale. Supervisory records indicate the branch manager approved the transaction after a cursory review and did not flag the concentration level or the customer's age as risk factors.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Denham violated multiple regulatory standards in recommending this non-traded REIT to Margaret Ellison.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

Here, Mrs. Ellison was 79 years old with conservative risk tolerance, income and capital preservation objectives, no experience with alternative investments, and dependence on her investment portfolio for living expenses. A non-traded REIT with a seven-year-plus hold period, no liquid secondary market, and the possibility of return-of-capital distributions is fundamentally inconsistent with her profile.

****Customer-Specific Suitability:**** The recommendation failed customer-specific suitability. At age 79, a seven-year illiquid commitment means Mrs. Ellison would potentially not have access to 30% of her liquid assets until age 86 or beyond. Her reliance on investment income for daily expenses made illiquidity particularly dangerous.

****Quantitative Suitability / Concentration:**** Allocating approximately 30% of a conservative senior investor's liquid net worth to a single illiquid alternative investment represents an unsuitable concentration. Many firms and state regulators cap non-traded REIT exposure at 10% of liquid net worth for most investors, and even lower for seniors.

****Reasonable-Basis Suitability and FINRA Regulatory Notice 10-22:**** FINRA RN 10-22 specifically addresses the heightened duty of reasonable investigation (due diligence) that broker-dealers and their representatives owe when recommending private placements and other complex products. The advisor must understand the product's risks, including illiquidity, fee structure, distribution policies, and conflicts of interest. Denham's failure to communicate that distributions could be funded from offering proceeds rather than operating income - and his characterization of the product as akin to hassle-free rental property ownership - suggest he either failed to understand the product or deliberately misrepresented it.

****Regulation Best Interest (Reg BI) - SEC Rule 15l-1:**** For recommendations made after June 30, 2020, Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the product's risks, rewards, and costs. The advisor must consider reasonably available alternatives. Given Mrs. Ellison's profile, lower-cost, liquid income-producing alternatives (e.g., investment-grade bond funds, dividend equity funds, or even agency mortgage REITs with daily liquidity) were readily available. The Disclosure Obligation under Reg BI also required full and fair disclosure of material facts, including the illiquidity, the distribution source risk, and the conflicts inherent in the 7% front-end load generating an \$8,750 commission.

****FINRA Rule 2010 - Standards of Commercial Honor:**** Misrepresenting or omitting material features of an illiquid investment to a vulnerable senior investor violates the just and equitable principles of trade under FINRA Rule 2010.

****NASAA Guidance:**** NASAA has issued extensive guidance on non-traded REITs and DPP suitability, emphasizing concentration limits (often 10% of liquid net worth), enhanced suitability obligations for senior investors, and the need for clear disclosure of illiquidity, fees, and distribution practices. This recommendation exceeded any reasonable concentration threshold.

****Supervisory Failures:**** The branch manager's cursory approval without flagging the customer's age, concentration, or the mismatch between product characteristics and customer profile suggests a failure of the firm's supervisory system under FINRA Rules 3110 and 3120.

****GPB Capital Precedent:**** Enforcement actions in the GPB Capital cases established that firms and advisors face significant liability when they recommend illiquid alternative investments without adequate due diligence and without ensuring customer-specific suitability, particularly when red flags (such as advanced age, conservative profile, and income dependence) are ignored.

****Likely Regulatory Outcome:**** Denham would likely face sanctions including fines, disgorgement of commissions, suspension, and potentially a bar. The firm could face additional fines and remediation orders for supervisory failures. Mrs. Ellison would likely prevail in arbitration seeking recovery of her losses plus

the \$8,750 commission.

Hypothetical 25

[NON-COMPLIANT]

Topic: illiquid_real_estate_investment | Difficulty: hard

Fact Pattern

Margaret Kowalski, age 71, is a retired schoolteacher living in suburban Cleveland, Ohio. She receives \$2,400 per month from her pension and \$1,850 per month in Social Security benefits. Her total liquid net worth is approximately \$410,000, consisting of \$285,000 in an IRA rollover account, \$90,000 in a savings account, and \$35,000 in a checking account. She owns her home outright, valued at approximately \$185,000. Margaret describes herself as a conservative investor whose primary objectives are capital preservation and income generation to supplement her fixed retirement income. She has no prior experience investing in alternative or illiquid products, having historically held certificates of deposit, Treasury bonds, and a small allocation to a balanced mutual fund.

In March 2022, Margaret's financial advisor, Derek Hollins, who had managed her IRA for approximately four years, invited her to his office to discuss 'an exciting opportunity to boost her monthly income.' During the meeting, Derek recommended that Margaret invest \$140,000 from her IRA into a non-traded real estate investment trust called Pinnacle Healthcare Properties REIT, which invested in medical office buildings and senior living facilities across the southeastern United States. The REIT had a stated distribution yield of 6.5% annually and carried upfront fees totaling 12%, including a 7% sales commission, a 3% dealer manager fee, and 2% in offering and organizational expenses. The offering documents disclosed a minimum seven-year hold period with no established secondary market and noted that distributions could be funded from offering proceeds rather than operating income.

Derek told Margaret that the investment was 'basically like owning real estate without the hassle' and compared the 6.5% yield favorably to the 1.8% she was earning on her CDs at the time. He mentioned the healthcare focus made it 'recession-proof' and said several of his retired clients were 'very happy' with the income. He did not discuss the upfront fee load in specific dollar terms, the illiquidity risks in the context of her age and potential need for funds, the possibility that distributions might not be sourced from actual rental income, or the fact that the share price could decline significantly. He did not present any alternative income-generating investments for comparison.

Derek's firm had conducted a limited review of Pinnacle Healthcare Properties REIT before adding it to their approved product list. The firm's due diligence file contained the offering memorandum, a one-page summary prepared by the sponsor's wholesaler, and a brief email exchange between the firm's compliance officer and the sponsor's investor relations department. No independent analysis of the REIT's financial projections, property valuations, management track record, or fee structure was performed. The firm received a total compensation package equal to 8.5% of each sale, including trailing fees.

The \$140,000 investment represented approximately 34% of Margaret's total liquid net worth and 49% of her IRA. Within fourteen months, Pinnacle Healthcare Properties suspended its distribution payments citing

cash flow difficulties related to tenant vacancies at several senior living properties. By December 2023, the REIT's estimated per-share value had been marked down by 38%, reducing Margaret's investment to approximately \$75,700 in stated value - though no redemption program was available. Margaret contacted Derek in January 2024 asking to liquidate the position because she needed funds for unexpected home repairs totaling \$12,000, and Derek informed her that she could not access the money. Margaret filed a complaint with her state securities regulator in February 2024, alleging that she was never told she could lose access to her money or that the distributions might stop.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollins violated multiple regulatory standards in recommending the Pinnacle Healthcare Properties non-traded REIT to Margaret Kowalski.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

1. ***Reasonable-Basis Suitability*:** Derek and his firm failed to conduct adequate due diligence on the non-traded REIT itself. FINRA Regulatory Notice 10-22 specifically addresses the heightened duty of reasonable investigation that firms owe when recommending private placements and other complex, illiquid products. The notice states that firms must conduct a searching inquiry into the issuer, its management, its business prospects, the assets backing the securities, and the intended use of proceeds. The firm's due diligence - limited to the offering memorandum, a wholesaler-prepared summary, and a cursory email exchange - falls far short of this standard. No independent analysis of property valuations, management track record, financial projections, or the sustainability of the stated 6.5% distribution yield was performed. This is a clear reasonable-basis suitability failure.

2. ***Customer-Specific Suitability*:** Margaret was 71 years old, retired, conservative, reliant on fixed income, had no experience with alternative investments, and had a limited liquid net worth. A \$140,000 allocation to a non-traded REIT with a minimum seven-year hold period, 12% upfront fees, and no secondary market was fundamentally unsuitable for her profile. The investment consumed 34% of her liquid assets and 49% of her IRA, creating dangerous concentration and liquidity risk for a retiree who might need access to her savings. Her stated objectives - capital preservation and income generation - are directly contradicted by a speculative, illiquid product whose distributions could be funded from return of capital rather than actual income.

3. ***Quantitative Suitability / Concentration*:** The 34% concentration of liquid net worth in a single illiquid alternative product for a 71-year-old conservative retiree is excessive by any reasonable measure. NASAA guidelines on non-traded REITs have historically recommended concentration limits of 10% or less of liquid net worth for these products, and many states impose such limits as a condition of offering registration.

****Reg BI (Rule 15l-1) Analysis:****

If Derek's recommendation was made in a broker-dealer capacity to a retail customer, Regulation Best Interest applies. The Care Obligation under Reg BI requires that the broker exercise reasonable diligence, care, and skill in making the recommendation, understand the potential risks, rewards, and costs of the recommendation, and have a reasonable basis to believe the recommendation is in the retail customer's best interest and does not place the broker's interest ahead of the customer's. Derek failed all prongs: he did not adequately understand or communicate the risks, did not consider the product's costs in context (the 12% upfront load immediately destroyed \$16,800 of Margaret's investment), and did not consider reasonably available alternatives such as investment-grade bond funds, dividend-paying equity funds, or even traded REITs with daily liquidity. The Disclosure Obligation was also violated - Derek failed to disclose the specific dollar impact of the fee load, failed to adequately explain illiquidity risk relative to her circumstances, and failed to disclose the firm's 8.5% compensation arrangement which created a material conflict of interest.

****FINRA Rule 2010 (Standards of Commercial Honor):****

Derek's misleading characterizations - describing a speculative non-traded REIT as 'basically like owning real estate without the hassle' and calling it 'recession-proof' - constitute misleading and deceptive conduct inconsistent with just and equitable principles of trade under FINRA Rule 2010. Omitting material information about illiquidity, fee impact, and distribution sourcing from return of capital further compounds this violation.

****GPB Capital Enforcement Precedent:****

This fact pattern closely mirrors the issues raised in enforcement actions related to GPB Capital and similar non-traded alternative investments, where firms and advisors were sanctioned for inadequate due diligence, unsuitable recommendations to elderly and conservative investors, excessive concentration in illiquid products, and failure to disclose material risks and conflicts of interest.

****SEC Regulation D Considerations:****

While Reg D provides registration exemptions for the issuer, it does not relieve broker-dealers or their representatives from their independent suitability and due diligence obligations when recommending these offerings to customers.

****Likely Regulatory Outcome:****

Derek Hollins faces significant liability including potential FINRA sanctions (fine, suspension, or bar), state regulatory action (the complaint was filed with the state securities regulator, and NASAA member states have been aggressive in pursuing non-traded REIT suitability cases), and potential customer arbitration damages. The firm also faces supervisory liability for its inadequate due diligence process and failure to supervise the suitability of the recommendation. Expected remedies could include disgorgement of commissions, restitution to Margaret, fines, and enhanced supervisory requirements.

Hypothetical 26

Topic: *alternative_investments_unsuitable* | Difficulty: *medium*

[NON-COM

Fact Pattern

Margaret Chen, age 72, is a retired elementary school teacher living in suburban Phoenix, Arizona. She has a modest net worth of approximately \$410,000, consisting of \$285,000 in her IRA rollover account, \$75,000 in a savings account, and a paid-off home valued at roughly \$250,000. Her annual income is \$38,000, drawn entirely from Social Security and a small state pension. On her new account form, she listed her risk tolerance as 'conservative,' her investment objective as 'income and preservation of capital,' her time horizon as '1-5 years,' and her liquidity needs as 'high' because she anticipated needing funds for potential assisted living costs within the next three to four years. She had no prior experience with alternative investments or private placements.

In March 2022, her financial advisor, Derek Walton, age 44, with eleven years of industry experience, recommended that Margaret invest \$140,000 - approximately 49% of her IRA - into a non-traded real estate investment trust called Meridian Healthcare Properties REIT, which focused on skilled nursing facilities and senior living centers. The product carried a 7% upfront commission to the selling broker, a stated distribution yield of 6.5%, a minimum seven-year hold period before any anticipated liquidity event, and early redemption was limited to 'extraordinary circumstances' such as death or disability, with a 10% redemption penalty during the first three years. The offering memorandum disclosed 23 pages of risk factors, including the illiquid nature of the shares, the possibility that distributions could be funded from offering proceeds rather than operating income, and the risk of total loss of principal.

Walton told Margaret during a single 45-minute meeting that the REIT would provide 'steady monthly checks like clockwork' and was 'basically like owning a bunch of real estate without the hassle.' He did not discuss the liquidity restrictions, the length of the hold period, or the fact that early redemptions would be penalized. He did not document any independent investigation into the REIT's financial condition, management team, or the feasibility of its stated distribution rate. He did not present any alternative income-producing investments for comparison. Walton earned a \$9,800 gross commission on the transaction.

By late 2023, Meridian Healthcare Properties REIT suspended its distribution payments and wrote down the estimated share value by 38%, reducing Margaret's \$140,000 investment to an estimated value of \$86,800. Margaret, now 73, needed to begin drawing down funds for in-home care but could not access the capital without accepting further losses through the early redemption penalty. She filed a complaint with her state securities regulator in January 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Walton violated multiple applicable standards in recommending the non-traded REIT to Margaret Chen.

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker have a reasonable basis to believe a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, investment objectives, and time horizon. Margaret was a 72-year-old retiree with conservative risk tolerance, a short time horizon (1-5 years), high liquidity

needs, and no experience with alternative investments. A non-traded REIT with a minimum seven-year hold period, severe early redemption restrictions, and a 10% redemption penalty is fundamentally incompatible with every element of her stated profile. The concentration of approximately 49% of her IRA in a single illiquid product further aggravates the unsuitability. This fails both the customer-specific suitability obligation and the quantitative suitability component.

2. ****FINRA Regulatory Notice 10-22 (Reasonable Investigation Duty for Private Placements and DPPs):**** RN 10-22 imposes on member firms and their associated persons a duty to conduct a reasonable investigation of the issuer and the securities being offered before recommending them to customers. Walton did not document any independent due diligence into the REIT's financial condition, the management team's track record, the sustainability of the 6.5% distribution rate, or whether distributions were being paid from operating cash flows versus return of capital from offering proceeds. This constitutes a failure of the reasonable-basis suitability inquiry required under both Rule 2111 and RN 10-22.

3. ****SEC Regulation Best Interest (Rule 15l-1):**** If Walton was acting in a broker-dealer capacity (which the commission structure indicates), Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill to understand the risks and rewards of the recommendation, consider reasonably available alternatives, and ensure the recommendation was in the customer's best interest without placing his own financial interest ahead of the customer's. The \$9,800 commission created a significant financial incentive, and Walton failed to present any alternative income-producing investments. He also failed to consider lower-cost, more liquid alternatives such as investment-grade bond funds, Treasury securities, or traded REITs that would have aligned with Margaret's stated objectives. The Disclosure Obligation was also violated because Walton affirmatively mischaracterized the product by omitting material information about liquidity restrictions, hold periods, and redemption penalties.

4. ****FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade):**** Walton's misleading characterization of the REIT as providing income 'like clockwork' without disclosing material risks, combined with the omission of key product features, constitutes conduct inconsistent with just and equitable principles of trade.

5. ****NASAA Guidance on Unsuitable DPP Recommendations:**** State regulators, consistent with NASAA positions, have consistently found that recommendations of illiquid DPPs and non-traded REITs to elderly, conservative investors with short time horizons and high liquidity needs are per se unsuitable. Concentration levels exceeding typical firm guidelines (often 10-25% of liquid net worth for alternative investments) further support a finding of unsuitability.

****Likely Regulatory Outcome:**** Walton and his firm face potential sanctions including fines, disgorgement of commissions, restitution to the customer, suspension or bar, and potential state enforcement action. The GPB Capital enforcement actions and numerous non-traded REIT enforcement cases demonstrate that regulators aggressively pursue brokers who recommend illiquid alternative investments to unsuitable customers without adequate due diligence. Margaret would likely prevail in arbitration or a regulatory complaint seeking full restitution of her losses plus the redemption penalty costs.

Hypothetical 27

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Gerald Whitfield, age 71, is a retired postal worker living in Tallahassee, Florida. He has a fixed monthly income of \$2,800 from his pension and \$1,400 from Social Security. His total liquid net worth is approximately \$215,000, held primarily in a traditional IRA rollover and a small savings account of \$18,000. Gerald completed a new account form in March 2022 indicating his investment objective as "income and preservation of capital," his risk tolerance as "conservative," his time horizon as "3-5 years," and his liquidity needs as "moderate" since he periodically draws from his IRA to cover medical expenses related to his Type 2 diabetes. Gerald's investment experience was listed as limited, consisting only of certificates of deposit and a small allocation to a balanced mutual fund. His advisor, Craig Dutton, who had been registered for six years with a mid-size independent broker-dealer, recommended that Gerald invest \$140,000 - roughly 65% of his liquid net worth - into two non-traded real estate investment trust programs. The first was a \$90,000 allocation to the Pinnacle Healthcare Properties REIT, which had a minimum seven-year hold period, no secondary market, distributions that were not guaranteed, and total front-end fees (including selling commissions, dealer manager fees, and offering expenses) of approximately 12%. The second was a \$50,000 investment in the Atlas Industrial Logistics REIT, which carried similar illiquidity restrictions, a projected hold period of eight to ten years, and front-end load costs totaling 11.5%. Craig told Gerald that both products would generate "steady quarterly income like a CD but with better returns," and described them as "very safe real estate backed by hard assets." Craig did not discuss the illiquidity risk in detail, did not explain that distributions could be funded from offering proceeds or borrowings rather than operating cash flow, and did not document any analysis of whether Gerald's overall portfolio could withstand having nearly two-thirds of his assets locked up for seven to ten years. Craig's broker-dealer had issued an internal product memo on non-traded REITs that set a concentration limit of 25% of liquid net worth for conservative investors over age 65, but Craig did not reference or follow this guidance. Gerald received two quarterly distributions from Pinnacle but in early 2023, both REITs suspended distributions. Gerald needed to access funds for an unexpected surgery in June 2023 and discovered he could not liquidate either position without accepting a discount of over 30% through an informal secondary market bulletin board. He filed a complaint with his broker-dealer in August 2023.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Dutton violated multiple applicable standards in recommending these non-traded REIT investments to Gerald Whitfield.

****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Rule 2111 encompasses three obligations: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

On customer-specific suitability, Gerald's profile - a 71-year-old retiree with conservative risk tolerance, limited investment experience, a 3-5 year time horizon, moderate liquidity needs driven by ongoing medical expenses, and a modest liquid net worth of \$215,000 - is fundamentally incompatible with an aggregate \$140,000 allocation (65% concentration) in illiquid, non-traded REITs with 7-10 year hold periods and no guaranteed distributions. The recommendation directly contradicts Gerald's stated objectives of income and capital preservation, given the products' illiquidity risk, distribution suspension risk, and high front-end fees that immediately erode principal.

****FINRA Regulatory Notice 10-22:**** This notice specifically addresses the heightened duty of reasonable investigation when recommending private placements and other complex, illiquid products. It reminds firms and representatives that they must conduct a thorough analysis of the offering, including the issuer's financial condition, the risks disclosed in offering materials, and the product's suitability for the specific customer. Craig's failure to analyze whether Gerald could withstand having 65% of his liquid assets locked up, and his failure to adequately discuss illiquidity, distribution source risks, and fee drag, demonstrates a failure of this reasonable investigation duty.

****Regulation Best Interest (Rule 15l-1):**** Under Reg BI's Care Obligation, a broker must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation, and must have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Craig's recommendation fails this standard because: (a) the concentration level was excessive and directly contrary to the firm's own internal guidelines limiting conservative elderly investors to 25% in non-traded REITs; (b) the products' illiquidity was incompatible with Gerald's documented moderate liquidity needs; (c) the time horizons of the products (7-10 years) far exceeded Gerald's stated 3-5 year horizon; and (d) total front-end costs of 11.5-12% significantly impaired the income and capital preservation objectives Gerald had identified.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Craig's characterization of non-traded REITs as "very safe" and comparable to CDs, without disclosing the material differences in risk, liquidity, and fee structure, constitutes misleading communications and a failure to deal fairly with the customer.

****NASAA Guidance on DPP/Non-Traded REIT Suitability:**** State securities regulators have issued extensive guidance warning about the particular risks of recommending illiquid DPPs to elderly, conservative, income-dependent investors. Many states have adopted concentration limits (typically 10-25% of liquid net worth) for non-traded REITs, and Craig's 65% concentration far exceeds any reasonable threshold.

****Firm Supervisory Failures:**** The broker-dealer's internal memo established a 25% concentration limit for this customer profile, but Craig disregarded it without documentation. This also raises supervisory concerns under FINRA Rules 3110 and 3120 regarding the firm's failure to detect and prevent the excessive concentration.

****GPB Capital Precedent:**** Recent enforcement actions involving illiquid alternative investments have

resulted in significant sanctions where brokers placed unsuitable concentrations of illiquid products with elderly, conservative investors. The pattern here - high concentration, conservative elderly client, misleading product descriptions, ignored firm guidelines - closely mirrors the fact patterns that have led to restitution orders, suspensions, and fines.

****Likely Regulatory Outcome:**** Craig faces potential sanctions including disgorgement of commissions, restitution to Gerald, fines, and a suspension. The firm could face supervisory deficiency charges. In arbitration, Gerald would likely recover damages reflecting the difference between his investment and its current liquidation value, plus the front-end fees that eroded his principal.

Hypothetical 28

Topic: *illiquid_real_estate_investment* | Difficulty: *medium*

Fact Pattern

Margaret Townsend, age 72, is a retired schoolteacher living in Columbus, Ohio. She has a fixed annual income of \$38,000 from her pension and Social Security. Her total liquid net worth is approximately \$310,000, held primarily in a money market account and a small bond mutual fund. She has no other sources of income and relies on her savings to supplement her pension for daily living expenses, medical costs, and occasional travel to visit her grandchildren. Her risk tolerance on her new account form is marked as 'conservative,' and her investment objectives are listed as 'income' and 'preservation of capital.' She has no prior experience with alternative investments or private securities.

In March 2022, her financial advisor, Craig Milner, who works for a mid-size independent broker-dealer, recommended that Margaret invest \$125,000 - roughly 40% of her liquid net worth - into a non-traded real estate investment trust called Horizon Healthcare Properties REIT. The REIT invested in skilled nursing facilities and senior living communities across the Midwest. The offering documents disclosed upfront fees and commissions totaling 12%, a minimum recommended holding period of seven years, no established secondary market for shares, and distributions that were partially funded by offering proceeds rather than operating income. The sponsor had a limited track record, having launched only one prior program that had suspended distributions in 2020.

Craig told Margaret that the investment was 'as safe as owning real estate directly' and emphasized the projected 6.5% annual distribution rate. He did not discuss the illiquidity of the product, the lengthy holding period, the possibility that distributions could be reduced or suspended, or the fact that nearly \$15,000 of her investment would go toward fees and commissions before any money was deployed into properties. Craig's branch manager approved the transaction after a cursory review of the paperwork. The firm's due diligence file on the Horizon REIT contained only the sponsor's marketing materials and a one-page summary prepared by the wholesaler.

By late 2023, the REIT had reduced its distribution rate to 2.1%, and the estimated share value was written down by 30%. Margaret, who needed the income to cover rising prescription drug costs, attempted to redeem her shares but was told the REIT's share repurchase program had been suspended indefinitely.

[NON-COM

She filed a complaint in January 2024 alleging that the investment was unsuitable and that she was not told about the risks.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated multiple regulatory standards in recommending this non-traded REIT to Margaret Townsend.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. This rule encompasses three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

***Customer-Specific Suitability:** Margaret is a 72-year-old retiree with conservative risk tolerance, income and capital preservation objectives, a modest \$310,000 in liquid assets, and reliance on those assets for living expenses. Concentrating approximately 40% of her liquid net worth in a single illiquid, non-traded REIT with a seven-year holding period is fundamentally inconsistent with her profile. Non-traded REITs carry significant risks including illiquidity, lack of a secondary market, distribution uncertainty, and high upfront costs. A customer who needs access to funds for medical expenses and daily living should not have such a large allocation in a product with no realistic exit mechanism for years.

***Reasonable-Basis Suitability:** Under FINRA Regulatory Notice 10-22, member firms and their associated persons have a duty to conduct a reasonable investigation of the securities they recommend, particularly in the private placement and non-traded REIT context. The firm's due diligence file contained only the sponsor's marketing materials and a wholesaler summary - this falls far short of the independent, thorough investigation required. The advisor and firm failed to investigate the sponsor's limited track record (one prior program that had already suspended distributions), the sustainability of the projected distribution rate, and the extent to which distributions were funded by offering proceeds rather than operating income.

****Regulation Best Interest (Reg BI) - Rule 15l-1:****

If this transaction occurred after June 30, 2020, Reg BI's Care Obligation applies, requiring the advisor to exercise reasonable diligence, care, and skill in making recommendations. The advisor must understand the potential risks, rewards, and costs of the recommendation and have a reasonable basis to believe it is in the customer's best interest at the time of the recommendation. Recommending a highly illiquid, high-fee product to a 72-year-old conservative investor who depends on her savings for living expenses cannot meet this standard. Additionally, Reg BI's Disclosure Obligation required the advisor to disclose material facts about the recommendation, including all fees, conflicts of interest (the 12% upfront load generated significant compensation for the advisor), and risks. Craig failed to disclose the illiquidity, fee structure, and distribution risks.

****FINRA Rule 2010 - Standards of Commercial Honor:****

Craig's characterization of the non-traded REIT as 'as safe as owning real estate directly' was materially

misleading. Non-traded REITs carry substantially different risks from direct real estate ownership, including lack of control, lack of liquidity, blind pool risk, and sponsor risk. This misrepresentation violates standards of just and equitable principles of trade.

****NASAA Guidance and Concentration Concerns:****

NASAA guidelines on DPP and non-traded REIT sales have historically recommended concentration limits (often 10% of liquid net worth for non-accredited investors). A 40% concentration in a single illiquid alternative product vastly exceeds any reasonable concentration threshold.

****Supervisory Failures:****

The branch manager's cursory review of the transaction and the firm's inadequate due diligence file also suggest supervisory failures under FINRA Rule 3110, which requires firms to establish and maintain a system to supervise the activities of their associated persons that is reasonably designed to achieve compliance with applicable rules.

****GPB Capital Parallels:****

This fact pattern echoes enforcement actions against firms that sold illiquid alternative investments (such as GPB Capital private placements) without conducting adequate due diligence, without properly vetting the sponsor's track record, and without ensuring customer-specific suitability. In those cases, firms faced significant fines, restitution orders, and suspensions.

****Likely Regulatory Outcome:****

Craig Milner would likely face sanctions including fines, disgorgement of commissions, suspension, and possible bar from the industry. The firm would likely face enforcement action for supervisory failures and inadequate due diligence. Margaret would be entitled to restitution of her losses, potentially through arbitration or a regulatory settlement. The violations here are clear and involve multiple overlapping failures: unsuitable recommendation, inadequate due diligence, material misrepresentations, excessive concentration, and supervisory deficiencies.

Hypothetical 29

Topic: inappropriate_risk_profile | Difficulty: medium

Fact Pattern

Gerald Whitmore, age 71, is a retired postal worker living in Pensacola, Florida, with an annual pension income of \$38,000 and Social Security benefits of \$21,600. His total liquid net worth is approximately \$285,000, consisting of \$190,000 in an IRA rollover, \$60,000 in a savings account, and \$35,000 in a brokerage account holding blue-chip dividend stocks. Gerald's new account form, completed in March 2022, listed his investment objective as "income with capital preservation," his risk tolerance as "conservative," his time horizon as "5-10 years," and his liquidity needs as "moderate" given his reliance on investment income to supplement his pension. Gerald's financial advisor, Nathan Collier, had been introduced to Gerald through a church group. In June 2022, Collier recommended that Gerald invest \$125,000 - \$90,000 from his IRA and \$35,000 from his brokerage account - into a non-traded real estate

[NON-COM

investment trust called Meridian Coastal Properties REIT, which focused on commercial office and retail properties along the Gulf Coast. The offering documents disclosed a 7% front-end load, a minimum seven-year hold period with no established secondary market, distributions that could be paid from offering proceeds rather than operating cash flow, and risks related to tenant vacancy and hurricane exposure. Collier told Gerald the investment would "pay like clockwork - 6.5% annually - better than any CD or bond you'll find," and described it as "basically like owning rental property without the headaches." Collier did not discuss the illiquidity of the investment, the possibility that distributions could be reduced or suspended, or the fact that the REIT had only been operating for 14 months with limited audited financial results. Collier's firm received a 7% selling commission on the transaction. After the investment, Gerald's portfolio was approximately 44% concentrated in this single illiquid non-traded REIT. By early 2024, Meridian Coastal suspended distributions entirely, citing reduced occupancy rates and hurricane damage to two properties, and informed investors that redemption requests would not be honored for at least another three years. Gerald, now 73 and facing rising medical expenses, was unable to access the funds and filed a complaint with his state securities regulator.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Nathan Collier violated applicable suitability and best interest standards in multiple respects.

1. ****Customer-Specific Suitability (FINRA Rule 2111.05):**** Gerald's documented profile - conservative risk tolerance, income with capital preservation objective, moderate liquidity needs, reliance on investment income, age 71 - is fundamentally inconsistent with a \$125,000 allocation to an illiquid, non-traded REIT with a seven-year minimum hold, no secondary market, and significant concentration risk. Under FINRA Rule 2111, a recommendation must be suitable based on the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, and time horizon. A 44% concentration in a single illiquid alternative product for a conservative retiree with moderate liquidity needs fails this standard.
2. ****Reasonable-Basis Suitability and Due Diligence (FINRA Regulatory Notice 10-22):**** RN 10-22 imposes a heightened reasonable investigation duty on firms and representatives selling private placements and other complex products. Collier was obligated to conduct a reasonable investigation into Meridian Coastal's financial condition, operating history, the source of its distributions, and the specific risks in its offering documents. The REIT had only 14 months of operations and limited audited results, and distributions could be paid from offering proceeds - a significant red flag. There is no indication Collier investigated these issues or communicated them to Gerald.
3. ****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** For broker-dealer recommendations to retail customers, Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation and to have a reasonable basis to believe the recommendation is in the customer's best interest, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Collier's misleading characterization of the REIT as equivalent to a CD or bond, his failure to disclose illiquidity and distribution risk, and the excessive concentration all indicate a failure to meet this standard. Additionally, the Disclosure Obligation under Reg BI requires disclosure of material facts about the recommendation,

including risks and conflicts such as the 7% selling commission.

4. **Misleading Communications (FINRA Rule 2010):** Collier described the non-traded REIT as paying "like clockwork" and compared it to rental property "without the headaches," omitting the very real risks of distribution suspension, illiquidity, and capital loss. This amounts to misleading, exaggerated representations inconsistent with FINRA's ethical standards of commercial honor and just and equitable principles of trade.

5. **Concentration:** NASAA guidelines on non-traded REITs and DPPs have recommended concentration limits (often 10% of liquid net worth for non-traded REITs). Gerald's 44% concentration far exceeds any reasonable concentration threshold.

Likely Regulatory Outcome: Collier and his firm face potential disciplinary action including fines, disgorgement of commissions, customer restitution, suspension, or bar. The state regulator may pursue an enforcement action for an unsuitable recommendation, and Gerald may recover damages through arbitration. GPB Capital and similar enforcement precedents demonstrate regulators' willingness to impose significant sanctions in cases involving illiquid alternative investments sold to unsuitable customers with misleading representations.

Hypothetical 30

[NON-COM

Topic: *high_fees_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Ellison, a 72-year-old retired elementary school teacher in Tucson, Arizona, had accumulated \$410,000 in her retirement accounts, consisting primarily of a traditional IRA rollover from her pension and a small taxable brokerage account. Her monthly income was approximately \$2,800 from Social Security and a modest \$600 state pension supplement, totaling \$3,400 per month. She described herself as a conservative investor who needed income to supplement her fixed retirement payments and wanted to preserve her principal for potential long-term care expenses. She had no prior experience with alternative investments or private placements.

In March 2021, her financial advisor, Craig Denton, who had been her advisor for three years, recommended she invest \$165,000—roughly 40% of her total retirement savings—into a non-traded real estate investment trust called Meridian Healthcare Properties Fund III. The fund invested in skilled nursing and assisted living facilities across the southeastern United States. Denton told Margaret the investment would pay a 6.5% annualized distribution and was 'backed by real healthcare properties that people always need.' He described it as 'safer than stocks because it's tied to real estate.'

What Denton did not adequately explain was the fee structure. The offering carried a front-end sales load of 7%, meaning \$11,550 of Margaret's investment went immediately to commissions and dealer fees. Additionally, the fund charged an annual asset management fee of 1.25%, an annual property management fee of 2.0% assessed on gross rental revenues, an acquisition fee of 2.5% on each property purchased,

and a disposition fee of 1.5% on property sales. Internal fund documents estimated total first-year costs to investors at approximately 13.8% when all fees were aggregated, though this figure was buried on page 87 of a 142-page private placement memorandum. Denton gave Margaret the PPM but only walked her through the first 15 pages covering the investment overview and projected distributions.

The fund also imposed a minimum seven-year hold period before any share redemption program would become available, and even then, redemptions were limited to 5% of outstanding shares per quarter on a first-come, first-served basis, with a 5% early redemption fee for shares held less than five years from the redemption program's activation. Margaret signed the subscription documents, including a questionnaire where Denton had checked the boxes indicating her risk tolerance was 'moderate' and her investment time horizon was '7-10 years,' despite their previous conversations and her existing account documentation reflecting a conservative risk profile and income-oriented objectives.

By September 2023, the fund had suspended distributions citing cash flow difficulties related to staffing shortages and Medicaid reimbursement delays at several of its properties. Margaret, now 74, needed the income she had been counting on and attempted to redeem her shares. She was informed the redemption program had not yet been activated and no timeline was available. Her \$165,000 investment had an estimated net asset value of approximately \$118,000 based on the fund's most recent valuation, representing a 28.5% decline. Margaret filed a complaint stating she was never told about the full extent of the fees, did not understand the investment was essentially illiquid, and that her advisor had changed her risk profile documents without her knowledge to make the investment appear suitable.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Denton violated multiple regulatory standards in recommending the Meridian Healthcare Properties Fund III to Margaret Ellison.

****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile. This includes three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

1. ****Customer-Specific Suitability Failure:**** Margaret was a 72-year-old conservative, income-dependent retiree with \$410,000 in total savings and no experience with alternative investments. Recommending that she place 40% of her retirement assets into an illiquid, high-fee, non-traded REIT with a seven-year minimum hold period was patently unsuitable for her profile. Her documented objectives were income generation and capital preservation, yet this product carried extreme illiquidity risk and a fee structure that virtually guaranteed significant capital erosion in the early years. The concentration of 40% of her retirement savings in a single illiquid alternative product is grossly disproportionate to her risk tolerance and liquidity needs, particularly given her age and reliance on investment income.

2. ****Reasonable-Basis Suitability / FINRA Regulatory Notice 10-22 Duty:**** Under RN 10-22, broker-dealers and their registered representatives have a duty to conduct a reasonable investigation of private

placements and other Regulation D offerings before recommending them to customers. This includes understanding the issuer's financial condition, the product's fee structure, the business model, and the risks. Denton failed to adequately explain the layered fee structure-totaling approximately 13.8% in the first year-to Margaret, and only reviewed the first 15 pages of a 142-page PPM. The duty of reasonable investigation requires more than simply handing a PPM to a customer; the advisor must understand the product thoroughly and communicate material facts, including the full cost impact.

3. ****Regulation Best Interest (Reg BI - Rule 15l-1):**** If Denton acted in a broker-dealer capacity (which the facts suggest), the Care Obligation under Reg BI required him to exercise reasonable diligence, care, and skill in making the recommendation. He was required to understand the potential risks, rewards, and costs of the recommendation, and have a reasonable basis to believe the recommendation was in the customer's best interest at the time, considering the customer's investment profile and the potential risks, rewards, and costs associated with the recommendation. The excessive and opaque fee structure, combined with the severe illiquidity and Margaret's conservative profile, make it clear this recommendation could not have been in her best interest. The Disclosure Obligation also required full and fair disclosure of all material facts relating to fees and costs, which was not provided.

4. ****FINRA Rule 2010 (Standards of Commercial Honor):**** Denton's apparent alteration of Margaret's risk tolerance from 'conservative' to 'moderate' and her investment time horizon to '7-10 years' on the subscription documents-contradicting her existing account documentation and stated objectives-constitutes a serious violation of just and equitable principles of trade. Falsifying or manipulating customer records to make an unsuitable recommendation appear suitable is a hallmark of sales practice abuse and could independently support disciplinary action.

5. ****NASAA Guidance on DPP Suitability:**** State regulators through NASAA have long emphasized that non-traded REITs and other direct participation programs should generally constitute no more than 10% of an investor's liquid net worth for most customers, and that advisors must ensure customers understand the illiquid nature, high fee loads, and speculative risks of these products. A 40% concentration in a single non-traded REIT for a conservative retiree dramatically exceeds any reasonable allocation threshold.

****GPB Capital Enforcement Precedent:**** The GPB Capital cases demonstrated regulatory willingness to pursue both issuers and the broker-dealers who sold private placements without conducting adequate due diligence and without ensuring customer suitability. The pattern here-high fees, illiquidity, inadequate disclosure, and unsuitable recommendations to vulnerable investors-mirrors the fact patterns that led to significant sanctions in those matters.

****Likely Regulatory Outcome:**** Denton faces potential sanctions including fines, disgorgement of commissions (the \$11,550 front-end load), suspension or bar from the securities industry, and restitution to the customer. His broker-dealer firm also faces supervisory liability if it failed to have adequate systems to flag the concentration, the risk profile discrepancy, and the suitability of this product for this customer. Margaret's complaint would likely succeed in arbitration or a regulatory proceeding, with damages measured as the difference between her investment and its current value, plus lost opportunity costs on the capital.

Hypothetical 31*Topic: alternative_investments_unsuitable | Difficulty: medium*

[NON-COM]**Fact Pattern**

Margaret Olson, age 72, is a retired elementary school teacher living in Tucson, Arizona. Her total liquid net worth is approximately \$340,000, consisting of a \$280,000 IRA rollover from her pension and \$60,000 in a savings account. She receives \$2,100 per month in Social Security and a small \$400 monthly pension supplement. Her annual income is approximately \$30,000. Margaret has no other sources of income and relies on her savings to cover medical expenses and supplement her fixed income. She has consistently described her risk tolerance as conservative on account opening documents, and her investment objectives are listed as capital preservation and income. She has no prior experience with alternative investments, private placements, or real estate partnerships.

In March 2022, Margaret's financial advisor, Dean Hargrove, recommended she invest \$140,000 - roughly 41% of her liquid net worth - into a non-traded real estate investment trust called Pinnacle Healthcare Properties REIT, which focused on acquiring skilled nursing facilities and assisted living centers. The product carried a 7% upfront commission and load, had no secondary market, imposed a minimum seven-year hold period before any potential liquidity event, and disclosed in its offering memorandum that distributions were not guaranteed and could be funded from offering proceeds rather than operating cash flow. The REIT's sponsor had been in operation for only three years and had not completed a full capital-raising cycle on any prior offering.

Dean told Margaret the investment was "like owning real estate without the headaches" and emphasized the projected 6.5% annual distribution rate, comparing it favorably to her savings account yielding 0.4%. He did not discuss the illiquidity restrictions, the possibility that distributions could be reduced or suspended, or the fact that the sponsor had no track record of returning capital to investors. He also did not discuss the upfront fee structure, which consumed \$9,800 of Margaret's investment immediately. Dean's branch manager approved the transaction after a brief review of the paperwork but did not speak with Margaret or independently evaluate whether the concentration level was appropriate for her profile.

By late 2023, the REIT suspended its distribution payments and announced it was exploring strategic alternatives due to occupancy declines at its properties. Margaret attempted to redeem her shares through the REIT's limited share repurchase program but was told the program had been suspended indefinitely. She filed a complaint in January 2024 stating she was never told she could lose access to her money and that she needed those funds for upcoming medical procedures.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dean Hargrove violated applicable suitability and best interest standards on multiple grounds.

****Concentration and Suitability (FINRA Rule 2111):**** Under FINRA Rule 2111, a representative must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on the

customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, investment objectives, and time horizon. Margaret is a 72-year-old retiree with conservative risk tolerance, capital preservation objectives, limited income, and dependence on her savings for medical and living expenses. Recommending that she place 41% of her liquid net worth into an illiquid, non-traded REIT with a seven-year hold period is fundamentally inconsistent with her profile. NASAA guidelines and numerous enforcement actions have established that concentrations exceeding 10-20% of liquid net worth in illiquid alternative investments are presumptively unsuitable for conservative, elderly, income-dependent investors.

****Reasonable Investigation Duty (FINRA Regulatory Notice 10-22):**** RN 10-22 imposes a duty on firms and representatives to conduct a reasonable investigation into the merits and risks of private placements and other alternative investments before recommending them. This includes evaluating the sponsor's track record, the offering's fee structure, the likelihood that distributions are sustainable, and the realistic liquidity timeline. Dean recommended a product from a sponsor with only three years of operating history and no completed capital cycle, yet he performed no independent diligence on the sponsor's financial condition or the sustainability of the 6.5% projected distribution. The fact that distributions could be funded from offering proceeds rather than operations - a material risk factor - was not communicated to Margaret.

****Disclosure Failures and Reg BI (Rule 15l-1):**** Under Regulation Best Interest, a broker-dealer and its associated persons must act in the retail customer's best interest at the time of a recommendation. The Care Obligation requires consideration of reasonably available alternatives and an understanding of the risks, rewards, and costs of the recommendation. Dean failed to disclose the 7% upfront load (\$9,800), the illiquidity restrictions, the suspension risk for distributions, or the lack of a secondary market. He affirmatively mischaracterized the investment as comparable to owning real estate 'without the headaches,' omitting the critical distinction that non-traded REITs carry significant illiquidity and valuation risk unlike direct property ownership. The Disclosure Obligation under Reg BI was also violated by the failure to disclose the material conflict created by the 7% commission, which far exceeded what Margaret would have paid for suitable alternatives like investment-grade bond funds or Treasury securities.

****Supervisory Failures (FINRA Rule 3110):**** The branch manager's approval without any direct contact with the customer or independent evaluation of the concentration level constitutes a supervisory failure. Given Margaret's age, risk profile, and the size of the allocation relative to her net worth, heightened supervision was warranted.

****Fair Dealing (FINRA Rule 2010):**** The cumulative effect of the unsuitable recommendation, misleading characterization of the product, omission of material risks, and excessive concentration constitutes conduct inconsistent with just and equitable principles of trade under Rule 2010.

****Likely Regulatory Outcome:**** Dean Hargrove would likely face sanctions including fines, disgorgement of commissions, a suspension, and potential restitution to Margaret. The firm would face additional liability for supervisory failures. Based on patterns in GPB Capital and non-traded REIT enforcement actions, regulators have imposed significant penalties - including bars - for recommending illiquid alternative investments to elderly, conservative customers at inappropriate concentration levels without adequate disclosure or due diligence.

Hypothetical 32

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Gerald Hoffman, age 71, is a retired postal worker living in Tucson, Arizona, with an annual pension income of \$42,000 and Social Security benefits of \$21,600. His total liquid net worth is approximately \$310,000, held primarily in a traditional IRA rollover and a small savings account. Gerald's wife passed away in 2022, and he relies on his retirement savings to supplement his fixed income for daily living expenses and occasional medical costs. On his new account form completed in January 2024, Gerald indicated a 'conservative' risk tolerance, a primary investment objective of 'capital preservation and income,' a 5-year investment time horizon, and no prior experience with alternative investments. His financial advisor, Dale Ericson, who works at a mid-sized independent broker-dealer, recommended that Gerald invest \$85,000 - approximately 27% of his liquid net worth - into a non-traded Real Estate Investment Trust called Pinnacle Healthcare Properties REIT, which focused on acquiring skilled nursing facilities and medical office buildings. The REIT carried an upfront commission of 7%, had a minimum seven-year expected hold period before any liquidity event, no established secondary market, and distributions that were partially funded through offering proceeds rather than operating cash flow. Dale told Gerald the investment would provide 'steady monthly income like a CD but with better returns,' and described the REIT as 'essentially as safe as owning real estate directly.' Dale did not discuss the illiquidity risks, the lack of a public market for the shares, the possibility that distributions could be reduced or suspended, or the fact that the REIT's net asset value could decline substantially. Dale's firm had conducted only a cursory due diligence review of the REIT sponsor, relying primarily on marketing materials provided by the wholesaler and not independently verifying the sponsor's track record, financial condition, or the reasonableness of the projected returns. Within 18 months, Pinnacle Healthcare Properties REIT suspended its distribution payments and announced a 40% write-down in its estimated per-share net asset value, reducing Gerald's \$85,000 investment to an estimated value of roughly \$48,000. Gerald, who had been counting on the monthly distributions to cover prescription drug costs, was forced to liquidate other savings at an inopportune time.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Ericson violated multiple regulatory standards in recommending the non-traded REIT to Gerald Hoffman.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, risk tolerance, and other relevant information.

Rule 2111 imposes three component obligations: (1) reasonable-basis suitability - requiring the advisor to understand the product and have a reasonable basis to believe it could be suitable for at least some investors; (2) customer-specific suitability - requiring that the recommendation be suitable for the particular

customer; and (3) quantitative suitability.

Here, customer-specific suitability was clearly violated. Gerald was a 71-year-old retiree with conservative risk tolerance, a capital preservation objective, a 5-year time horizon, modest liquid assets of \$310,000, and dependence on investment income for daily expenses. A non-traded REIT with a seven-year minimum hold period, no secondary market, 7% front-end load, and distributions partially funded by offering proceeds is fundamentally inconsistent with Gerald's profile. Allocating 27% of his liquid net worth to a single illiquid alternative investment far exceeded any reasonable concentration for a conservative retiree.

****Reasonable-Basis Suitability and FINRA Regulatory Notice 10-22:****

FINRA RN 10-22 specifically addresses a member firm's obligation to conduct a reasonable investigation of private placements and other non-conventional investments before recommending them. The notice emphasizes that firms cannot rely solely on issuer-prepared offering materials and must independently investigate the issuer's representations, the feasibility of the business plan, the experience and track record of the sponsor, and the reasonableness of projected returns. Dale's firm conducted only a cursory review relying on wholesaler marketing materials, failing this reasonable investigation duty. This independently violates reasonable-basis suitability.

****Regulation Best Interest (Rule 15l-1):****

If this recommendation was made after June 30, 2020 (which it was, occurring in January 2024), Reg BI applies. The Care Obligation under Reg BI requires that the broker exercise reasonable diligence, care, and skill in making the recommendation, understand the potential risks, rewards, and costs of the recommendation, and have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the financial professional's interest ahead of the customer's. The 7% upfront commission created a significant financial incentive, and the advisor's misleading characterization of the REIT as 'essentially as safe as owning real estate directly' and comparable to a CD demonstrates a failure to exercise reasonable care and a potential violation of the Disclosure Obligation as well.

****FINRA Rule 2010 (Standards of Commercial Honor):****

Dale's misleading statements - comparing a highly illiquid, speculative non-traded REIT to a CD and omitting material risk disclosures - constitute conduct inconsistent with just and equitable principles of trade under FINRA Rule 2010.

****NASAA Guidance:****

NASAA has issued extensive guidance on non-traded REIT suitability, including recommending concentration limits (often 10% of liquid net worth for non-traded REITs and DPPs). The 27% concentration here far exceeds typical state-level guidelines.

****GPB Capital Precedent:****

This fact pattern mirrors enforcement actions in the GPB Capital cases, where firms were sanctioned for failing to conduct adequate due diligence on alternative investment sponsors, relying on issuer marketing materials, and recommending illiquid products to unsuitable customers. Multiple broker-dealers faced significant fines and restitution orders.

****Likely Regulatory Outcome:****

Dale would likely face sanctions including disgorgement of commissions, restitution to the customer, fines, and a potential suspension. His firm would likely face supervisory deficiency findings for inadequate due diligence and failure to establish reasonable concentration limits. State regulators could bring parallel actions under NASAA guidelines. Gerald would likely recover damages through arbitration or regulatory restitution.

Hypothetical 33

Topic: *inappropriate_risk_profile* | Difficulty: *hard*

[NON-COM]

Fact Pattern

Gerald Pitman, age 71, is a retired postal worker living in suburban Memphis, Tennessee, with an annual pension income of \$42,000 and Social Security benefits of \$22,800. His total liquid net worth is approximately \$385,000, held primarily in a rollover IRA containing index funds and a small allocation to investment-grade bond funds. Gerald's wife, Elaine, age 69, was recently diagnosed with early-stage Parkinson's disease, and the couple anticipated rising healthcare expenses over the next several years. Gerald had no prior experience with alternative investments and had consistently indicated on his account documentation that his risk tolerance was 'conservative,' his investment objectives were 'income and preservation of capital,' and his time horizon was 'short-term (1-3 years).' In March 2022, his financial advisor, Troy Beckett, who had been Gerald's advisor for eleven years, recommended that Gerald invest \$115,000 - roughly 30% of his liquid net worth - into a non-traded real estate investment trust called Prestige Healthcare Properties REIT. The REIT invested in skilled nursing facilities and senior living communities and carried a minimum seven-year hold period with no established secondary market. The offering documents disclosed upfront commissions and fees totaling 12%, meaning approximately \$13,800 of Gerald's investment went to commissions, dealer-manager fees, and offering costs before any capital was deployed. Troy told Gerald that the investment was 'perfect for someone in your situation' because it focused on healthcare real estate, which Troy described as 'recession-proof.' Troy did not discuss the illiquidity risk, the seven-year hold period, or the possibility that distributions could be funded from offering proceeds rather than operating income. Troy's firm had conducted only a cursory review of the REIT sponsor's track record and had not performed independent due diligence on the underlying portfolio of nursing facilities, several of which were located in states experiencing significant Medicaid reimbursement cuts. Gerald signed the subscription documents after a single 40-minute meeting. By late 2023, the REIT suspended quarterly distributions, citing occupancy declines and rising operating costs at several of its properties. Gerald attempted to redeem his shares through the REIT's limited share repurchase program but was told the program had been suspended indefinitely. As of early 2024, the REIT's estimated per-share value had declined by 35%, leaving Gerald's position worth approximately \$65,700. Gerald filed a complaint with his advisor's firm, stating that he was never told the money could be locked up for years and that he needed the funds to cover his wife's increasing medical bills.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Troy Beckett committed multiple serious violations in recommending the Prestige Healthcare Properties REIT to Gerald Pitman.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Rule 2111 encompasses three obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

1. ****Customer-Specific Suitability Failure:**** Gerald was a 71-year-old conservative retiree with a short-term time horizon, limited liquid assets (\$385,000), dependence on fixed income, no experience with alternative investments, and an imminent need for liquidity due to his wife's Parkinson's diagnosis. A non-traded REIT with a seven-year hold period, no secondary market, and a 12% front-end load is fundamentally incompatible with every stated element of Gerald's investment profile. Concentrating approximately 30% of his liquid net worth in a single illiquid product is egregiously unsuitable.

2. ****Reasonable-Basis Suitability Failure:**** Under FINRA Regulatory Notice 10-22, member firms and their associated persons have an affirmative obligation to conduct a reasonable investigation of private placements and other complex products before recommending them. This includes independent due diligence into the issuer, the sponsor's track record, the business model's viability, and the use of offering proceeds. Troy's firm performed only a cursory review and did not independently evaluate the underlying nursing facility portfolio or the risk of Medicaid reimbursement cuts. This falls far short of the reasonable investigation duty articulated in RN 10-22.

3. ****Regulation Best Interest (Reg BI - SEC Rule 15l-1):**** If this recommendation occurred after June 30, 2020 (which it did, being March 2022), the Care Obligation under Reg BI required Troy to exercise reasonable diligence, care, and skill in making the recommendation, to understand the risks and rewards of the product, and to have a reasonable basis to believe the recommendation was in Gerald's best interest without placing Troy's financial interest ahead of Gerald's. The 12% front-end commission structure created a significant financial incentive for Troy, and his failure to disclose the illiquidity, hold period, and distribution risks demonstrates he prioritized his own compensation over Gerald's needs. The Disclosure Obligation under Reg BI was also violated because Troy affirmatively mischaracterized the investment as 'perfect' and 'recession-proof' without disclosing material risks.

4. ****FINRA Rule 2010 (Standards of Commercial Honor):**** Troy's misleading statements - characterizing a highly illiquid, speculative non-traded REIT as 'perfect' for a conservative retiree with imminent liquidity needs - constitute conduct inconsistent with just and equitable principles of trade.

5. ****NASAA Guidance on DPP Recommendations:**** The North American Securities Administrators Association has consistently warned that non-traded REITs and DPPs are frequently recommended to unsuitable investors, particularly elderly customers with conservative profiles and liquidity needs. NASAA's model guidelines generally suggest that illiquid DPPs should not exceed 10% of an investor's liquid net worth, and Gerald's 30% concentration far exceeds any reasonable threshold.

6. ****Precedent from GPB Capital Enforcement Actions:**** The pattern here mirrors the GPB Capital cases where advisors recommended complex, illiquid private placements without adequate due diligence, to customers whose profiles were fundamentally unsuitable, and where firms failed to supervise the recommendation process. Regulators imposed significant sanctions in those cases.

****Likely Regulatory Outcome:**** Troy and his firm face potential sanctions including fines, disgorgement of commissions, restitution to Gerald, suspension or bar for Troy, and supervisory deficiency findings against the firm. In arbitration, Gerald would likely recover a substantial portion of his losses given the clear unsuitability of the recommendation across every relevant dimension.

Hypothetical 34

Topic: alternative_investments_unsuitable | Difficulty: hard

[NON-COM]

Fact Pattern

Gerald Whitfield, age 71, is a retired postal worker living in Tulsa, Oklahoma, with an annual pension income of \$42,000 and Social Security payments of \$22,800. His total liquid net worth is approximately \$385,000, held primarily in a traditional IRA rollover from his federal pension. Gerald has no prior experience with alternative investments and described his risk tolerance on his new account form as 'conservative.' His stated investment objectives were income generation and capital preservation. Gerald's wife, age 69, has early-stage dementia, and the couple faces rising healthcare costs estimated at \$3,500 per month for in-home care.

In March 2021, Gerald's financial advisor, Todd Brennan, of Heartland Financial Partners in Tulsa, recommended that Gerald invest \$115,000 - approximately 30% of his liquid net worth - into a non-traded real estate investment trust called Patriot Realty Income Trust II. The product carried a 7% upfront commission paid to the advisor, a stated distribution yield of 6.5%, and required a minimum seven-year holding period with no guaranteed secondary market for early redemptions. The offering documents disclosed that distributions could be funded from offering proceeds and borrowings rather than operating cash flow, and that the share value would not be independently appraised until 18 months after the close of the offering.

Todd told Gerald the investment was 'like owning rental property without the headaches' and emphasized the monthly income checks. Todd did not discuss the illiquidity constraints, the possibility that distributions could be a return of capital, or the fact that Gerald might not be able to access his principal for years. Todd's firm had an internal guideline limiting alternative investment concentration to 20% of a client's liquid net worth for clients over 65, but Todd did not seek a supervisory override or document any rationale for exceeding the threshold.

Additionally, Todd conducted no independent investigation into the sponsor of Patriot Realty Income Trust II beyond reviewing the marketing brochure provided by the wholesaler. He did not examine the sponsor's track record, prior program performance, litigation history, or financial condition. The sponsor had

previously managed two earlier non-traded REITs, both of which had suspended distributions within three years and ultimately liquidated at prices representing losses of 40% to 55% for investors.

By September 2022, Patriot Realty Income Trust II suspended its distribution payments and announced it was halting its share repurchase program indefinitely. Gerald, now facing \$3,500 per month in care costs for his wife and reduced income, attempted to redeem his shares and was told no redemptions were available. He filed a complaint with his advisor's firm in November 2022, seeking recovery of his \$115,000 investment.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Todd Brennan committed multiple violations of applicable regulatory standards.

1. **Suitability - FINRA Rule 2111:** Under FINRA Rule 2111, a financial advisor must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on that customer's investment profile. Gerald's profile - a 71-year-old conservative retiree with limited liquid assets, no alternative investment experience, income-oriented objectives, capital preservation needs, and significant anticipated healthcare expenses - is fundamentally incompatible with an illiquid, non-traded REIT requiring a seven-year minimum hold. The recommendation fails all three components of suitability analysis:

- **Reasonable-basis suitability:** Todd failed to conduct adequate due diligence on the product itself, relying solely on wholesaler marketing materials. Under FINRA Regulatory Notice 10-22, member firms and their associated persons have a duty to conduct a reasonable investigation of the securities they recommend, particularly for complex products like non-traded REITs and DPPs. This includes reviewing the sponsor's track record, prior program performance, fee structure, and financial condition. The sponsor's two prior failed programs - both resulting in 40-55% investor losses - should have been discovered and would have been highly material to any suitability determination.

- **Customer-specific suitability:** Gerald's conservative risk tolerance, dependence on investment income, limited net worth, advanced age, and foreseeable liquidity needs (wife's dementia care) all contraindicate a concentrated illiquid investment. A 30% allocation to a single illiquid product with no redemption guarantee is excessive for this investor profile.

- **Quantitative suitability:** While this prong typically applies to excessive trading, the concentration level (30% of liquid net worth in a single illiquid product) effectively locked up a disproportionate share of Gerald's accessible capital.

2. **Regulation Best Interest (Reg BI) - Rule 15l-1:** If Todd's firm is a broker-dealer, Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the investor's investment profile and the potential risks, rewards, and costs of the recommendation. The Care Obligation specifically requires that the advisor have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the advisor's interest ahead of the customer's. The 7% upfront commission created a significant financial incentive for Todd to recommend this product, and his failure to disclose material risks (illiquidity, return-of-capital distributions, lack of secondary market) and failure to consider reasonable alternatives (e.g., listed REITs,

investment-grade bond funds, dividend-paying equity funds) suggests his own compensation interest took precedence over Gerald's needs.

3. ****Failure to Follow Firm Supervisory Procedures - FINRA Rule 2010:**** Todd's firm had a 20% concentration limit for alternative investments for clients over age 65. Todd exceeded this limit without obtaining supervisory approval or documenting any justification. This violates the firm's written supervisory procedures and constitutes conduct inconsistent with just and equitable principles of trade under FINRA Rule 2010.

4. ****FINRA RN 10-22 - Reasonable Investigation Duty:**** FINRA Regulatory Notice 10-22 specifically addresses obligations related to the sale of private placements and other complex products. It emphasizes that broker-dealers and their representatives must conduct a reasonable investigation concerning the issuer and the securities being offered. Todd's failure to investigate the sponsor's track record - which would have revealed two prior program failures with significant investor losses - is a clear violation of this standard.

5. ****NASAA Guidance on DPP Recommendations:**** State regulators through NASAA have consistently identified non-traded REIT sales to elderly, conservative investors with liquidity needs as a primary area of concern. Many states impose concentration limits (often 10% of net worth excluding home and home furnishings) and require that advisors adequately disclose illiquidity risks. Todd's recommendation likely violates applicable state suitability standards as well.

****GPB Capital Enforcement Precedent:**** The GPB Capital cases demonstrated that regulators will pursue enforcement actions where advisors fail to conduct adequate due diligence on alternative investment sponsors and recommend illiquid products to unsuitable investors. The pattern here - reliance on wholesaler materials, failure to investigate sponsor history, concentration in illiquid products for vulnerable clients - mirrors the conduct that led to significant regulatory sanctions in those matters.

****Likely Regulatory Outcome:**** Todd faces potential FINRA disciplinary action including fines, suspension, or bar. The firm faces supervisory failure charges for inadequate enforcement of its own concentration guidelines. Gerald would likely prevail in an arbitration claim seeking full restitution of his \$115,000 investment plus interest, based on unsuitability, failure to disclose material risks, and violation of firm procedures. State securities regulators could also pursue administrative action under applicable state securities laws.

Hypothetical 35

Topic: *senior_investor_exploitation* | Difficulty: *medium*

Fact Pattern

Margaret Hollings, age 79, is a retired schoolteacher living in Tucson, Arizona. Her husband passed away in 2021, leaving her with a \$410,000 IRA rollover, a \$95,000 savings account, and Social Security income of \$2,350 per month. She has no pension and relies on periodic IRA withdrawals to supplement her living expenses, which total approximately \$3,800 per month. She has described her investment objective as

[NON-COM

"income and preservation of capital" on every account opening document since 2016. Her risk tolerance is listed as "conservative" and she has no prior experience with alternative investments or private placements. In February 2023, her financial advisor, David Pruitt, age 42, recommended that Mrs. Hollings invest \$175,000 - approximately 35% of her total liquid assets - into a non-traded real estate investment trust called Pinnacle Healthcare Properties REIT, which was structured as a Regulation D offering available only to accredited investors. The REIT had a minimum seven-year hold period, no secondary market, distributions that were not guaranteed, and an upfront load of 12% comprised of selling commissions, dealer manager fees, and offering expenses. Pruitt told Mrs. Hollings that the REIT would "pay her like clockwork, better than any CD," and compared the expected 6.5% annualized distribution to the 0.5% she was earning on her savings account. He did not discuss the illiquidity restrictions, the risk that distributions could be paid from offering proceeds rather than operating income, or the possibility of principal loss. Pruitt's firm had received a due diligence package from the REIT sponsor but Pruitt acknowledged in a later internal review that he never read the private placement memorandum. He earned a 7% gross commission on the sale. By late 2024, the REIT suspended distributions entirely and notified investors that the estimated per-share value had declined by 40% from the original offering price. Mrs. Hollings, now 81, has been unable to redeem her shares and has had to increase withdrawals from her remaining IRA balance to cover monthly expenses, accelerating the depletion of her retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, David Pruitt violated multiple regulatory standards in recommending the Pinnacle Healthcare Properties REIT to Mrs. Hollings.

****Suitability under FINRA Rule 2111:**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Three distinct obligations apply:

1. ****Reasonable-basis suitability:**** The advisor must perform reasonable diligence to understand the nature of the security being recommended. Pruitt admitted he never read the private placement memorandum (PPM). FINRA Regulatory Notice 10-22 specifically addresses the heightened duty of reasonable investigation that applies to private placements and direct participation programs (DPPs). The Notice makes clear that associated persons must conduct a reasonable investigation of the issuer and the securities, including review of the PPM, financial statements, business plan, and risk factors. Pruitt's failure to read the PPM is a textbook violation of reasonable-basis suitability.
2. ****Customer-specific suitability:**** Mrs. Hollings is a 79-year-old widow with conservative risk tolerance, income and capital preservation objectives, a fixed income of \$2,350/month, total liquid assets of approximately \$505,000, and a monthly shortfall requiring regular portfolio withdrawals. Concentrating 35% of her liquid assets in an illiquid, non-traded REIT with a seven-year lockup and no guaranteed distributions is fundamentally incompatible with her profile. She needed accessible funds to cover living expenses - an illiquid investment directly contradicts that need.

3. **Quantitative suitability:** While this prong typically addresses excessive trading, the extreme concentration in a single illiquid product for a client with her profile also raises concerns about over-concentration.

Regulation Best Interest (Reg BI), Rule 15l-1: For broker-dealers and their associated persons, Reg BI requires that recommendations be in the retail customer's best interest without placing the financial interest of the broker ahead of the customer. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, to understand the risks and rewards of the security, and to consider reasonably available alternatives. Pruitt's 7% commission created a significant financial incentive that appears to have influenced the recommendation. His failure to disclose the illiquidity, distribution risks, and the high upfront load of 12% constitutes a failure under the Disclosure Obligation. The comparison of a speculative non-traded REIT distribution to a CD is materially misleading.

FINRA Rule 2010 (Standards of Commercial Honor): Making misleading comparisons between a non-traded REIT and a CD, omitting material risk disclosures about illiquidity and potential principal loss, and failing to conduct basic due diligence all constitute conduct inconsistent with just and equitable principles of trade.

FINRA Regulatory Notice 10-22: This Notice specifically warns that non-traded REITs and other DPPs present heightened risks and imposes an affirmative duty of reasonable investigation on member firms and their representatives. The Notice highlights that firms must ensure the suitability of DPP recommendations, particularly for customers who are elderly, have limited income, or require liquidity.

NASAA Guidance on DPPs and Non-Traded REITs: State regulators have issued extensive guidance noting that non-traded REITs are generally unsuitable for elderly investors who need income and liquidity. Many states impose concentration limits (often 10% of liquid net worth) for non-traded REITs, which this recommendation would far exceed.

SEC Regulation D Considerations: While Reg D governs the offering exemption, the advisor still owes all applicable suitability and best interest obligations when recommending such offerings to retail customers.

Senior Investor Protections: Mrs. Hollings' age, dependence on investment income, cognitive vulnerability concerns associated with advanced age, and lack of sophistication with alternative investments all amplify the egregiousness of this recommendation.

Likely Regulatory Outcome: This fact pattern closely mirrors numerous enforcement actions involving non-traded REIT sales to seniors, including patterns seen in GPB Capital and other high-profile cases. Pruitt would likely face FINRA enforcement resulting in disgorgement of commissions, restitution to the customer, fines, a suspension or bar, and potential state regulatory action. The firm could face supervisory failure charges if it did not have adequate procedures to flag concentration, age, and suitability concerns.

Hypothetical 36

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

[NON-COM

Fact Pattern

Margaret Hollis, age 71, is a retired elementary school teacher living in Tulsa, Oklahoma. She receives a monthly pension of \$3,200 and Social Security income of \$1,850 per month. Her total liquid net worth is approximately \$410,000, almost entirely held in certificates of deposit and a conservative bond mutual fund at her local bank. She has no other sources of income and no family members who provide financial support. Mrs. Hollis has described herself on every account document as having a "conservative" risk tolerance with investment objectives focused on "preservation of capital" and "income generation." She has no prior experience investing in alternative products, limited partnerships, or any illiquid securities.

In March 2022, her financial advisor, Dale Prescott, who had been managing her accounts for approximately two years, recommended that Mrs. Hollis invest \$125,000 - roughly 30% of her liquid assets - into a non-traded real estate investment trust called Meridian Healthcare Properties REIT. The offering was structured as a Regulation D private placement with a minimum seven-year holding period, no secondary market, and distributions that were not guaranteed but projected at 6.5% annually. The offering memorandum disclosed front-end fees and commissions totaling 12%, meaning approximately \$15,000 of Mrs. Hollis's investment was consumed by costs before a single dollar was deployed into real estate assets. Prescott earned a gross commission of \$8,750 on the transaction.

Prescott's firm had received the offering materials from the sponsor only three weeks before the recommendation. Internal records show no evidence that the firm conducted any independent investigation of the REIT sponsor's management team, track record, financial condition, or the underlying healthcare property portfolio. The due diligence file contained only the sponsor-provided marketing brochure and private placement memorandum. No third-party reports, property appraisals, or background checks on the sponsor's principals were obtained.

When Mrs. Hollis asked Prescott about the safety of the investment, he told her it was "like owning real estate without the hassle" and emphasized the projected 6.5% yield, comparing it favorably to the 1.8% she was earning on her CDs. He did not discuss the illiquidity, the lack of a secondary market, the seven-year lockup, the possibility that distributions could be funded from investor capital rather than operating income, or the substantial front-end load. The new account form for the alternative investment was pre-filled by Prescott's assistant and listed Mrs. Hollis's risk tolerance as "moderate growth" and her investment objective as "growth and income," which contradicted every other account document on file.

By late 2023, Meridian Healthcare Properties REIT suspended all distributions due to declining occupancy rates in its skilled nursing facilities. Mrs. Hollis, who had been counting on the income to supplement her pension, contacted Prescott requesting a redemption. She was informed that no redemption program existed and her capital was locked up until at least 2029. The estimated value of her shares had declined to approximately \$78,000, representing a paper loss of over \$47,000 from her original investment. Mrs. Hollis filed a complaint with Prescott's firm in January 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Prescott violated multiple regulatory standards governing the recommendation of private placements and illiquid alternative investments.

****Suitability - FINRA Rule 2111:**** This rule requires that a broker-dealer or associated person have a reasonable basis for believing a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Rule 2111 encompasses three sub-obligations: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

Reasonable-Basis Suitability: Prescott and his firm failed to perform adequate due diligence on the Meridian Healthcare Properties REIT before recommending it. FINRA Regulatory Notice 10-22 specifically addresses the heightened duty of reasonable investigation that firms owe when recommending private placements. The notice makes clear that firms cannot simply rely on offering documents provided by the sponsor; they must conduct independent investigation into the issuer's management, financial condition, business prospects, and the accuracy of claims made in the offering materials. Here, the firm's due diligence file contained nothing beyond sponsor-provided marketing materials. No third-party verification, no independent property appraisals, and no background checks were performed. This is a clear failure of reasonable-basis suitability.

Customer-Specific Suitability: Mrs. Hollis's documented profile - age 71, conservative risk tolerance, capital preservation and income objectives, reliance on fixed income sources, limited liquid net worth, and zero experience with alternative investments - made a 30% allocation to an illiquid, high-fee, non-traded REIT with a seven-year lockup fundamentally unsuitable. Concentrating nearly one-third of a retiree's liquid assets in a single illiquid product contradicts every element of her stated investment profile. NASAA guidelines and numerous enforcement actions (including those arising from GPB Capital and various non-traded REIT cases) have consistently found that excessive concentration of retirement assets in illiquid alternative investments constitutes a suitability violation.

****Regulation Best Interest (Rule 15l-1):**** Under Reg BI's Care Obligation, Prescott was required to exercise reasonable diligence, care, and skill in making the recommendation, understanding the risks and rewards of the product, and forming a reasonable basis to believe the recommendation was in Mrs. Hollis's best interest without placing his financial interest ahead of hers. The \$8,750 commission created a significant financial incentive, and there is no evidence Prescott considered reasonably available alternatives that would have met Mrs. Hollis's income needs without the illiquidity risk and excessive front-end costs. Under the Disclosure Obligation, Prescott failed to disclose material facts including the illiquidity, fee structure, lack of redemption, and risks related to distribution sustainability. His characterization of the REIT as "like owning real estate without the hassle" was misleading and omitted critical risk information.

****Falsification of Account Documents - FINRA Rule 2010:**** The pre-filled new account form that changed Mrs. Hollis's risk profile from "conservative" to "moderate growth" and her objectives from "preservation of capital" to "growth and income" - contradicting all other account records - constitutes a serious violation. FINRA Rule 2010 requires associated persons to observe high standards of commercial honor and just and

equitable principles of trade. Altering or misrepresenting customer profile information to make an unsuitable recommendation appear suitable is a well-established basis for disciplinary action.

****Likely Regulatory Outcome:**** Based on enforcement precedent in non-traded REIT and private placement cases, Prescott faces potential sanctions including fines, disgorgement of commissions, suspension or bar from the industry, and restitution to Mrs. Hollis. The firm faces potential liability for supervisory failures, inadequate due diligence procedures, and failure to detect the contradictory account documentation. Regulators would likely find multiple violations including unsuitable recommendation of an illiquid investment to a conservative elderly retiree, failure to conduct reasonable investigation under FINRA RN 10-22, failure to satisfy the Care and Disclosure Obligations under Reg BI, and falsification of customer records in violation of FINRA Rule 2010.

Hypothetical 37

[NON-COMMERCIAL]

Topic: *alternative_investments_unsuitable* | Difficulty: *medium*

Fact Pattern

Gerald Hutchins, age 71, is a retired school principal living in Dayton, Ohio, with an annual pension income of \$62,000 and Social Security benefits of \$28,000. His total liquid net worth is approximately \$410,000, consisting of \$290,000 in an IRA rollover, \$85,000 in a joint brokerage account with his wife, and \$35,000 in a savings account. Gerald's wife, Patricia, age 69, has early-stage Alzheimer's disease, and the couple anticipates significant long-term care expenses in the coming years. Gerald's account documents list his risk tolerance as 'moderate' and his investment objectives as 'income and preservation of capital.' In March 2022, his financial advisor, Derek Sloane, recommended that Gerald invest \$125,000 from his IRA into a non-traded real estate investment trust called Pinnacle Healthcare Properties REIT, which focused on medical office buildings and senior care facilities. The REIT had a minimum seven-year hold period, no secondary market for shares, offered a stated distribution yield of 6.5%, and carried an upfront load of 12% including selling commissions and offering expenses. Derek told Gerald that the investment was 'perfect for someone in his situation' because it invested in healthcare properties, which Derek described as 'recession-proof,' and would provide steady monthly income. Derek did not discuss the illiquidity of the investment, the impact of the 12% upfront costs on Gerald's principal, or the risk that distributions could be funded from offering proceeds rather than operating cash flow. Derek earned a \$8,750 commission on the sale. After the investment, approximately 30.5% of Gerald's liquid net worth was concentrated in this single illiquid product. Within 14 months, Pinnacle Healthcare Properties REIT suspended distributions citing declining occupancy rates at several properties and announced that its estimated per-share value had dropped 31% below the original offering price. Gerald, now needing funds for Patricia's home care aide, was unable to liquidate his position or access the invested capital.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Sloane violated applicable suitability and best interest standards in multiple respects.

****Concentration and Illiquidity:**** Under FINRA Rule 2111 (Suitability), a representative must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, liquidity needs, risk tolerance, and investment objectives. Gerald was a 71-year-old retiree with a moderate risk tolerance, income and capital preservation objectives, and a clearly foreseeable need for liquidity due to his wife's Alzheimer's diagnosis. Allocating \$125,000 - over 30% of his liquid net worth - to a single non-traded REIT with a seven-year hold period and no secondary market was patently unsuitable for a customer with these characteristics. NASAA guidance and multiple FINRA enforcement precedents (including actions stemming from non-traded REIT over-concentration) have repeatedly held that concentration above 10-20% of liquid net worth in illiquid alternative investments is presumptively unsuitable for retired investors with income needs.

****Failure of Reasonable-Basis Suitability:**** FINRA Regulatory Notice 10-22 imposes a heightened reasonable investigation duty on broker-dealers and their representatives when recommending private placements and other illiquid alternative investments. Derek had an obligation to investigate and understand the material risks of Pinnacle Healthcare Properties REIT - including the risk that distributions could be paid from offering proceeds (return of capital), the impact of the 12% front-end load on principal, and the severe illiquidity constraints - before making any recommendation. His failure to disclose these features to Gerald suggests he either did not perform this investigation or disregarded its results.

****Reg BI Considerations:**** Under SEC Regulation Best Interest (Rule 15l-1), effective since June 30, 2020, Derek was required to act in the retail customer's best interest at the time of the recommendation, which includes satisfying the Care Obligation (reasonable diligence, care, and skill in evaluating the recommendation in light of the customer's profile) and the Disclosure Obligation (full and fair disclosure of all material facts including risks, costs, and conflicts of interest). The 12% upfront load and \$8,750 commission created a significant conflict of interest that was not disclosed or mitigated. The recommendation failed the Care Obligation because it did not reflect consideration of Gerald's age, liquidity needs, risk tolerance, or the reasonably foreseeable need for funds related to Patricia's care.

****FINRA Rule 2010 (Standards of Commercial Honor):**** The omission of material information about illiquidity, fee impact, and distribution-funding risks, combined with the misleading characterization of the investment as 'recession-proof' and 'perfect,' constitutes conduct inconsistent with just and equitable principles of trade.

****Likely Regulatory Outcome:**** Derek and his firm face potential FINRA enforcement action including fines, disgorgement of commissions, restitution to the customer, and possible suspension or bar. The firm may also face supervisory failure charges if it lacked adequate procedures for reviewing non-traded REIT concentration limits and suitability for elderly clients with liquidity needs. This fact pattern closely mirrors enforcement trends seen in GPB Capital and non-traded REIT cases where advisors concentrated elderly, income-dependent clients in illiquid products with high commissions.

Hypothetical 38

Topic: *alternative_investments_unsuitable* | Difficulty: *medium*

[NON-COM

Fact Pattern

Gerald Whitfield, age 71, is a retired high school principal living in Tucson, Arizona. He receives a pension of \$4,200 per month and Social Security of \$2,100 per month, giving him a combined annual income of approximately \$75,600. His total liquid net worth is \$410,000, the vast majority of which is held in a rollover IRA from his former employer's 403(b) plan. He also has \$38,000 in a savings account that serves as his emergency fund. Gerald's wife passed away in 2021, and he is the sole financial decision-maker for his household. He has no prior experience with alternative investments and described his investment objective as "income and capital preservation" on his new account form. His stated risk tolerance is "conservative." In March 2023, Gerald's financial advisor, Brian Kessler, recommended that Gerald invest \$125,000 from his IRA into a non-traded real estate investment trust called Meridian Hospitality Income REIT, which focused on acquiring boutique hotel properties in secondary U.S. markets. The REIT carried upfront fees and commissions totaling 12%, had no established secondary market for its shares, offered a projected but non-guaranteed distribution of 6.5%, and had a stated investment horizon of seven to ten years before any potential liquidity event. Kessler told Gerald the investment was "like a bond that pays you rent checks" and emphasized the monthly income distributions. Kessler did not discuss the illiquidity of the investment, the possibility that distributions could be funded from offering proceeds or borrowings rather than operating income, or the concentration risk the product would create in Gerald's portfolio. The \$125,000 investment represented roughly 30% of Gerald's total liquid net worth. Kessler earned a \$9,375 commission on the transaction. By late 2024, Meridian Hospitality Income REIT suspended distributions, citing declining hotel occupancy rates and rising debt service costs. Gerald, now 73 and needing reliable income from his IRA to supplement his pension and Social Security, was unable to liquidate his position and faced a potential loss of more than 40% of his invested capital based on the REIT's revised estimated share value.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Brian Kessler violated multiple suitability and best interest standards in recommending the Meridian Hospitality Income REIT to Gerald Whitfield.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, risk tolerance, and other relevant information. Rule 2111 encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. ****Regulation Best Interest (SEC Rule 15l-1):**** Under Reg BI's Care Obligation, a broker must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and must have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation.

3. **FINRA Regulatory Notice 10-22:** This notice specifically addresses the heightened obligation of broker-dealers to conduct reasonable-basis due diligence on private placements, including non-traded REITs. It requires firms and their representatives to investigate the issuer and its management, the business prospects of the issuer, the assets held or to be acquired, the claims being made, and the intended use of proceeds, including the level of fees and compensation.

4. **FINRA Rule 2010 (Standards of Commercial Honor):** Kessler's misleading characterization of the non-traded REIT as being "like a bond that pays you rent checks" is a violation of standards of commercial honor and equitable principles of trade, as it materially misrepresented the risk profile of the product.

Analysis of Violations:

- **Customer-Specific Suitability Failure:** Gerald was a 71-year-old conservative retiree with limited income, modest liquid assets, no experience with alternative investments, and stated objectives of income and capital preservation. A non-traded REIT with a 7-10 year illiquidity horizon, 12% upfront costs, and hotel-sector concentration risk was fundamentally incompatible with his profile. His age and reliance on IRA funds for living expenses made liquidity a critical factor.

- **Concentration Risk:** The \$125,000 investment represented approximately 30% of Gerald's total liquid net worth. NASAA guidelines on non-traded REITs generally recommend concentration limits of no more than 10% of liquid net worth for such illiquid products. Many states have adopted these or similar thresholds. The recommendation grossly exceeded reasonable concentration levels.

- **Failure to Disclose Material Risks:** Kessler failed to disclose the illiquid nature of the investment, the risk that distributions could be paid from sources other than operating income (return of capital), and the concentration risk the position created. These are material omissions that further violate the Disclosure Obligation under Reg BI and the general fair dealing standards under FINRA rules.

- **Misleading Characterization:** Comparing a non-traded REIT focused on boutique hotel properties to a bond is materially misleading. Bonds have defined maturities and repayment obligations; a non-traded REIT in the hospitality sector carries equity risk, operational risk, interest rate risk, and severe liquidity risk.

- **Reasonable-Basis Suitability / Due Diligence under RN 10-22:** There is no indication that Kessler conducted independent due diligence into the REIT's financial condition, management, debt structure, or the sustainability of its projected distributions. The subsequent suspension of distributions and significant decline in estimated share value suggest that the product's risks were either not investigated or were ignored.

- **Reg BI Cost Considerations:** The 12% upfront load (\$15,000 in fees and commissions on a \$125,000 investment) significantly impaired the investment's ability to generate net positive returns for Gerald, particularly over any reasonable time horizon for a 71-year-old retiree. Kessler's \$9,375 commission created a significant conflict of interest that should have been disclosed and managed.

Likely Regulatory Outcome: Kessler and his firm face potential enforcement action for unsuitable

recommendations, failure to conduct adequate due diligence, and misleading sales practices. Remedies could include disgorgement of commissions, restitution to the customer, fines, suspension, or barring of the representative. The firm could also face supervisory failure charges if it lacked adequate procedures for reviewing alternative investment recommendations to elderly, conservative clients. Cases involving non-traded REITs sold to elderly conservative investors with high concentration levels have been a persistent enforcement priority, as reflected in the GPB Capital enforcement actions and numerous non-traded REIT arbitration awards.

Hypothetical 39

Topic: *high_fees_unsuitable* | Difficulty: *medium*

[NON-COM

Fact Pattern

Margaret Holloway, age 71, is a retired elementary school teacher living in suburban Ohio. She receives a pension of \$3,400 per month and Social Security of \$1,800 per month, totaling approximately \$62,400 annually. Her liquid savings consist of \$285,000 in a traditional IRA and \$42,000 in a savings account. She owns her home outright, valued at approximately \$190,000. Her investment objectives, as documented on her new account form in March 2024, are income and preservation of capital. Her risk tolerance is listed as conservative. She has no prior experience with alternative investments and describes herself as someone who prefers CDs and bond funds.

Her financial advisor, Derek Simmons, who has been registered for four years and works at a mid-sized independent broker-dealer, recommended in April 2024 that Margaret invest \$175,000 from her IRA into a non-traded real estate investment trust called Pinnacle Healthcare Properties REIT. The REIT invests in medical office buildings and senior care facilities and has a stated distribution rate of 6.5%. Derek emphasized the monthly income stream and described the investment as 'like owning real estate without the hassle.'

The offering documents for Pinnacle Healthcare Properties REIT disclosed the following fee structure: a 7% upfront sales commission paid to the selling broker-dealer, a 3% dealer manager fee, organizational and offering costs of 1.5%, and ongoing annual asset management fees of 1.25%. In total, approximately 11.5% of Margaret's \$175,000 investment, or roughly \$20,125, was absorbed by fees before a single dollar was deployed into real estate assets. The REIT had a minimum seven-year hold period with no established secondary market, and early redemption was limited to a quarterly share repurchase program capped at 5% of outstanding shares per year, subject to board discretion.

Derek did not discuss any alternative income-producing investments with Margaret, such as bond funds, Treasury securities, or listed REITs, nor did he explain the total cost structure in plain terms. He provided the prospectus but did not walk her through the fee disclosures. Margaret's account records show that prior to this recommendation, her IRA was invested entirely in a balanced mutual fund with an annual expense ratio of 0.55%. Following the investment, approximately 61% of Margaret's IRA was concentrated in this single illiquid product. Six months after the investment, Margaret needed \$30,000 for unexpected home repairs and was unable to access any of her funds in the REIT due to the quarterly redemption window

having already passed, with the next cycle not opening for four months.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons likely violated multiple regulatory requirements in recommending the Pinnacle Healthcare Properties non-traded REIT to Margaret Holloway.

****Suitability under FINRA Rule 2111:**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, liquidity needs, and time horizon. Margaret is a 71-year-old retiree with conservative risk tolerance, income and capital preservation objectives, no alternative investment experience, and limited liquid assets. Concentrating 61% of her IRA in a single illiquid, non-traded REIT with a seven-year hold period is fundamentally inconsistent with her documented profile. This fails both the customer-specific suitability obligation and the quantitative suitability component, as the concentration in a single illiquid product is excessive for a retiree dependent on her savings.

****Regulation Best Interest (Rule 15l-1):**** For broker-dealers, Reg BI requires that recommendations be in the retail customer's best interest, considering the customer's investment profile without placing the financial or other interest of the broker ahead of the customer's interest. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the risks, rewards, and costs of the product and considering reasonably available alternatives. Derek failed to present or discuss any alternatives such as listed REITs, investment-grade bond funds, or Treasury securities, all of which would have provided income with significantly lower fees and greater liquidity. The 7% upfront commission created a significant financial incentive that appears to have driven the recommendation. The Disclosure Obligation under Reg BI also required full and fair disclosure of material facts, including the cost impact. Derek's failure to walk Margaret through the 11.5% total upfront cost load was a disclosure deficiency.

****FINRA Regulatory Notice 10-22:**** This notice specifically addresses member firms' obligations regarding non-traded REITs and direct participation programs. It requires firms to conduct a reasonable investigation of the product, including its fees, the track record of the sponsor, and the risks of illiquidity. It also requires firms to ensure that concentration limits are enforced. Many firms and state regulators impose concentration limits of 10% or less of liquid net worth for non-traded REITs. Margaret's \$175,000 investment represents approximately 53% of her total liquid net worth (\$327,000), far exceeding any reasonable concentration threshold.

****FINRA Rule 2010 (Standards of Commercial Honor):**** The overall pattern of conduct-recommending an unsuitable, high-fee, illiquid product to a conservative, elderly retiree without discussing alternatives or adequately explaining costs-raises serious concerns about just and equitable principles of trade.

****NASAA Guidance:**** The North American Securities Administrators Association has issued multiple statements and model rules regarding DPP and non-traded REIT suitability, including concentration limits

(typically 10% of net worth excluding home), enhanced suitability standards for seniors, and the obligation to explain illiquidity risk clearly. Derek's recommendation violates these standards on multiple fronts.

****Precedent from enforcement actions (e.g., GPB Capital cases):**** Regulators have brought significant enforcement actions against broker-dealers and advisors who recommended illiquid private placements and non-traded products to unsuitable customers, particularly where high upfront commissions incentivized the recommendation and where the advisor failed to conduct or document a reasonable basis investigation.

****Likely Regulatory Outcome:**** Derek and his firm face potential sanctions including fines, restitution of the approximately \$20,125 in upfront fees, disgorgement of commissions, suspension or bar for the advisor, and supervisory deficiency findings against the firm if it failed to maintain adequate procedures for reviewing non-traded REIT recommendations. Margaret may also have a viable arbitration claim for damages including the cost differential and any losses attributable to the illiquidity trap that prevented her from accessing funds for home repairs.

Hypothetical 40

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Gerald Hutchinson, age 71, is a retired postal worker living in Tucson, Arizona, with a fixed annual income of \$38,000 from his pension and Social Security. His total liquid net worth is approximately \$210,000, held primarily in certificates of deposit and a money market account at his local bank. Gerald has no prior experience investing in anything other than CDs and a small whole-life insurance policy he purchased decades ago. On his new account form at Ridgeline Financial Group, his registered representative, Darren Kowalski, documented Gerald's risk tolerance as 'moderate' and his investment objective as 'growth and income.' In March 2021, Darren recommended that Gerald invest \$95,000—approximately 45% of his liquid net worth—into a non-traded real estate investment trust called Meridian Healthcare Properties REIT, which carried a minimum seven-year hold period, no public secondary market, and early redemption fees of up to 12% of principal during the first three years. The offering documents disclosed a front-end load of 10%, meaning roughly \$9,500 of Gerald's investment went to commissions and offering costs. Darren told Gerald the investment would provide 'steady quarterly distributions like a CD but with better returns,' and characterized the REIT as 'basically the same as owning rental property without the hassle.' Darren did not discuss the illiquid nature of the investment or the fact that distributions could be funded from offering proceeds or borrowings rather than actual operating income. Gerald signed the subscription documents. By late 2022, Meridian Healthcare Properties suspended its distribution payments and announced a 35% reduction in estimated net asset value per share due to rising interest rates and declining occupancy in its properties. Gerald, who had been relying on the quarterly distributions to supplement his pension income, contacted Darren seeking to redeem his shares. He was informed that the early redemption program had been suspended and that no liquidity event was anticipated for at least another four years. Gerald's \$95,000 investment was now valued at approximately \$55,000 on paper, with no ability to access any of it. Darren's firm had conducted no independent due diligence on the Meridian REIT offering beyond reviewing the issuer-provided marketing materials and prospectus summary. The firm's product review committee had

not convened to evaluate the offering, and no written reasonable-basis suitability analysis existed in the firm's files. Darren had received a 7% gross commission on the transaction, well above the typical 1-2% he earned on mutual fund sales.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Darren Kowalski violated applicable suitability and best interest standards in multiple respects.

****Reasonable-Basis Suitability (FINRA Rule 2111.05(a)):** Before recommending any security, a registered representative and the member firm must perform reasonable diligence to understand the nature of the product, including its risks and rewards, sufficient to form a reasonable basis for the recommendation. FINRA Regulatory Notice 10-22 specifically reminds broker-dealers that they must conduct a reasonable investigation of the issuer and the securities in Regulation D and private placement offerings. Here, Ridgeline Financial Group performed no independent due diligence-no product committee review, no written analysis, and no investigation beyond issuer-provided marketing materials. This is a clear failure of reasonable-basis suitability.

****Customer-Specific Suitability (FINRA Rule 2111.05(b)):** The recommendation must be suitable for the particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, risk tolerance, liquidity needs, and time horizon. Gerald was a 71-year-old retiree on a fixed \$38,000 annual income who needed liquidity and income preservation. Concentrating 45% of his liquid net worth in an illiquid non-traded REIT with a seven-year hold period and 12% early redemption penalties is fundamentally inconsistent with his profile. His documented risk tolerance of 'moderate' does not support an illiquid alternative investment of this magnitude, and even that characterization may have been inflated given his actual investment history of only CDs and money markets.

****Regulation Best Interest (SEC Rule 15l-1, Care Obligation):** Under Reg BI, a broker-dealer must exercise reasonable diligence, care, and skill when making a recommendation, considering the customer's investment profile and ensuring that the recommendation does not place the financial professional's interest ahead of the customer's. The 7% gross commission created a significant financial incentive that appears to have driven the recommendation. Darren's misleading comparison of the REIT to a CD and his failure to disclose the illiquidity, distribution risk, and fee structure represent failures under both the care and disclosure obligations of Reg BI.

****FINRA Rule 2010 (Standards of Commercial Honor):** Darren's characterization of the non-traded REIT as 'basically the same as owning rental property without the hassle' and as comparable to a CD misrepresented the risk profile and constituted misleading statements inconsistent with just and equitable principles of trade.

****NASAA Guidance on Non-Traded REITs and DPPs:** NASAA has issued extensive guidance warning that non-traded REITs are generally unsuitable for elderly investors with limited income and liquidity needs. Many state securities regulators impose concentration limits (often 10% of liquid net worth) for non-traded

REITs, making a 45% allocation grossly excessive under any standard.

****Likely Regulatory Outcome:**** Darren and his firm would likely face enforcement action resulting in disgorgement of commissions, restitution to the customer, fines, potential suspension for Darren, and supervisory sanctions against the firm for failure to conduct due diligence and maintain a reasonable supervisory system. This fact pattern closely mirrors enforcement patterns seen in non-traded REIT cases involving elderly, conservative investors, such as those pursued in the GPB Capital matter and similar actions.